MERRILL
A BANK OF AMERICA COMPANY

CHIEF INVESTMENT OFFICE

Capital Market Outlook

November 9, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Setting the Stage for 2027:* The U.S. equity market and economy have followed the typical midterm pattern of the presidential election cycle setting the stage for continued economic expansion and an ongoing but more tempered bull market in Equities in 2027. As usual, economic growth accelerated through the midterm year, reaching peak earnings momentum. The markets, however, anticipated this and are now looking forward to the slowing of earnings growth from this peak. The compression of price-to-earnings (P/E) ratio valuations reflects this coming deceleration in earnings growth, in our view. The slower but still healthy profits growth picture should support the bull market in 2027 as a maturing expansion spreads profits growth to more corners of the economy while tighter financial conditions spread credit problems into the weaker pockets of the economy. This transition from maximum accommodation to midcycle balance between accommodation and restraint should prevent economic overheating and obviate the need for overly restrictive monetary policy.

Market View—*China, the WTO and the Great Convergence No One Expected:* Twenty-five years ago this December, the West made one of the biggest economic bets of the modern era: It brought China into the World Trade Organization (WTO), convinced that membership would transform the communist giant into a more open and market-oriented economy. At the dawn of the 25th anniversary of China's WTO accession, the great irony is not how China became more like the West. It is how the West became more like China. Today, China sits at the center of global manufacturing and trade. Rather than dismantle its state-led, mercantilist economy, China has tacked in the other direction, notably under the leadership of Xi Jinping. For investors, the implications have been profound, with investment returns not only determined by traditional metrics like earnings, the cost of capital and valuations but also by geopolitics, energy costs, trade protectionism and national security. The "Commanding Heights"—or who controls the economy—have shifted from the private sector to the public sector. The consensus in 2001 was that the world would change China. Twenty-five years later, it's China that has changed the world. It's the great convergence no one saw coming.

The Ticker Tape—*Top Questions Answered Directly by Our Chief Investment Officer (CIO).*

- What are we reviewing to gauge the capital investment needed for the proposed Artificial Intelligence (AI) buildout and the return required to cover its costs?

Market Update: Equity indexes sold off Thursday, November 5 on concerns that a Democratic sweep could add short-term policy uncertainty around the AI buildout, deficits and oil, but we believe the growth and earnings backdrop remains supportive, and we would use weakness in Equities and Fixed Income as a potential opportunity to rebalance and reposition portfolios for 2027 as volatility starts to settle down.

Merrill Lynch, Pierce, Fenner & Smith Incorporated (also referred to as "MLPF&S" or "Merrill") makes available certain investment products sponsored, managed, distributed or provided by companies that are affiliates of Bank of America Corporation ("BofA Corp."). MLPF&S is a registered broker-dealer, registered investment adviser, Member SIPC and a wholly owned subsidiary of BofA Corp.
Investment products:

Are Not FDIC Insured	Are Not Bank Guaranteed	May Lose Value

Please see last page for important disclosure information.

9221258 11/2026

AUTHORS

Chief Investment Office
Macro Strategy Team

Joseph Quinlan
Managing Director and Head of Market Strategy

Christopher Hyzy
Chief Investment Officer

MACRO STRATEGY ▶

MARKET VIEW ▶

THE TICKER TAPE ▶

MARKETS IN REVIEW ▶

Portfolio Considerations

We believe conditions for a potential year-end rally are building, as investor focus may shift from the recent uncertainty, volatility and rotation toward solid economic growth, record margins and rising productivity.

We remain constructive on Equities given the supportive fundamental backdrop, and we view the recent sharp declines in Financials, parts of Industrials, higher-quality semiconductors and power generation as potentially overdone. We would use weakness as a potential opportunity to rebalance portfolios while emphasizing diversification as market rotation creates new pockets of leadership.

Higher yields, with 10-year Treasury yields near 5% and real yields above 2.5%, may offer attractive income potential, and we favor moving out of cash and the front end of the curve to extend duration.

Setting the Stage for 2027

Chief Investment Office, *Macro Strategy Team*

Typically, a new administration sets the stage in their first year with stimulative policy changes that play out in the second year after the new policies have been enacted into law and begin to have their impact. This pattern shows up in historical data with the average rate of gross domestic product (GDP) growth highest in the second year of presidential terms compared to the other three years of the presidential term. At the same time, equity market returns tend to be lowest on average in the second year of presidential terms, which seems to be at odds with the fact that growth is strongest.

This apparent inconsistency can be attributed to the fact that the stock market is a leading indicator that anticipates stronger growth and higher profits well before they actually arrive. Once they do, as they have in 2026, the markets are looking ahead to the inevitable slowing from the policy-induced peak in growth that typically arrives after the midterm election year. The midterms also create uncertainty about the subsequent policy environment which damps stocks ahead of the election only to be reversed on average once the elections are over and the outlook is clarified. This phenomenon is seen in the fact that on average the stock market has corrected about 20% ahead of midterms only to rise about 30% from that bottom in the year after.

Q3 GDP data illustrate this pattern. Economic growth picked up through the first three quarters of 2026 to a peak of 3.4%. Consumer spending growth averaged 3.8% over the past six months, while the AI investment boom accelerated at a midteens growth rate. Private sector purchases were growing at just shy of a 5% growth rate. GDP growth is lower than that because imports of Asia produced technology-gear for the AI buildout are subtracting a good bit from that underlying 5% domestic demand growth pace.

The new policies aimed at helping consumers through lower taxes and investment incentives to spur private sector production have boosted growth as expected. Still, this acceleration is passing, and the fiscal boost is likely to fade in 2027. Profits naturally have followed this stronger GDP growth higher.

The upward trend in analysts' earnings revisions has started to roll over in our view, and, while earnings are still growing, the rate of growth is likely to slow from here. In simple terms, the second derivative of growth has turned negative. From way above trend toward trend growth is still sufficient for the bull market to continue.

Another aspect of this transition to midcycle aside from the fading midterm election boost from fiscal measures is the shift of monetary policy from maximum accommodation to a more neutral policy. The Fed's rate cuts helped the midterm acceleration in growth. Its shift to removing accommodation with rate hikes this year adds to the odds of some momentum loss in 2027. That's already apparent as Federal Reserve (Fed) Chair Warsh noted in his press conference after the September Federal Open Market Committee meeting. Weaker balance sheet borrowers have seen their spreads blow out as credit becomes more expensive. So far, the damage is confined to the lowest-quality borrowers. Before, these spreads were unusually low reflecting easy money conditions that are now normalizing. It's still early days in the new credit cycle.

Of course, how the market responds to this new Fed tightening cycle depends on how aggressively the Fed raises rates. Analysts at Ned Davis Research note the S&P 500 has gained an average of 4.4% in the first year of all postwar tightening cycles. This outcome varies considerably depending on the extent of the tightening. Aggressive tightening cycles have seen an average decline of 3.6% a year later, whereas gradual tightenings have seen a 10.5% average gain. In short, as one might expect, too much tightening can cause a decline in stocks. Currently, the market seems to anticipate a

Investment Implications

Equities should continue to outperform bonds in 2027 in our view, but performance is likely to shift in favor of higher-quality, less leveraged segments of the market as financial conditions tighten and earnings momentum slows, while the accelerating momentum of the early cycle transitions to midcycle cruise control.

December and March nudge up in rates to reverse the easings by the Powell Fed. This would be consistent with an ongoing equity bull market in 2027. Obviously, inflation will have a lot to say about whether a mild or aggressive tightening cycle is called for. With wage pressures benign, productivity strong and the early-cycle acceleration set to peak, we believe the odds of an aggressive tightening cycle that derails the bull market are low.

Other policy effects have shaped the current economic cycle. The shift toward more nationalistic trade policies with tariffs, for example, has drastically impacted the pattern of trade flows. U.S. imports from China have dropped from about 20% 10 years ago to less than 10%, according to research from Strategas. Nevertheless, contrary to concerns of a trade-induced recession, overall trade has continued to grow in line with the global economy. Rather than deglobalization, the world is undergoing a reglobalization into new trade spheres that better align with national interests.

According to McKinsey Quarterly, "The 2025 U.S. National Security Strategy, for example, reinforces economic and supply chain security, industrial capacity, technological leadership, and capital market strength as national priorities. China's latest five-year plan, meanwhile, includes technological self-reliance, economic stability and the modernization of core industries among its key pillars. In this environment, value creation is increasingly shaped by new trade corridors, growing defense spending, expansion of export controls and industrial policies, and shifting flows of foreign investment."[1] These new trade policies are an impetus for growth that is structural, helping to make for a strong investment cycle.

Obviously, AI is a big spur for investment that has been facilitated by the new policies such as accelerated depreciation of capital expenditures (capex). McKinsey Research designates 18 arenas with cutting-edge industries they believe are driving the global growth story for the next couple of decades. They note companies headquartered in the U.S. and China account for about 90% of these arenas' market value today. U.S. companies account for 75% of the market capitalization within the 18 arenas and generate about 50% of revenues. Given its leading role in the arenas driving growth into the future, we believe the U.S. is well poised to outperform as the world moves into this new technological future. The 18 arenas are part of the economy growing by several multiples of the old economy segments and help explain why U.S. Equities have a persistent valuation premium over the rest of the world.

Because of the unusually rapid growth of these new technologies associated with the singularity, while earnings growth may decelerate from its peak, there are structural reasons to believe earnings are on a new, higher-growth trajectory and unlikely to revert fully back to historical norms. The new technologies have much higher margins than the old economy sectors. The combination of faster growth and higher margins bodes well for the equity market as these new arenas of future economic growth become a bigger part of the U.S. and global economies.

The midterms have changed views about the relative performance of some segments of the economy. For example, strong sentiment to slow the buildout of AI data centers was dramatically evident in the election results. Beneficiaries of the buildout are being revalued to reflect this slower growth. Disapproval of the Iran War was also registered in the results. Energy prices have dropped on hopes for a quicker end to the war. This in turn has lowered inflation expectations and interest rates. Overall, while the midterms have remixed relative performance between sectors they have not changed the outlook for continued solid growth and an ongoing bull market in equities.

[1] McKinsey Quarterly, Q3 2026, page 52.

MARKET VIEW

China, the WTO and the Great Convergence No One Expected

Joseph Quinlan, ***Managing Director and Head of Market Strategy***

Twenty-five years ago this December, the West made one of the biggest economic bets of the modern era: It brought China into the WTO, convinced that membership would transform the communist giant into a more open and market-oriented economy.

The logic seemed impeccable at the time. The Soviet Union had long been vanquished. American capitalism appeared triumphant. Free trade, deregulation, privatization and unfettered cross-border flows of goods, services, capital and labor were widely viewed as essential ingredients of economic prosperity. Globalization ruled.

Fold China into the rules-based system, the thinking went, and economic liberalization would gradually pull Beijing toward Western norms. China would become a willing participant in the U.S.-led global economic order. The world would change China, in other words.

Not quite. At the dawn of the 25th anniversary of China's WTO accession, the great irony is not how China became more like the West. It is how the West became more like China.

In the U.S., and across Europe and Asia, governments are increasingly embracing the elements of China's economic playbook, which range from state subsidies to the promotion of national champions to strategic industrial policies, among other initiatives antithetical to the global economic norms that prevailed when China joined the WTO.

The deployment of trade tariffs, the subsidization of semiconductor production, the promotion of domestic manufacturing, and the screening of foreign investment are no longer hallmarks of China alone. They are increasingly features of economic policymaking in the U.S., the one-time champion of globalization. The European Union, Japan, South Korea and other nations that once carried the flag for free trade and open markets have moved much in the same direction. Even the World Bank—a chief architect and guardian of Western-led globalization—has come around to blessing the merits of industrial policy, a strategy central to China's economic ascent.

To be sure, Washington has not embraced China's economic model wholesale. Neither have Brussels, Tokyo or Seoul. The political, economic and institutional differences between these systems and China's remain vast. But the direction—set by China—is unmistakable.

It was not supposed to be this way. To gain admission to the WTO, China made significant concessions over 15 years of negotiations. Beijing slashed tariffs on industrial goods and agricultural products. Various sectors—manufacturing, distribution, telecommunications, banking and autos—were gradually opened to foreign firms. Commercial laws and regulations were amended or written, including rules governing intellectual property rights. Nontariff barriers like quotas, import licenses, dual pricing and opaque industry standards were either eliminated or phased out. State-owned enterprises were reformed and restructured.

These concessions—and more—were taken as signs that China was serious about becoming a global stakeholder. It stoked optimism among senior U.S. officials that China was inevitably bound to converge and embrace Western economic norms. And, for a while, the bet seemed to pay off.

As China lowered trade and investment barriers at the beginning of the century, U.S. goods exports soared. American firms poured capital into the mainland, attracted by an enormous labor pool, lower production costs and what would soon become one of the largest consumer markets in the world.

China's massive labor pool-cum-ballooning middle class paid off handsomely for Corporate America. U.S. affiliate income earned in China rose from just $1.6 billion (B) in 2001 to nearly $9B by 2010, making China one of the most profitable markets in the world for U.S. goods and services. American consumers, meanwhile, enjoyed the benefits of low-cost China imports. And debt-laden America benefited as China recycled its excess savings into U.S. Treasurys, helping to grease the financial wheels of America.

Investment Implications

We expect China will continue to rely on exports and investment to drive growth amid weak consumption and domestic demand. Manufacturing-heavy economies like Germany remain particularly exposed, reinforcing our neutral stance toward Europe in portfolios.

But just as WTO accession helped boost China's imports, it also supercharged China's export machine. Rather than shrink, as some optimists had predicted, America's merchandise trade deficit with China more than doubled between 2001 ($83.2B) and 2005 ($202.8B) and continued rising thereafter. As the decade wore on, U.S. manufacturing jobs and wages came under intense pressure owing to expanding China imports and the shift in U.S. production to lower-cost China. Entire supply chains migrated across the Pacific, decimating many manufacturing communities across the U.S.

China began producing and exporting at a scale the world had never experienced. In the span of just a decade, China's share of world manufacturing output soared from 8.7% in 2000 to 18.1% in 2010, when the nation eclipsed the U.S. as the world's largest manufacturer of goods. Four years later, China was outproducing all of Europe—and has never looked back (Exhibit 1A).

Today, China sits at the center of global manufacturing and trade, competing not simply in textiles, toys and other low-value products but also in more technology-driven industries like electric vehicles, drones, machinery and clean energy. China now accounts for roughly 28% of global manufacturing, according to the World Bank, well ahead of second place America (17%). Meanwhile, the nation's share of world exports—just 4% in 2001—now stands at 15%, roughly on par with the combined market share of second-place America and Germany (Exhibit 1B). The world is so awash with China goods that the nation is on course to post another annual merchandise trade surplus in excess of $1 trillion.

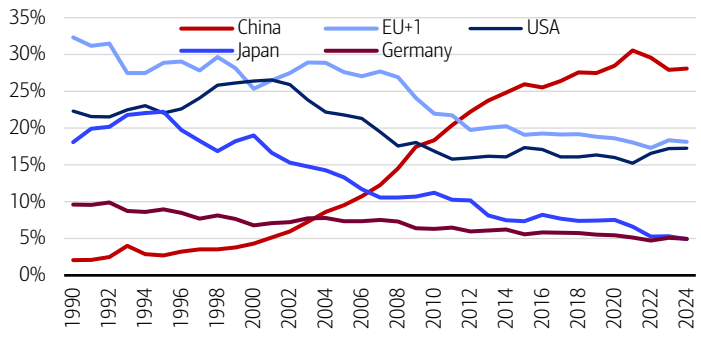
Not surprisingly, China's grip on world trade has significantly dimmed the brimming optimism that greeted the nation's WTO entry a quarter-century ago. Today, the consensus is that China's trade surplus has been aided and abetted by nonmarket practices and policies that include forced technology transfers, currency manipulations, state subsidies to industry, restrictions on foreign investment in strategic sectors, intellectual property infringements and resource protectionism. Rather than dismantle its state-led, nonmarket and mercantilist economy, China has tacked in the other direction, notably under the leadership of Xi Jinping.

For investors, the implications have been profound. We now live in a world where governments increasingly decide which industries are strategically indispensable, which technologies must remain domestically controlled and which companies require public financing. The "Commanding Heights"—or who controls the economy—have shifted from the private sector to the public sector. In this world, investment returns are not only determined by traditional metrics like earnings, the cost of capital and valuations but also by geopolitics, energy costs, trade protectionism and national security. The world today is far different from the world when China joined the WTO.

Suffice it to say that the 25th anniversary of China's entry into the WTO won't be met with much celebration in the West. The consensus in 2001 was that the world would change China. Twenty-five years later, it's China that has changed the world. It's the great convergence no one saw coming.

Exhibit 1: 25 Years Later, China Has Changed the World.

A) Share of Global Manufacturing Value-Add (%).



B) Share of World Exports (%).

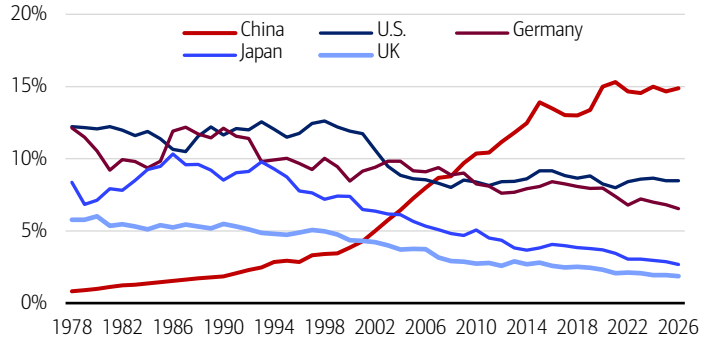


Exhibit 1A) Source: United Nations. Data through 2024, as of November 2026. Exhibit 1B) 2026 refers to year-to-date share through July. Source: International Monetary Fund. Data as of November 2026.

What are we reviewing to gauge the capital investment needed for the proposed Artificial Intelligence buildout and the return required to cover its costs?

Christopher Hyzy, *Chief Investment Officer*

Capex by the 15 largest data center developers are expected to top $1.4 trillion in 2027, which is somewhere between 3.5% and 4% of U.S. GDP. A large portion of the capital investment is earmarked for compute. The total capacity of gigawatts (GW) under construction is around 34GW of Informaton Technology capacity, with the U.S. accounting for approximately 70% of this, according to BloombergNEF. Given the massive compute investment, we continue to analyze closely the total debt financing announced, the approximate cost of capital of the capital providers, the associated revenues needed to match or exceed cost estimates, and the individual credit spreads (as well as credit default swaps spreads) of the larger hyperscalers and chip makers to better assess the overall return on investment of the AI buildout.

BloombergNEF estimates, that at the beginning of this year, the highest-rated data center bonds offered yields below 5%, which is now closer to around 7% today. In addition, AI-tied firms have raised over $460B in debt financing this year, which is more than double that from 2025. Finally, according to BloombergNEF and Bloomberg Intelligence, as of September 18, 2026, it is estimated that the 15 largest publicly listed data center companies would need to produce $2.5 trillion in revenues in 2032 in order to achieve a return on invested capital equal to the company-level weighted average cost of capital. This is about 5 times more than the expected revenue in 2026.

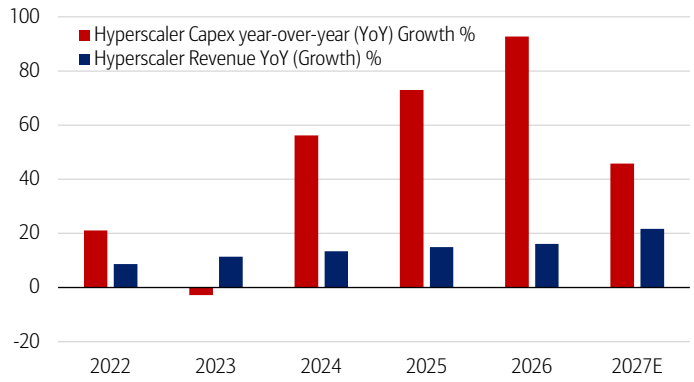
Recently, the concern across the capital markets is that there is not enough financing capital to go around in order to fund the expected buildout, which is one of the primary reasons why credit spreads have widened and yields have risen. We view this as a natural development of such large-scale infrastructure transformations. This is the reason why we continue to watch the overall health of balance sheets of the builders, the level of profitability and margins, and the order backlogs/cancellations in the next few years. We still believe we are closer to the middle of the AI buildout than to the end. Therefore, we view larger-scale weakness in the higher-quality segments of the AI chain as potential buying opportunities for investors who are underexposed to these areas.

Investment Implications

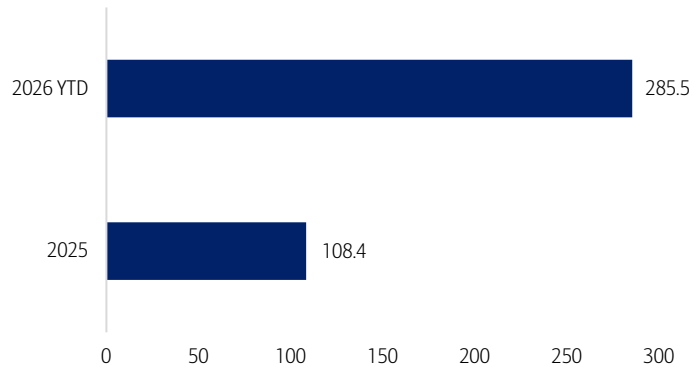
Financing concerns around the AI buildout have widened credit spreads and lifted yields, but we view this as a natural part of the cycle and view larger-scale weakness in the higher-quality segments of the AI chain as potential buying opportunities for investors who are underexposed to these areas..

Exhibit 2: Hyperscaler AI Investment and Revenue Growth May Converge as Debt Issuance Rises.

A) AI Investment and Revenue Growth Expected to Move Closer Together.



B) Debt Issuance Rising Among Major Hyperscalers.



E=estimates. Exhibits 2A) Source: Bloomberg. Data as of November 3, 2026. Exhibit 2B) Source: Bloomberg. Data as of November 3, 2026.

Equities

Equities	Total Return in USD (%) Current	WTD	MTD	YTD
DJIA	51,285.73	-0.9	-0.9	8.1
NASDAQ	24,579.42	-3.4	-3.4	6.3
S&P 500	7,376.86	-2.7	-2.7	8.8
S&P 400 Mid Cap	3,602.50	-1.6	-1.6	10.2
Russell 2000	2,754.11	-2.0	-2.0	12.0
MSCI World	4,739.93	-2.5	-2.5	8.1
MSCI EAFE	3,042.60	-1.8	-1.8	7.5
MSCI Emerging Markets	1,502.29	-4.1	-4.1	8.8

Fixed Income†

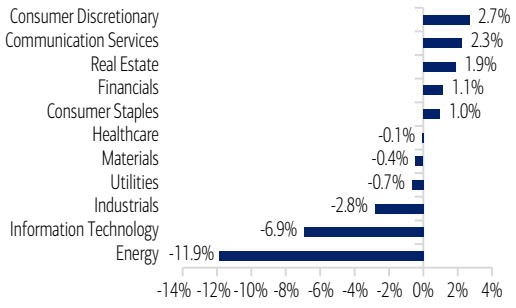
Fixed Income	Total Return in USD (%) Current	WTD	MTD	YTD
Corporate & Government	5.10	0.34	0.34	-0.30
Agencies	4.89	0.28	0.28	0.57
Municipals	4.09	0.92	0.92	0.43
U.S. Investment-Grade Credit	5.19	0.40	0.40	-0.15
International	5.75	0.41	0.41	-0.62
High Yield	8.21	0.40	0.40	0.80
90 Day Yield	4.10	4.08	4.08	3.63
2 Year Yield	4.51	4.59	4.59	3.47
10 Year Yield	4.86	4.93	4.93	4.17
30 Year Yield	5.26	5.31	5.31	4.84

Commodities & Currencies

Commodities	Total Return in USD (%) Current	WTD	MTD	YTD
Bloomberg Commodity	350.34	-4.5	-4.5	26.8
WTI Crude $/Barrel††	90.83	-12.8	-12.8	58.2
Gold Spot $/Ounce††	4070.8	5.1	5.1	-5.8

Currencies	Total Return in USD (%) Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.11	1.12	1.12	1.17
USD/JPY	158.48	157.56	157.56	156.71
USD/CNH	6.67	6.65	6.65	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 11/02/2026 to 11/06/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 11/06/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 11/06/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026A	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.4	3.4
Real U.S. GDP (% q/q annualized)	2.5	2.2	3.4	2.3	2.4	2.3
CPI inflation (% y/y)	2.7	3.8	3.5	3.6	3.4	2.5
Core CPI inflation (% y/y)	2.5	2.7	2.5	2.8	2.6	2.7
Unemployment rate (%)	4.3	4.3	4.1	4.2	4.2	4.1
Fed funds rate, end period (%)	3.63	3.63	3.88	4.13	4.13	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of November 6, 2026.
Sources: BofA Global Research; GWIM ISC as of November 6, 2026.

Asset Class Weightings (as of 11/3/2026)

Asset Class	CIO View Underweight		Neutral		Overweight
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies Private Equity Private Credit Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	CIO View Underweight		Neutral		Overweight
Industrials					●
Financials					●
Healthcare				●	
Consumer Discretionary			●		
Information Technology			●		
Energy			●		
Materials			●		
Utilities		●			
Communication Services		●			
Real Estate		●			
Consumer Staples	●				

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of November 3, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

Important Disclosures

Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.

Bank of America, Merrill, their affiliates and advisors do not provide legal, tax or accounting advice. Clients should consult their legal and/or tax advisors before making any financial decisions.

This material does not take into account a client's particular investment objectives, financial situations, or needs and is not intended as a recommendation, offer, or solicitation for the purchase or sale of any security or investment strategy. Merrill offers a broad range of brokerage, investment advisory and other services. There are important differences between brokerage and investment advisory services, including the type of advice and assistance provided, the fees charged, and the rights and obligations of the parties. It is important to understand the differences, particularly when determining which service or services to select. For more information about these services and their differences, speak with your Merrill financial advisor.

This information should not be construed as investment advice and is subject to change. It is provided for informational purposes only and is not intended to be either a specific offer by Bank of America, Merrill or any affiliate to sell or provide, or a specific invitation for a consumer to apply for, any particular retail financial product or service that may be available.

The Chief Investment Office ("CIO") provides thought leadership on wealth management, investment strategy and global markets; portfolio management solutions; due diligence; and solutions oversight and data analytics. CIO viewpoints are developed for Bank of America Private Bank, a division of Bank of America, N.A., ("Bank of America") and Merrill Lynch, Pierce, Fenner & Smith Incorporated ("MLPF&S" or "Merrill"), a registered broker-dealer, registered investment adviser and a wholly owned subsidiary of Bank of America Corporation ("BofA Corp.").

The Global Wealth & Investment Management Investment Strategy Committee ("GWIM ISC") is responsible for developing and coordinating recommendations for short-term and long-term investment strategy and market views encompassing markets, economic indicators, asset classes and other market-related projections affecting GWIM.

BofA Global Research is research produced by BofA Securities, Inc. ("BofAS") and/or one or more of its affiliates. BofAS is a registered broker-dealer, Member SIPC and wholly owned subsidiary of Bank of America Corporation.

All recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Asset allocation, diversification and rebalancing do not ensure a profit or protect against loss in declining markets.

Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

Alternative investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

© 2026 Bank of America Corporation. All rights reserved.

MERRILL
A BANK OF AMERICA COMPANY

CHIEF INVESTMENT OFFICE

Capital Market Outlook

November 2, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Guide to El Niño: What It Is, Why It Matters, and What to Do About It:* As crude oil flirts with April's highs, and the price of diesel sits comfortably above $6 per gallon, disruption to the global energy complex has emerged as a major theme of 2026. Add yet another variable to the equation: the current "El Niño" event, on track to be one of the strongest on record. The upshot: more extreme weather from droughts to heavy rains, warmer temperatures globally, lower crop production in commodity-exporting economies, and higher prices across major agricultural products. Importantly, these pressures won't be equally distributed and will largely depend on the magnitude and timing of weather events. Among the most vulnerable will be heavily import-dependent countries in the Middle East, Africa and parts of Asia, while developed economies that count food as a smaller share of consumer spending should be better insulated. For investors, the prospect of a very strong El Niño only further reinforces our conviction in several structural trends including a return to higher inflation and higher interest rates, elevated commodity prices amid heightened geopolitical risk and supply chain shortages, and greater investment in energy infrastructure and supply chain resilience. In portfolios, we favor commodities as both an inflation hedge and diversifier.

Market View—*Another Tale of Market Rotation:* October offered another reminder that headline index returns do not always tell the full story. The S&P 500 ended the month slightly lower, but the more muted headline return masked meaningful shifts in market leadership beneath the surface. At the center of the volatility was a sharp unwind in the Artificial Intelligence (AI) trade, particularly across semiconductors and memory stocks. Yet pressure on AI market leaders has not translated into a broad retreat from U.S. Equities. Instead, capital has moved toward previously lagging areas of the market, with Value-oriented, defensive and rate-sensitive stocks gaining ground. While it remains too early to determine whether the shift will prove durable, October's rotation may reflect less a retreat from the AI theme and more a recalibration of valuations and expected returns as market leadership broadens. For investors, the speed of the shift reinforces the importance of diversification as the bull market enters a potentially more mature and differentiated phase.

Thought of the Week—*Reorienting Around AI: From Corporate Plans to Construction to Capital Goods:* AI is reshaping the physical economy, and companies are reorienting capacity and investment plans to meet surging demand for data centers, power and infrastructure. Industrial firms are adding or reviving capacity, while data center construction has increased more than 60% over the past year and is outpacing other major construction categories. At the same time, robust capital goods orders and long lead times for inputs such as generators, switchboards, chillers and transformers highlight both the strength of demand and the supply constraints the buildout faces. Taking stock of these signposts, our view is reinforced that the AI investment cycle remains in its middle innings, creating potential opportunities for companies supplying the equipment and infrastructure behind the buildout.

Merrill Lynch, Pierce, Fenner & Smith Incorporated (also referred to as "MLPF&S" or "Merrill") makes available certain investment products sponsored, managed, distributed or provided by companies that are affiliates of Bank of America Corporation ("BofA Corp."). MLPF&S is a registered broker-dealer, registered investment adviser, Member SIPC and a wholly owned subsidiary of BofA Corp.
Investment products:

Are Not FDIC Insured	Are Not Bank Guaranteed	May Lose Value

Please see last page for important disclosure information.

9205162 11/2026

AUTHORS

Ariana Chiu
Assistant Vice President and Investment Strategist

Kirsten Cabacungan
Vice President and Senior Investment Strategist

Lauren Sanfilippo
Director and Senior Investment Strategistr

MACRO STRATEGY ▶

MARKET VIEW ▶

THOUGHT OF THE WEEK ▶

MARKETS IN REVIEW ▶

Portfolio Considerations

A series of macro shocks, including higher energy prices, rising Treasury yields and shifting Federal Reserve expectations, have tested markets, but resilient economic growth, strong corporate earnings and ongoing artificial intelligence-related investment continue to support a constructive outlook for Equities and risk assets.

We remain overweight Equities, favor U.S. stocks, see potential opportunities in broader market participation and select cyclical sectors, and view higher bond yields as attractive to add income and extend duration.

Guide to El Niño: What It Is, Why It Matters, and What to Do About It

Ariana Chiu, ***Assistant Vice President and Investment Strategist***

As crude oil flirts with April's highs, and the price of diesel sits comfortably above $6 per gallon, disruption to the global energy complex has emerged as a major theme of 2026. Add yet another variable to the equation: the current "El Niño" event, on track to be one of the strongest on record. Below we answer frequently asked questions on El Niño, the potential impact on the global economy and markets and, most importantly, how investors can position portfolios accordingly.

What is El Niño, and what makes this time different? El Niño is the warm phase of the "El Niño-Southern Oscillation," a natural climate pattern occurring every two to seven years. Simply put, El Niño refers to the warming of sea surface temperatures in the eastern Pacific, historically leading to drier conditions in some areas (Southeast Asia, Australia, Central America, southern Africa) and wetter conditions in others (southern U.S., parts of Latin America) (Exhibit 1).

What makes this episode different? Should forecasts prove correct, this El Niño is on track to be historic. The National Oceanic and Atmospheric Administration's latest outlook assigns at least an 83% probability that El Niño's strength during October-December will exceed that of any previous episode since 1950. Already, its impact has been felt via wildfires in Indonesia, the weakest monsoon season in India since 2015,[1] and severe flooding from Paraguay to Peru. The upshot: more extreme weather, hotter temperatures globally, lower crop production in commodity-exporting economies, and higher prices across major agricultural products.

Investment Implications

We expect El Niño to place upward pressure on agricultural goods prices globally. We continue to see commodities as a strategic diversifier and hedge against inflation in portfolios. The U.S. remains our preferred region with companies in Industrials and Materials as potential beneficiaries. Meanwhile, economic impacts to the emerging world will vary by country but the broader Emerging Market (EM) equity market could be less exposed given its significant tilt toward Technology.

Exhibit 1: El Niño's Impact Varies Globally.

Geography	Typical rainfall pattern	Specific impacts
South Asia	Weaker summer monsoon risk	Lower crop yields, water shortages, food inflation
Southeast Asia	Drier	Lower rice and palm oil production, wildfire risk, food inflation
United States	Wetter in the south; warmer/drier in the north	Southern flood risk; lower northern heating demand
Central America & Northern South America	Drier	Drought, lower crop yields, water shortages, food inflation, lower hydropower output
Southern Africa	Drier	Weaker maize harvests, food inflation, lower hydropower output
Western South America	Wetter along the Pacific coast	Flooding, infrastructure damage, disrupted fisheries
Southern South America	Wetter	Flooding and crop damage; potential yield gains in some areas
Australia	Drier	Drought, agricultural losses, elevated wildfire risk, food inflation

Source: National Oceanic and Atmospheric Administration, World Meteorological Organization, Food and Agriculture Organization, Australian Bureau of Meteorology, World Bank. Data as of October 30, 2026.

How will El Niño impact the global economy and markets? Which regions will be most affected? El Niño's impact on the global economy and markets is likely to be felt most via commodity price inflation. Alongside higher energy and fertilizer costs resulting from war in Europe and the Middle East, El Niño could put further upward pressure on commodities like wheat, sugar, corn, soy, cocoa and coffee as drought (or extreme rain) weighs on crop yields and production. Latest estimates from the United Nations Food and Agriculture Organization (FAO) suggest global food prices were up 5.8% year-over-year (YoY) in September (Exhibit 2). Livestock is also likely to be challenged by higher temperatures globally, while flooding has already threatened copper production in Chile. Meanwhile, with hydropower accounting for more than half of the average annual electricity generation in Brazil, Colombia, Peru and other Latin American countries,[2] below-average rainfall in affected areas has huge implications for electricity generation. As an example, Colombia's natural gas demand nearly doubled during the 2023-2024 El Niño event.[2] Another key watchpoint will be whether drier conditions reduce water levels

[1] India Meteorological Department, Bloomberg. Refers to rainfall between June and September as of September 30, 2026.
[2] International Energy Agency, as of October 7, 2026

in the Panama Canal and other key shipping routes, particularly in light of the Strait of Hormuz closure.

These pressures won't be equally distributed and will heavily depend on this El Niño's severity. Among the more vulnerable to higher agricultural prices will be heavily import-dependent countries in the Middle East, Africa, and parts of Asia. So too will economies that count food as a larger share of consumer spending such as the Philippines (36%), Indonesia (33%), Egypt (33%), India (28%), and Vietnam (26%) (Exhibit 3). Developed economies like the U.S. (6%), Canada (10%), and Germany (11%) stand to be better insulated from a food-related shock to headline inflation.

Within the U.S., some impacts could be positive with a potentially milder winter reducing heating costs and wetter conditions in the South improving agricultural conditions. A recent paper from the Federal Reserve Bank of San Francisco found that, in addition to putting upward pressure on personal consumption expenditures (PCE) inflation, strong El Niño episodes have been historically associated with a temporary boost to employment in the following year via better construction conditions in the North and weather-event recovery efforts.[3] In California and parts of the Southwest, El Niño will be yet another stress test for property insurers as flooding and landslide risks increase.

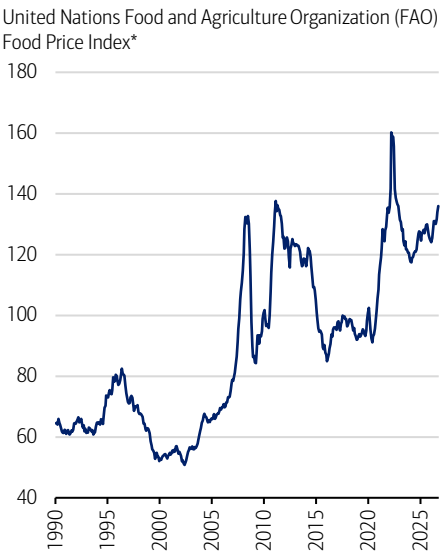
For more vulnerable developing economies, meanwhile, higher food and energy costs could present a policy dilemma. On one hand, governments in vulnerable areas may move to introduce fiscal relief to support households and boost growth. History points to plenty of examples of this, such as Indonesia's cash assistance in late 2023 or Thailand's $1.8 billion in loans to farmers in 2015. On the other hand, elevated inflation expectations and, in some cases, weaker currencies could limit EM central banks' room to ease monetary policy, particularly with several major developed central banks aligned in hiking interest rates. Also complicating matters: Global sovereign debt surpassed $110 trillion in Q2 2026, leaving less fiscal space to absorb incoming shocks.[4]

How can investors position portfolios accordingly? In many ways, the prospect of a very strong El Niño only reinforces structural trends we've identified as defining the coming years: a return to higher inflation and higher interest rates; elevated commodity prices amid heightened geopolitical risk and resource/supply shortages; and greater investment in energy infrastructure and supply chain resilience.

Considering these themes, we continue to like commodities not just as a hedge against higher inflation but also as a diversification tool in portfolios given their negative correlation with Equities and bonds. That's not to mention secular forces placing upward pressure on commodity prices such as the resource-intensive AI buildout and broader protectionism. To wit, the Bloomberg Commodity Index, which spans oil, gold, various metals and agricultural goods has gained nearly 30% this year, handily outperforming the S&P 500 (+1%) and the Bloomberg U.S. Aggregate Bond Index (-1%).

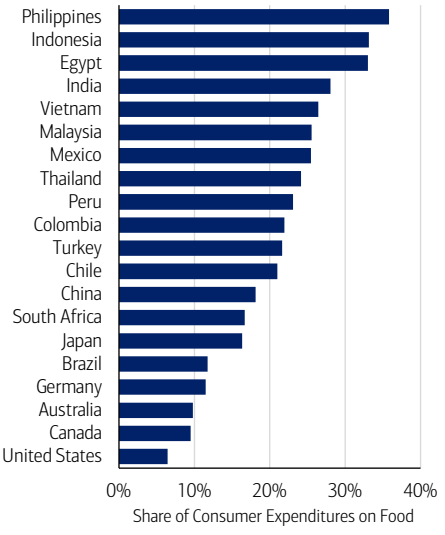
Within Equities, the U.S. is still our preferred region. While upside risk to inflation remains a risk to watch going into 2027, food is a relatively small share of the consumer basket in the U.S., and neither strong services spending nor capital investment should be materially affected by El Niño. Companies within the Industrials and Materials sectors focused on precision agriculture, water management and crop protection may be positioned to benefit. Import-dependent EM economies remain particularly exposed, though impacts will vary widely depending on the magnitude and timing of weather events. It's worth noting too that EM Equities remain heavily concentrated in East Asian markets with substantial exposure to technology, leaving the broader index arguably less exposed to the economic ramifications of El Niño than in past episodes. Indeed, even after recent weakness in semiconductor names, Taiwan, Korea, and China together account for a near-70% of the broader MSCI Emerging Markets Index.[5] We maintain a slight overweight to the region in portfolios given earnings strength but favor an active approach.

Exhibit 2: Global Food Prices Headed Higher.



*Base period price consists of the averages for the year 2014-2026=100. Source: United Nations. Data through September 2026, as of October 2, 2026. Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

Exhibit 3: Developing World More Vulnerable to Higher Food Prices.



Source: USDA Economic Research Service, Oxford Economics. Data refers to 2025, as of August 11, 2026.

[3] Federal Reserve Bank of San Francisco, October 13, 2026.
[4] Institute of International Finance, as of September 23, 2026.
[5] FactSet, as of October 27, 2026.

Another Tale of Market Rotation

Kirsten Cabacungan, ***Vice President and Senior Investment Strategist***

October offered another reminder that headline index returns do not always tell the full story. The S&P 500 ended the month slightly lower, down almost 1%, but the more muted headline return masked meaningful shifts in market leadership beneath the surface. At the center of the volatility was a sharp unwind in the AI trade, particularly across semiconductors and memory stocks, with the Philadelphia Semiconductor Index experiencing a 19% intramonth drawdown. The dominant concerns in recent months have centered on the sustainability of AI infrastructure spending and whether the scale of investment will ultimately generate sufficient returns. Those only intensified amid a sharp rise in bond yields after the 10-year U.S. Treasury yield spiked above 5.3% as of October 5 for the first time since 2002, raising scrutiny over AI financing conditions and whether higher borrowing costs could increase hurdle rates for continued investment and slow the pace of capital spending.

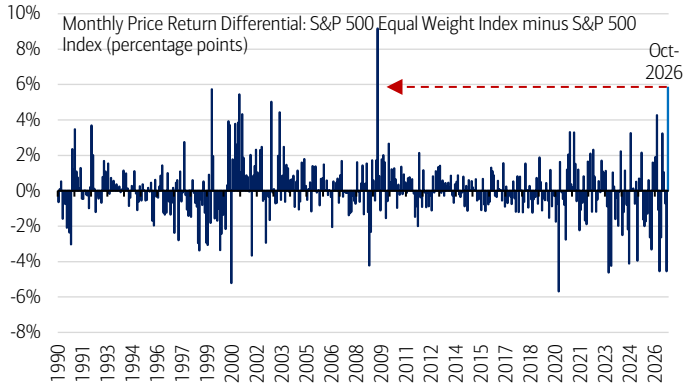
Yet the pressure on AI market leaders has not translated into a broad retreat from U.S. Equities. Instead, capital has moved toward previously lagging areas of the market, with Value-oriented, defensive and rate-sensitive stocks gaining ground. Value defeated Growth in October, with the Russell 1000 Value Index outperforming its Growth counterpart by 10 percentage points, an outcome seen in only about 1% of months since 1979. The move extends Value's outperformance for the year, with the index up 23% year-to-date compared with down almost 1% for Growth. Participation also improved. The equal-weighted S&P 500 outperformed its market-cap-weighted counterpart by its widest monthly gap since 2009 (Exhibit 4A), while the share of S&P 500 constituents trading above their 200-day moving average rebounded to 62% from just 43% at the end of September, and 76% of stocks outperformed the index for the month.

Investment Implications

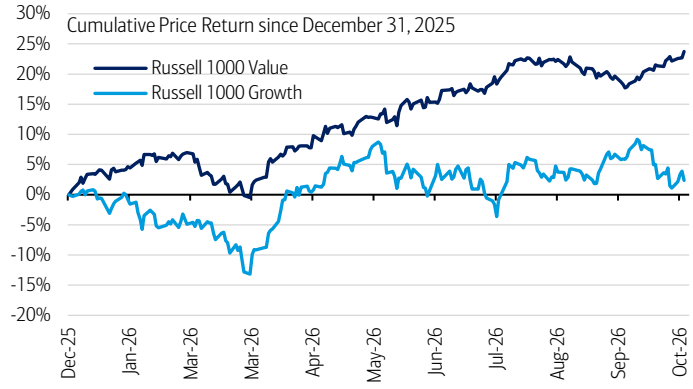
We continue to look for potential missing opportunities and favor diversification across and within asset classes in a multi-asset portfolio. In particular, we see potential opportunities to broaden exposure beyond AI leaders toward areas where earnings, capital spending and productivity trends are improving, including Value, Small- and Mid-caps, and select non-U.S. markets, particularly EMs and Japan. As market leadership evolves, maintaining diversified exposures and periodically rebalancing portfolios can help investors participate in a broader set of possible return drivers without becoming overly dependent on any single theme.

Exhibit 4: Market Leadership Has Been Shifting Beneath the Surface.

A) October Saw a Sharp Broadening in Market Leadership.



B) Value Has Quietly Led Growth in 2026.



Exhibits 4A and 4B) Source: Bloomberg. Data as of October 30, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

The latest rotation is not the first attempt at a change in market leadership this year. The more important question is what that shift represents: a fundamental reassessment of the AI trade or another step toward broader, more mature market leadership? Recent Q3 Technology earnings results have sharpened that debate. Investors are increasingly looking beyond the scale of AI spending to companies' ability to translate that investment into durable growth and attractive returns. The result may be greater dispersion not only between Growth and Value, but also among AI leaders as investors become more discerning about which companies can justify the scale of their investments.

But greater selectivity does not necessarily signal the end of the AI investment cycle. YoY growth rates may become harder to maintain after two years of rapid acceleration as the comparison base rises, but absolute levels of AI capital spending remain elevated. What matters more is whether spending translates into strong productivity and earnings growth ahead and whether AI demand continues to support investment. October's volatility may therefore reflect less a retreat from the AI theme and more a recalibration of valuations and expected returns, as other areas of the market begin to contribute more meaningfully to market performance.

Several developments ahead will help determine whether that rotation has staying power. One important test is whether broader participation can persist if pressure on AI stocks continues. Continued strength outside the AI trade would support the case that investors are reallocating capital rather than broadly reducing risk. The path of monetary policy will also matter as investors assess where borrowing costs may be headed. The Federal Reserve's not-so-hawkish hold in October offered some reassurance, but the path ahead remains dependent on the evolving balance between inflation and growth. Any signs of resolution of geopolitical tensions remain an important swing factor particularly as recent flashpoints in the Middle East have pressured energy prices higher again. Results of the midterm elections should also provide greater visibility into the policy landscape for the next few years. While the market does not need every clearing event to resolve favorably, greater clarity around these uncertainties could help narrow the range of potential outcomes facing investors.

For investors, October's sudden change in leadership reinforces the importance of diversification. Leadership can shift quickly, leaving portfolios that become overly dependent on a single theme, sector or style particularly vulnerable when it does. We remain constructive on U.S. Equities and believe that the market may be transitioning more toward a mid-cycle phase in which returns become broader but also more measured compared to the sharp acceleration earlier in the cycle. That argues not for abandoning the market's long-term winners, but for complementing them with exposure to additional sources of returns across style, size, sector and region.

THOUGHT OF THE WEEK

Reorienting around AI: From Corporate Plans to Construction to Capital Goods

Lauren Sanfilippo, *Director and Senior Investment Strategist*

For all the questions (and recent market weakness) hanging over the AI trade, from monetization and cash burn to financing risk and overcapacity, a measurable aspect is the buildout itself. Data center construction is lifting construction spending and capital goods orders, while companies are adding and reviving capacity to meet AI-related demand. Still, planning delays, access to power, labor scarcity, local politics and the cost of capital remain meaningful constraints on the buildout's pace or profitability.

Investment Implications

As capacity struggles to keep pace with demand, supply bottlenecks may reinforce the investment case for the companies providing the infrastructure behind the AI buildout.

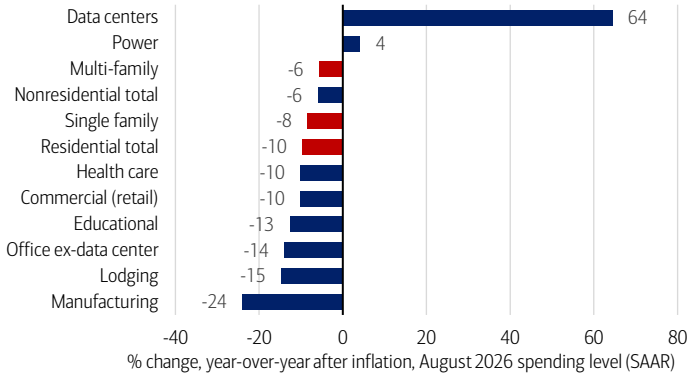
Corporate Plans. Take Caterpillar as one example that has resumed production of a 10-megawatt natural gas turbine discontinued back in 2022. A 175-year old glassmaker, Corning, is leaning into optical connectivity as AI clusters require faster connections of optical fiber cabling between servers. Caterpillar and Corning are just two companies among others pivoting to supply data centers.

Construction to Capital Goods. The AI reorientation is evident in construction spending as well, where data center construction has outpaced every other major residential and nonresidential category. Over the last year AI-related construction on data centers has surged more than 60% while spending on residential, lodging, commercial or office has declined notably (Exhibit 5A). Data center construction is running at an $85 billion (B) annualized rate this year, versus roughly $49B a year earlier, and now accounts for 11% of private nonresidential construction, up from just 2% in 2022 according to the Census Bureau. Similarly, demand for artificial intelligence business equipment and transportation equipment drove an increase in durable goods orders in September on the back of new orders for U.S.-manufactured capital goods, suggesting business spending on equipment remained robust in Q3. Another factor, see Exhibit 5B, where critical components such as generators, switchboards, chillers and transformers continue to face long lead times that affect delivery timelines and ultimate profitability for new data center development.

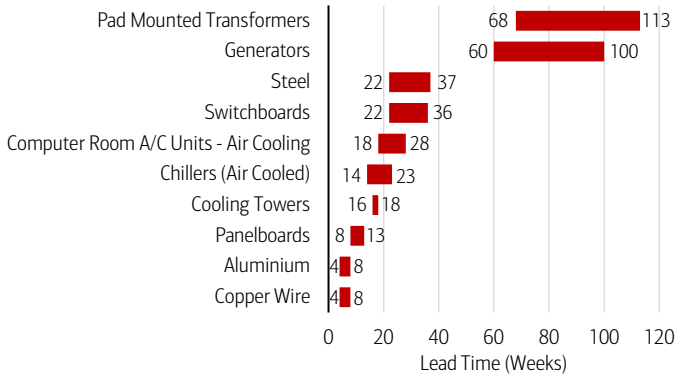
These signposts reinforce our view that we are only in the middle innings of the AI investment cycle. From an investment perspective, huge demand for data centers, power systems, networking infrastructure, specialized chips and other equipment continues to strain supply, creating both bottlenecks and potential opportunities for companies powering the buildout.

Exhibit 5: Work Zone: Construction Spending and Input Supply Lead Times.

A) Data Centers and Power are Bright Spots in Construction Spending.



B) AI-Critical Equipment Lead Times.



Exhibits 5A) Red is residential, blue represents nonresidential. Note: Nominal Census spending deflated by the Producer Price Index for Final Demand Construction. Source: Census Bureau. Data as of September 2026. Exhibit 5B) Source: Cushman & Wakefield Research, *Development Cost Guide 2026*, October 2026.

Equities

Equities	Total Return in USD (%) Current	WTD	MTD	YTD
DJIA	51,770.31	-0.8	1.8	9.1
NASDAQ	25,437.00	-2.0	-5.3	10.0
S&P 500	7,580.07	-0.6	-0.9	11.8
S&P 400 Mid Cap	3,662.22	1.3	1.9	12.0
Russell 2000	2,811.84	1.3	0.6	14.4
MSCI World	4,862.38	-0.2	-0.8	10.9
MSCI EAFE	3,100.62	0.9	-0.7	9.5
MSCI Emerging Markets	1,566.63	-0.7	-8.0	13.5

Fixed Income†

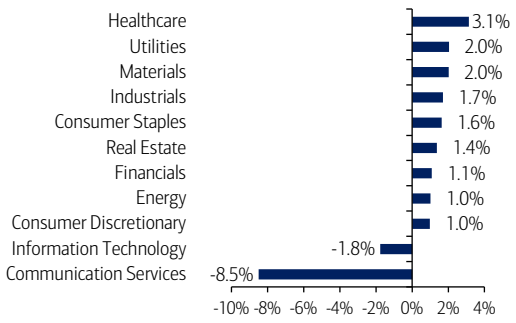
Fixed Income	Total Return in USD (%) Current	WTD	MTD	YTD
Corporate & Government	5.14	0.51	2.27	-0.64
Agencies	4.94	0.40	1.49	0.28
Municipals	4.21	0.66	3.85	-0.48
U.S. Investment-Grade Credit	5.24	0.56	2.44	-0.54
International	5.79	0.48	2.16	-1.02
High Yield	8.31	0.50	0.30	0.40
90 Day Yield	4.08	4.12	4.11	3.63
2 Year Yield	4.59	4.68	4.89	3.47
10 Year Yield	4.93	4.99	5.28	4.17
30 Year Yield	5.31	5.32	5.63	4.84

Commodities & Currencies

Commodities	Total Return in USD (%) Current	WTD	MTD	YTD
Bloomberg Commodity	366.74	-1.7	-0.1	32.8
WTI Crude $/Barrel††	104.12	0.8	15.2	81.3
Gold Spot $/Ounce††	3874.62	-3.0	-6.8	-10.3

Currencies	Total Return in USD (%) Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.12	1.12	1.13	1.17
USD/JPY	157.56	156.87	157.41	156.71
USD/CNH	6.65	6.67	6.71	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 10/26/2026 to 10/30/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 10/30/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 10/30/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026A	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.3	3.4
Real U.S. GDP (% q/q annualized)	2.5	2.2	3.4	2.3	2.4	2.3
CPI inflation (% y/y)	2.7	3.8	3.5	3.7	3.4	2.7
Core CPI inflation (% y/y)	2.5	2.7	2.5	2.7	2.6	2.7
Unemployment rate (%)	4.3	4.3	4.1	4.2	4.2	4.1
Fed funds rate, end period (%)	3.63	3.63	3.88	4.13	4.13	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of October 30, 2026.
Sources: BofA Global Research; GWIM ISC as of October 30, 2026.

Asset Class Weightings (as of 10/6/2026)

Asset Class	CIO View Underweight		Neutral		Overweight
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies Private Equity Private Credit Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	CIO View Underweight		Neutral		Overweight
Industrials					●
Financials					●
Healthcare				●	
Consumer Discretionary			●		
Information Technology			●		
Energy			●		
Materials			●		
Utilities		●			
Communication Services		●			
Real Estate		●			
Consumer Staples	●				

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of October 6, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

RETURN TO FIRST PAGE

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500/Market-cap Weighted Index is a market-capitalization-weighted index that is widely regarded as the best single gauge of large-cap U.S. equities. The index includes 500 leading companies and covers approximately 80% of available market capitalization.

S&P 500 Equal-Weighted Index includes the same constituents as the capitalization weighted S&P 500, but each company in the S&P 500 EWI is allocated a fixed weight - or 0.2% of the index total at each quarterly rebalance.

Bloomberg U.S. Aggregate Bond Index is a broad-based, market-capitalization-weighted benchmark that measures the performance of the U.S. investment-grade, U.S. dollar-denominated, fixed-rate taxable bond market

Bloomberg Commodity Index is a broadly diversified financial benchmark that tracks the price movements of physical commodities through futures contracts.

MSCI Emerging Market Index captures large and mid cap representation across 24 Emerging Markets (EM) countries.

United Nations Food and Agriculture Food Price Index is a measure of the monthly change in international prices of a basket of food commodities.

Philadelphia Semiconductor Index is a market-cap-weighted index focusing on 30 leading semiconductor firms, offering insights into the tech market.

Russell 1000 Value Index tracks large- and mid-cap U.S. stocks within the Russell 1000 that exhibit value characteristics, such as lower price-to-book ratios and lower forecasted growth rates.

Russell 1000 Growth Index is a market capitalization-weighted index that tracks large-cap U.S. companies with higher price-to-book ratios and higher forecasted growth rates, operated by FTSE Russell.

Important Disclosures

Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.

Bank of America, Merrill, their affiliates and advisors do not provide legal, tax or accounting advice. Clients should consult their legal and/or tax advisors before making any financial decisions.

This material does not take into account a client's particular investment objectives, financial situations, or needs and is not intended as a recommendation, offer, or solicitation for the purchase or sale of any security or investment strategy. Merrill offers a broad range of brokerage, investment advisory and other services. There are important differences between brokerage and investment advisory services, including the type of advice and assistance provided, the fees charged, and the rights and obligations of the parties. It is important to understand the differences, particularly when determining which service or services to select. For more information about these services and their differences, speak with your Merrill financial advisor.

This information should not be construed as investment advice and is subject to change. It is provided for informational purposes only and is not intended to be either a specific offer by Bank of America, Merrill or any affiliate to sell or provide, or a specific invitation for a consumer to apply for, any particular retail financial product or service that may be available.

The Chief Investment Office ("CIO") provides thought leadership on wealth management, investment strategy and global markets; portfolio management solutions; due diligence; and solutions oversight and data analytics. CIO viewpoints are developed for Bank of America Private Bank, a division of Bank of America, N.A., ("Bank of America") and Merrill Lynch, Pierce, Fenner & Smith Incorporated ("MLPF&S" or "Merrill"), a registered broker-dealer, registered investment adviser and a wholly owned subsidiary of Bank of America Corporation ("BofA Corp.").

The Global Wealth & Investment Management Investment Strategy Committee ("GWIM ISC") is responsible for developing and coordinating recommendations for short-term and long-term investment strategy and market views encompassing markets, economic indicators, asset classes and other market-related projections affecting GWIM.

BofA Global Research is research produced by BofA Securities, Inc. ("BofAS") and/or one or more of its affiliates. BofAS is a registered broker-dealer, Member SIPC and wholly owned subsidiary of Bank of America Corporation.

All recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Asset allocation, diversification and rebalancing do not ensure a profit or protect against loss in declining markets.

Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

Alternative investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

© 2026 Bank of America Corporation. All rights reserved.

MERRILL
A BANK OF AMERICA COMPANY

CHIEF INVESTMENT OFFICE

Capital Market Outlook

October 26, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Oil Price Dynamics Remain Key to the Outlook:* Escalating conflicts have turned the initial Iran-war crude-oil shock into a persistent crisis, causing oil and refined fuel prices to take a turn for the worse since mid-summer. The U.S. average diesel price reached new highs, nearly double year-ago levels, with anecdotal evidence of fuel surcharges propagating the inflationary impulse throughout the supply chain. Not surprisingly, inflation has remained sticky above target, contributing to a spike in interest rates, some growth data disappointments and a loss of equity-market momentum in recent months.

Peaking oil prices and favorable signals from recent cross-asset performance and Treasury yields have come in from their highs, the dollar has softened, downside pressure on non-technology Equities has eased and the market advance/decline ratio has improved—suggest oil market developments remain key for the outlook.

Market View—*Six Questions Investors Should Be Asking Themselves Right Now:* After four years of rising equity prices, investors have plenty to celebrate. The S&P 500 Index has returned some 131% (total returns) since the bull market in Equities commenced in October 2022. Corporate earnings have generally exceeded expectations, Artificial Intelligence (AI) has ignited a historic investment boom, and America's technology giants have powered the market to new heights. We believe the bull will rumble on into 2027.

We also believe that investors should take stock of their portfolios by asking themselves the following questions: *How concentrated is my portfolio? How diversified is it? How tax-efficient is my portfolio? Is now the time to take profits? How is my portfolio positioned given the new interest rate regime? And how shock-proof is my portfolio?*

The Ticker Tape—*Top Questions Answered Directly by Our Chief Investment Officer (CIO).*

- What are rising credit spreads signaling about the broader market environment?

AUTHORS

Chief Investment Office
Macro Strategy Team

Joseph Quinlan
Managing Director and Head of Market Strategy

Christopher Hyzy
Chief Investment Officer

MACRO STRATEGY ▶

MARKET VIEW ▶

THE TICKER TAPE ▶

MARKETS IN REVIEW ▶

Portfolio Considerations

A series of macro shocks, including higher energy prices, rising Treasury yields, and shifting Federal Reserve expectations, have tested markets, but resilient economic growth, strong corporate earnings, and ongoing Artificial Intelligence-related investment continue to support a constructive outlook for Equities and risk assets.

We remain overweight Equities, favor U.S. stocks, see potential opportunities in broader market participation and select cyclical sectors, and view higher bond yields as attractive to add income and extend duration.

Merrill Lynch, Pierce, Fenner & Smith Incorporated (also referred to as "MLPF&S" or "Merrill") makes available certain investment products sponsored, managed, distributed or provided by companies that are affiliates of Bank of America Corporation ("BofA Corp."). MLPF&S is a registered broker-dealer, registered investment adviser, Member SIPC and a wholly owned subsidiary of BofA Corp.
Investment products:

Are Not FDIC Insured	Are Not Bank Guaranteed	May Lose Value

Please see last page for important disclosure information.

Oil Price Dynamics Remain Key to the Outlook

Chief Investment Office, *Macro Strategy Team*

Inflation, interest rates and equity market dynamics have changed materially since mid-August, as widening attacks on Middle East and Russian crude oil and refining capacity worsened supply and price conditions. Indeed, with the oil market already strained, an early-September attack on a major Saudi Arabian export pipeline sharply raised concerns about a protracted and deepening oil crisis. While Middle East crude exports eventually managed to significantly rebound, increased security risks and freight costs raised physical crude prices.

Against this backdrop, the spot Brent price surged from $92/barrel in mid-August back into a $115 to $135/barrel price range until recently. Reflecting unusual market tightness, other North Sea oil grades were recently trading even higher, up to $160/barrel, according to the International Energy Agency (IEA). Even as it cooled from $135 to $115/barrel between October 2 and October 20, spot Brent is still almost double year-ago levels, and so are many diesel prices. The AAA average U.S. retail diesel price recently hit a new record and was 74% higher year-over-year (YoY) as of October 20. With insufficient regional supply, the New York Harbor wholesale diesel price is 130% higher from a year ago, according to the Energy Information Administration (EIA).

Indeed, sharply higher oil prices and a growing diesel shortage have put the global diesel market under extreme strain. The U.S., for example, has little distillate cushion and limited spare refining capacity. The distillate inventory (diesel and fuel oil) has decreased from 37 days of demand coverage in January to just 26 days by early October, according to the EIA. This 30% drop brought the supply buffer to the bottom of its historical range. With limited refining capacity and reliance on imports for about 10% of regional consumption, East Coast distillate inventories are the lowest since 1990, for example, and are expected to remain below their 5-year average into late 2027, according to EIA data. More broadly, according to the IEA's October Oil Market Report (OMR), "oil market balances are forecast to remain in deficit through the end of the year, with constrained middle distillate supplies likely to persist well into 2027."

Thus, although wage growth/labor demand do not appear inflationary, the oil crisis risks continuing to feed "core" inflation. According to the Federal Reserve's Beige Book[1] covering precisely the mid-August to early-October period of heightened oil-market turmoil, "higher oil prices permeated all District reports," with firms noting that fuel surcharges were passing on increased costs throughout the supply chain. The 22% rise in airfares over the past year alone contributed around 0.2 percentage point (pp) to the 2.6% 12-month increase in the "core" consumer price index (CPI) for September. Aside from transportation costs effects, the spike in diesel prices also portends high food prices with a few-month lag given planting/harvesting cost considerations.

By solidifying expectations for higher Fed interest rates to fight inflation, the surge in oil prices has contributed to the spike in long-term Treasury yields this year. According to an October 13, 2026, Empirical Research Partners report, the Iran-war oil crisis is estimated to have contributed about 0.50 pp to the roughly 2.40 pp increase in the real U.S. long-term Treasury rate from 2020 to early October (Exhibit 1A). According to the report, this oil-price effect accounts for "much of the rise in real rates since February 27, 2026…" On the positive side, while most other underpinnings for higher rates compared to the pre-pandemic decade are structural (Exhibit 1A), the oil-price-related effect on interest rates is reversible, implying that a resolution to the current oil crisis has the potential to help lower both inflation and interest rates, relieving some of the current headwinds to growth and asset prices.

Indeed, while much of the increase in interest rates since the pandemic reflects stronger, more normal economic growth, and has thus been accompanied by surging corporate

Investment Implications

Oil market conditions remain a swing factor for the outlook. A shift lower in oil risk premia and improvement on the refining front would go a long way toward easing inflation and interest rates while bolstering risk-asset appetite. A gradual increase in Fixed Income portfolio duration continues to make sense, in our view.

[1] Summary of Commentary on Current Economic Conditions by Federal Reserve District, Federal Reserve, October 2026.

earnings and risk-asset prices, worsening oil-market conditions since mid-summer and associated spike in yields have been accompanied by a loss of momentum in U.S. equity prices (Exhibit 1B). Given their higher sensitivity to energy price and interest rates shocks, Small-caps lost relatively more momentum than Large-caps during this period.

The Large-cap rally also faded, though, as oil and interest rate headwinds widened stock-level return dispersion, with roughly 40% of constituent stocks in bear market territory (down 20% or more). Still, buoyed by the Technology sector as well as by expectations of conflict resolution, the market-capitalization weighted S&P 500 Index has mainly consolidated just below its peak. While the equal-weighted S&P 500 Index stumbled more, it was just about 3% off its peak as of October 20.

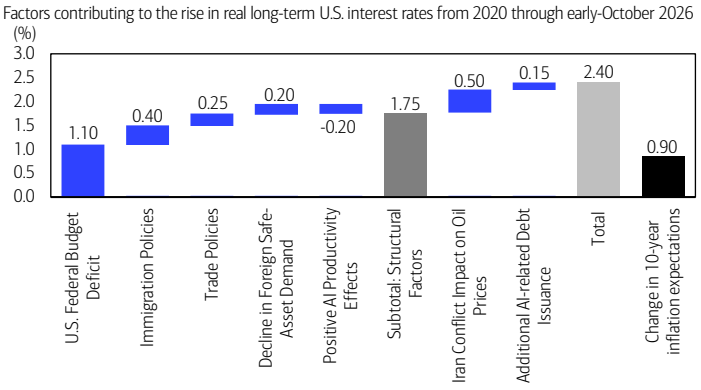
While the economy remains resilient and profit expectations remain strong, persistent oil market turmoil makes the macro backdrop more fragile. For example, the Beige Book not only highlights concern about spreading fuel-related inflation, as noted above, but its language also suggests that economic activity lost some momentum since its mid-July to late-August report. Overall, it describes growth as slight to moderate, with generally moderate manufacturing growth except for robust activity in the energy-heavy Dallas District. Little growth is reported in other sectors overall, with most Districts seeing little to no change in consumer spending, for example.

Employment was described as stable to little changed, with generally adequate labor supply except for certain specialized trade workers. Five of twelve Districts note some reports of businesses cutting staff through attrition, delaying hiring or anticipating less job creation as a result of AI-driven productivity gains. Most Districts reported that business maintained a positive outlook for coming months, though "expectations tend to be for slight growth, weighted toward manufacturing and burdened by persistent uncertainty."

The September employment and retail sales reports seem to validate the anecdotal Beige Book evidence. Also, the 0.4% annualized manufacturing production growth over the July to September period (and 1.1% YoY, according to the Federal Reserve Broad), while welcome, is hardly an indication of booming conditions. Against a backdrop of rising electricity prices, wage growth lagging inflation, and higher gasoline prices broadly offsetting this year's tax cut benefits, real consumer spending is unlikely to accelerate much absent stronger labor demand and real wage growth. A resolution to the oil crisis that brings economic relief and tempers interest rates is thus critical for continued expansion in 2027, in our view.

Exhibit 1: While Equities Have Weathered the Structural Increase in Interest Rates Since 2020, Many Have Struggled in the Face of Growing Exogenous Oil Shock Effects on Inflation and Rates.

A) Increase in real long-term interest rate since 2020 mostly structural. However, much of this year's increase appears due to oil-price effects.



B) Rising oil prices have restrained equity-market rally.

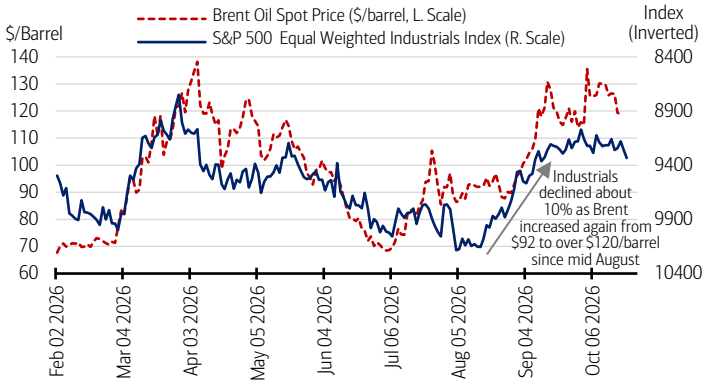


Exhibit 1A) Source: Empirical Research Partners. Data as of October 13, 2026. Exhibit 1B) Source: Haver Analytics. Data as of October 21, 2026. Past performance is no guarantee of future results. Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

Six Questions Investors Should Be Asking Themselves Right Now

Joseph Quinlan, *Managing Director and Head of Market Strategy*

Investment Implications

Portfolio maintenance is a key component of successful investing. It's time for investors to assess their portfolios—or look under the hood.

After four years of rising equity prices, investors have plenty to celebrate. Despite inflation scares, geopolitical tensions, trade wars, rising interest rates and breathless predictions around AI, the S&P 500 has returned some 131% (total returns) since the bull market in equities commenced in October 2022. Corporate earnings have generally exceeded expectations; AI has ignited a historic investment boom, and America's technology giants have powered the market to new heights.

We believe the bull will rumble on into 2027. We also believe that now is the time for investors to take stock of their portfolios, since bull markets have a way of changing the composition of portfolios. In addition, investors should not assume that the investment strategies that worked well in the past four years will necessarily deliver comparable results during the next four. Below are six questions investors should be asking themselves right now:

Number One: How concentrated is my portfolio? Many investors believe they are invested in the stock market when, in fact, they are invested in a handful of companies—specifically AI-related names that have soared and dominated the index over the past few years. Information technology now accounts for roughly 40% of the market cap of the S&P 500, while the top 10 companies represent a share of 38.4%.

As the Financial Times recently noted, U.S. equity and credit markets have become so increasingly concentrated in AI-related groups that "more than two-thirds of companies in the Russell 1000 index of large U.S. groups are linked to AI, either directly or indirectly or because the technology is becoming embedded in their business models."[2] Meanwhile, Big Technology hyperscalers and companies that are beneficiaries of the AI spending boom make up about 16% of the U.S. high-grade bond market after a huge borrowing binge, making the grouping the largest in the investment-grade bond market.[2] The upshot: Investors that have been rewarded by concentration need to ask themselves what percentage of their wealth is tied to the all-encompassing AI trade and consider what would happen if mega-cap tech leadership falters.

Number Two: How diversified is my portfolio? While concentration asks whether investors own too much of a few assets, diversification asks whether investors own enough of different assets that behave differently when economic cycles or financial conditions change. A portfolio containing hundreds of U.S. Equities via exchange-traded funds, mutual funds and other assets may appear diversified. But if those companies are overwhelmingly exposed to the same economic cycle, interest rate environment, or technology theme, the diversification benefits are diluted. Case in point: While we remain constructive on Emerging Market (EM) Equities, investors need to understand that a significant driver of EM returns has come from AI-driven markets like Taiwan and South Korea.

Today, true diversification means considering exposure to hard assets (commodities, real estate), EM mining and agricultural leaders, EM bonds and currencies, China bio-technology, Small-cap international, and Private Equity and Hedge Funds for qualified investors.

Number Three: How tax-efficient is my portfolio? Bull markets create wealth—in addition to tax liabilities. The good news is that after four years of rising equity returns, investors are sitting on sizable, unrealized capital gains. The bad news: Market gains can feel like a financial straitjacket, making it difficult to rebalance portfolios without triggering significant tax liabilities.

Against this backdrop, now is the time for investors to review where the assets are held—distinguishing between taxable and tax-advantaged accounts, and the attendant tax ramifications. The appropriate mix depends on individual circumstances, including future

[2] "Investors seek shelter from heightened exposure to AI", The Financial Times, October 6, 2026.

withdrawal taxes. It is also time to consider tax-loss strategies, charitable donations of securities and other tactics and strategies since in the end, the measure of investment success isn't simply how much money investors make. It's how much they keep.

Number Four: Is it time to take profits?* There is a peculiarity to bull markets: The more money investors make, the more the attendant tax liabilities. Tax liabilities, in turn, can discourage selling, and the reluctance to sell can leave investors dangerously exposed to yesterday's leaders and compound concentration risks. That brings up an emotionally difficult decision: *When should investors sell their leaders or take some chips off the table? The question is notably relevant today, given four years of substantial Equity gains.*

Beyond tax considerations, investors need to understand that profit-taking can create financial flexibility. Realized after-tax gains can replenish cash reserves, fund near-term spending needs, reduce leverage or most importantly, provide capital to rebalance portfolios in other areas of the market. In general, the goal of taking profits isn't to get out of the market—it is to ensure that after years of accumulated gains, these proceeds are redeployed and redistributed across various asset classes that continue to support and underpin long-term wealth accumulation.

Number Five: How well is my portfolio positioned for a new interest rate regime? For much of the past quarter century, investors operated in a world of copious liquidity, declining interest rates and relatively cheap capital. The era of capital abundance favored stocks over bonds, but that era is over—we are shifting to a world of capital scarcity, or intense competition for capital and the attendant hike in the cost of capital.

In this world, higher rates weigh the most on long-duration assets. Positioning for this regime favors companies with strong balance sheets and cash flow over firms with heavy debt or refinancing needs. High-quality bonds are more attractive in this environment; sovereign debt risks are concentrated more overseas (i.e., France) than the U.S.

Number Six: How well is my portfolio positioned for the next shock? Shocks happen. If the past four years have taught investors anything, it is that the unexpected should be the expected. This decade alone has produced gut-wrenching market moves related to a global pandemic, a ground war in Europe, the reconfiguration of global supply chains, epic technological change and a war in the Middle East. Through it all, U.S. Equities have trended higher but hardly in a linear fashion.

The next shocks could emerge in the global bond market, where mounting government debt and higher borrowing costs have triggered mounting volatility. It could emerge from disappointing returns on massive AI investments. Or it could come from a geopolitical event, another energy shock or any other unforeseen event. Investors can't predict the next shock, but they can prepare for it. So now is the time for investors to stress test their portfolios against a potential shock, examining how a steep downdraft in Equities or spike in bond yields would affect their retirement plans, liquidity needs and other financial goals and objectives.

Exhibit 2: Six Questions to Stress Test Your Portfolio.

The six questions	What investors should examine	Portfolio diagnostic
1. How concentrated am I?	Mega-cap technology exposure and overlapping holdings	% of portfolio in top 10 stocks
2. Am I truly diversified?	Asset allocation, geographic mix and correlated exposures	Current equity/bond mix versus target
3. How tax-efficient am I?	Unrealized gains, asset location and tax-loss harvesting	Embedded capital gains and estimated tax cost of rebalancing
4. Is it time to take profits?	Portfolio drift, oversized winners and valuations	Positions exceeding target allocation
5. Am I ready for higher interest rates?	Duration, leverage, refinancing risks and cash flows	Bond duration and exposure to highly leveraged companies
6. Am I prepared for the next shock?	Liquidity, downside exposure and portfolio resilience	Estimated loss in a 20% equity selloff

Source: Chief Investment Office. Data as of October 22, 2026.

* "Pop the Champagne," Portfolio Insights, Chief Investment Office, August 2026.

What are rising credit spreads signaling about the broader market environment?

Christopher Hyzy, *Chief Investment Officer*

Rising French bond yields with a sharp rise in spreads above German bunds, mixed with AI buildout concerns, are creating nervousness across the capital markets. This nervousness centers around the ability to fund deficits, the potential for slower growth and the future return on the announced capital investment. We expect these concerns to continue to linger well into next year as growth worries remain in France, bond yields stay sticky around current levels, and, in the case of AI, investors demand more compensation for financing.

At this stage, we do not expect the rising spreads in targeted areas to be a precursor for a material slowdown in economic growth overall. Rather, we believe this is a natural signal that investors are moving up the quality stack as we move into the middle of the AI buildout. The bottom line is that rising credit spreads in lower quality corners of the market are natural along the lifecycle of financing. When free cash flow is called into question, or when debt financing costs begin to approach the expected return on investment, investors begin to reprice risk.

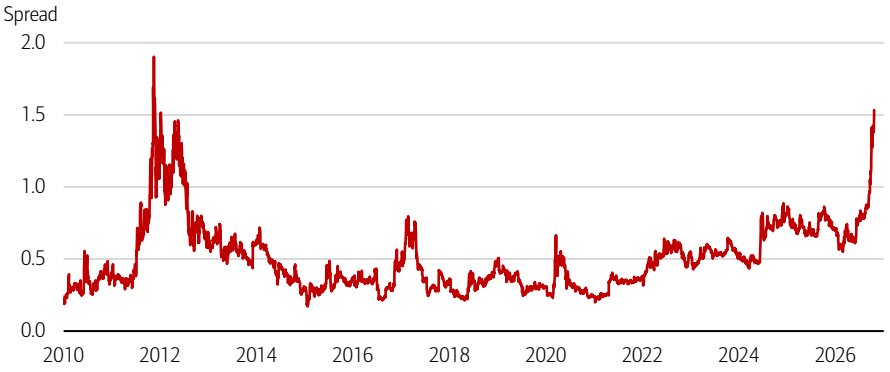
We continue to emphasize higher quality balance sheets in corporate and sovereign credit as well as higher quality leaders in the AI buildout overall. The closer we get to 2027, investors will likely begin to transition from too much exposure to the "buildout" and not enough exposure to "AI adopters."

Investment Implications

We continue to emphasize higher quality balance sheets in corporate and sovereign credit as well as higher quality leaders in the AI buildout overall.

Exhibit 3: Credit Concerns Are Rising, But Remain Targeted.

A) France-Germany Yield Spread Moves Higher.



B) AI-Related Credit Spreads Remain Elevated.



Exhibit 3A) Source: Bloomberg. Data as of October 20, 2026. Exhibit 3B) Source: Bloomberg. Data as of October 20, 2026.

Equities

Equities	Total Return in USD (%) Current	WTD	MTD	YTD
DJIA	52,215.16	0.4	2.6	10.0
NASDAQ	25,955.34	-0.7	-3.4	12.2
S&P 500	7,623.68	-0.5	-0.3	12.4
S&P 400 Mid Cap	3,616.59	0.0	0.6	10.6
Russell 2000	2,775.90	2.0	-0.7	12.9
MSCI World	4,874.68	-0.7	-0.5	11.2
MSCI EAFE	3,074.49	-1.5	-1.6	8.6
MSCI Emerging Markets	1,578.04	-2.6	-7.4	14.3

Fixed Income†

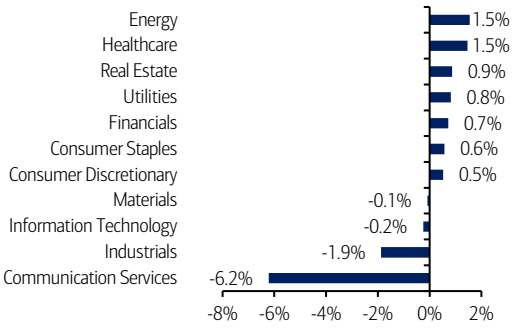
Fixed Income	Total Return in USD (%) Current	WTD	MTD	YTD
Corporate & Government	5.23	0.48	1.76	-1.14
Agencies	5.04	0.26	1.09	-0.12
Municipals	4.31	1.14	3.18	-1.13
U.S. Investment-Grade Credit	5.33	0.54	1.87	-1.10
International	5.87	0.34	1.68	-1.49
High Yield	8.39	-0.11	-0.20	-0.09
90 Day Yield	4.12	4.16	4.11	3.63
2 Year Yield	4.68	4.71	4.89	3.47
10 Year Yield	4.99	5.07	5.28	4.17
30 Year Yield	5.32	5.42	5.63	4.84

Commodities & Currencies

Commodities	Total Return in USD (%) Current	WTD	MTD	YTD
Bloomberg Commodity	372.91	-0.4	1.6	35.0
WTI Crude $/Barrel††	103.27	1.8	14.2	79.9
Gold Spot $/Ounce††	3996.1	-4.1	-3.9	-7.5

Currencies	Total Return in USD (%) Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.12	1.12	1.13	1.17
USD/JPY	156.87	158.02	157.41	156.71
USD/CNH	6.67	6.69	6.71	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 10/19/2026 to 10/3/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 10/23/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 10/23/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026A	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.3	3.4
Real U.S. GDP (% q/q annualized)	2.5	2.2	3.5*	2.3	2.4	2.3
CPI inflation (% y/y)	2.7	3.8	3.5	3.8	3.5	2.8
Core CPI inflation (% y/y)	2.5	2.7	2.5	2.7	2.6	2.7
Unemployment rate (%)	4.3	4.3	4.1	4.2	4.2	4.1
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of October 23, 2026.
Sources: BofA Global Research; GWIM ISC as of October 23, 2026.

Asset Class Weightings (as of 10/6/2026)

Asset Class	CIO View Underweight		Neutral		Overweight
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies					
Private Equity					
Private Credit					
Real Assets					
Cash					

CIO Equity Sector Views

Sector	CIO View Underweight		Neutral		Overweight
Industrials					●
Financials					●
Healthcare				●	
Consumer Discretionary			●		
Information Technology			●		
Energy			●		
Materials			●		
Utilities		●			
Communication Services		●			
Real Estate		●			
Consumer Staples	●				

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of October 6, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

RETURN TO FIRST PAGE

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

SS&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

Consumer Price Index is a statistical measure that tracks the average change over time in the prices paid by urban consumers for a representative "market basket" of everyday goods and services.

S&P 500 Market-cap Weighted Index is a float-adjusted market-capitalization-weighted index, meaning a company's influence and percentage weight in the index are determined by its total market value (share price multiplied by the number of outstanding shares).

S&P 500 Equal-Weighted Index is a variation of the traditional S&P 500 where every single company in the index is given the exact same weight—0.2%—regardless of its size or market capitalization.

S&P 500 Equal-Weighted Industrials Index imposes equal weights on the index constituents included in the S&P 500 that are classified in the GICS® industrials sector.

Russell 1000 Index is a stock market index that tracks the performance of the 1,000 largest publicly traded companies in the United States.

Important Disclosures

Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.

Bank of America, Merrill, their affiliates and advisors do not provide legal, tax or accounting advice. Clients should consult their legal and/or tax advisors before making any financial decisions.

This material does not take into account a client's particular investment objectives, financial situations, or needs and is not intended as a recommendation, offer, or solicitation for the purchase or sale of any security or investment strategy. Merrill offers a broad range of brokerage, investment advisory and other services. There are important differences between brokerage and investment advisory services, including the type of advice and assistance provided, the fees charged, and the rights and obligations of the parties. It is important to understand the differences, particularly when determining which service or services to select. For more information about these services and their differences, speak with your Merrill financial advisor.

This information should not be construed as investment advice and is subject to change. It is provided for informational purposes only and is not intended to be either a specific offer by Bank of America, Merrill or any affiliate to sell or provide, or a specific invitation for a consumer to apply for, any particular retail financial product or service that may be available.

The Chief Investment Office ("CIO") provides thought leadership on wealth management, investment strategy and global markets; portfolio management solutions; due diligence; and solutions oversight and data analytics. CIO viewpoints are developed for Bank of America Private Bank, a division of Bank of America, N.A., ("Bank of America") and Merrill Lynch, Pierce, Fenner & Smith Incorporated ("MLPF&S" or "Merrill"), a registered broker-dealer, registered investment adviser and a wholly owned subsidiary of Bank of America Corporation ("BofA Corp.").

The Global Wealth & Investment Management Investment Strategy Committee ("GWIM ISC") is responsible for developing and coordinating recommendations for short-term and long-term investment strategy and market views encompassing markets, economic indicators, asset classes and other market-related projections affecting GWIM.

BofA Global Research is research produced by BofA Securities, Inc. ("BofAS") and/or one or more of its affiliates. BofAS is a registered broker-dealer, Member SIPC and wholly owned subsidiary of Bank of America Corporation.

All recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Asset allocation, diversification and rebalancing do not ensure a profit or protect against loss in declining markets.

Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

Alternative investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

© 2026 Bank of America Corporation. All rights reserved.

MERRILL
A BANK OF AMERICA COMPANY

CHIEF INVESTMENT OFFICE

Capital Market Outlook

October 19, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*The U.S. Capex Boom No One is Talking About*—And Its Implications: We have long been of the belief that the U.S. is on the cusp of an inbound foreign direct investment (FDI) capital expenditure (capex) boom that can result in numerous positive spillover effects for the U.S. economy. To wit, FDI inflows totaled nearly $240 billion (B) in the first six months of this year, a staggering 103% jump from a year ago and placing FDI inflows on track for a record year. Among the factors behind surging inflows: rising U.S. trade protectionism; extraordinary consumer purchasing power; America's massive investment cycle in Artificial Intelligence (AI); abundant energy supplies; deep capital markets; and a highly developed technological ecosystem. Meanwhile, an increasingly important source of capital for the U.S. is coming from an unlikely source: the developing nations. We are in the early innings of a structural—not cyclical—capex cycle that could lead to the rebuilding of domestic supply chains, higher value-added manufacturing and more AI-driven productivity growth. U.S. affiliates of foreign multinational companies, though largely invisible to the average U.S. investor, bolster the long-term competitive advantage of the U.S. via income, jobs, growth and tax revenue. All the above are the secret ingredients to stronger U.S. economic growth, rising corporate earnings and higher equity prices.

Market View—*Europe's Electoral Cycle and Market Risks:* As midterm elections approach for the U.S. next month, voters across Europe will also enter their own election season starting this November and continuing throughout 2027. Over the next year, 52% of the total European Union (EU) population, representing 46% of EU gross domestic product (GDP) across eight countries will go to the polls, including voters in three of its four largest economies. Europe's electoral cycle potentially presents a greater hurdle for closer EU integration and could contribute to rising risks from bond market volatility in France and elsewhere. Moreover, upward pressures on inflation mean more European Central Bank (ECB) interest rate hikes are still expected over the coming months. We continue to see pockets of strength in European markets but remain cautious on the region overall.

Thought of the Week—*Cautious Optimism Entering Fiscal Year 2027:* Between structurally higher mandatory outlays, the administration's $1.5 trillion (T) proposed defense package, and the 10-year U.S. Treasury yield above 5%, spending as we enter fiscal year (FY) 2027 is likely headed higher. We continue to fade concerns of an impending U.S. debt crisis largely because economic growth continues to surprise to the upside. Still, after another $2T deficit in FY 2026, creating fiscal space will be politically unpopular and mathematically challenging. The biggest near-term tail risk would be a surprise move lower in growth, as budget deficits at 6% of GDP in good times leave little room for bad times. This isn't our base case given strong consumer spending and ongoing investment in the AI buildout and beyond. Meanwhile, demand for Treasurys remains robust, with yields at their most attractive level in decades.

AUTHORS

Joseph Quinlan
Managing Director and Head of Market Strategy

Ariana Chiu
Assistant Vice President and Investment Strategist

Ehiwario Efeyini
Director and Senior Investment Strategist

MACRO STRATEGY ▶

MARKET VIEW ▶

THOUGHT OF THE WEEK ▶

MARKETS IN REVIEW ▶

Portfolio Considerations

A series of macro shocks, including higher energy prices, rising Treasury yields, and shifting Federal Reserve expectations, have tested markets, but resilient economic growth, strong corporate earnings, and ongoing Artificial Intelligence-related investment continue to support a constructive outlook for Equities and risk assets.

We remain overweight Equities, favors U.S. stocks, sees potential opportunities in broader market participation and select cyclical sectors, and views higher bond yields as attractive to add income and extend duration.

Merrill Lynch, Pierce, Fenner & Smith Incorporated (also referred to as "MLPF&S" or "Merrill") makes available certain investment products sponsored, managed, distributed or provided by companies that are affiliates of Bank of America Corporation ("BofA Corp."). MLPF&S is a registered broker-dealer, registered investment adviser, Member SIPC and a wholly owned subsidiary of BofA Corp.
Investment products:

Are Not FDIC Insured	Are Not Bank Guaranteed	May Lose Value

Please see last page for important disclosure information.

The U.S. Capex Boom No One is Talking About—And Its Implications

Joseph Quinlan, ***Managing Director and Head of Market Strategy***

Ariana Chiu, ***Assistant Vice President and Investment Strategist***

We have long been of the belief that the U.S. is on the cusp of an inbound FDI capex boom that can result in numerous positive spillover effects for the U.S. economy. The latest figures from the U.S. Department of Commerce bear this out.

Exhibit 1 highlights the growing push among foreign multinationals to be inside the U.S., with FDI totaling nearly $240B in the first six months of this year. That is a staggering 103% jump from a year ago and places FDI inflows on track for a record year.

The latest inbound capex already adds to the massive scale of foreign investment in the U.S. To wit, the accumulated stock of FDI in the U.S. stands at nearly $6T, based on the latest figures from the Bureau of Economic Analysis (BEA). Manufacturing accounts for roughly 43% of the total, and, at last count, some 10,000 foreign affiliates were operating in the U.S.

These firms are largely invisible to the average U.S. investor, but the activities of U.S. affiliates of foreign multinationals are substantial and competitive- and growth-enhancing. To this point and based on the latest data from the BEA, foreign affiliates in the U.S. employed nearly 8.6 million U.S. workers in 2024. That represents 6.1% of total private sector employment, with manufacturing and retail the two most prominent sectors of employment. Roughly 24% of all manufacturing jobs in the U.S. are from foreign subsidiaries. In terms of pay, U.S. workers at these firms make $89,000 annually, 7% higher than the national average, according to the Global Business Alliance.

Foreign affiliates also contributed some $1.5T to U.S. GDP; comprised some 15.7% of total U.S. private sector investment; accounted for 12.4% of total U.S. research & development (R&D) expenditures; paid roughly 20% of all U.S. federal taxes; and made up 22.5% of U.S. exports and 26.2% of U.S. imports.[1] These are the direct effects of U.S. subsidiaries of foreign companies operating in the U.S. The indirect effects are even greater in terms of more income, jobs, growth and tax revenue—all bolstering the long-term competitive advantage of the U.S. In a nutshell, foreign firms operating in the U.S. are an important ingredient of U.S. economic growth.

There are multiple factors behind surging inflows: One, due to rising U.S. trade protectionism, foreign multinationals increasingly want to be "inside" the U.S. economy, not outside. Companies that once served the U.S. market exclusively through exports increasingly face higher costs and more uncertainties and hence want to be "inside."

Two, with a $32T-plus economy with extraordinary consumer purchasing power, foreign firms prefer to be closer to their customers via investment than just trade (exports). There is no more dynamic consumer in the world than the American shopper.

Three, America's massive investment cycle in AI, data centers, semiconductors, power generation, etc., has created numerous investment opportunities for many foreign firms that don't want to miss out on America's surging capex cycle.

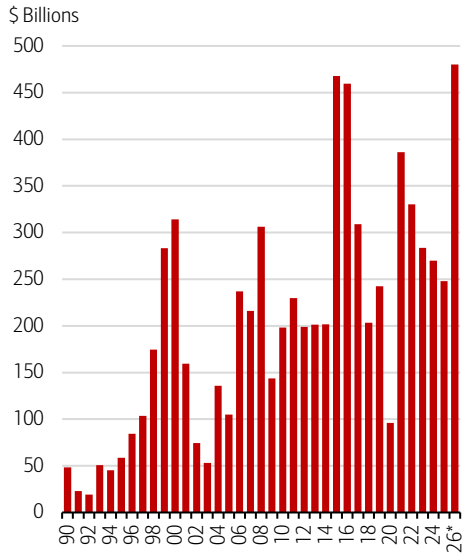
Four, and finally, abundant energy supplies, deep capital markets and a highly developed technological ecosystem have also induced more FDI inflows.

As more U.S. affiliates of foreign multinationals set up shop in the U.S., think more job creation across the country, more manufacturing output, more locally sourced purchases, more U.S. exports, more spending on R&D, and more tax revenue for local communities. And over the long run, think a more globally competitive U.S. economy.

Investment Implications

The boom in foreign investment in the U.S. should continue to support employment, productivity, corporate earnings, and broader U.S. economic competitiveness, in our view. Hence our U.S. bias.

Exhibit 1: FDI Inflows to the U.S.



*Annualized. Source: BEA. Data as of October 16, 2026.

[1] Activities of U.S. Affiliates of Foreign Multinational Enterprises, 2024" and "Activities of U.S. Affiliates of Foreign Multinational Enterprises, 2023", BEA July 2026.

And speaking of global competitiveness, Exhibit 2A is very illustrative of the magnet pull of the U.S. economy to attract FDI versus the rest of the world. Of new greenfield investment this decade, note the overriding preference for the U.S., accounting for nearly 16% of total global greenfield investment this decade. America's share is larger than the next three countries combined—the United Kingdom, India, and Germany. And note that America's share of new investment is more than 5X that of China's. Most of this new investment has gone into manufacturing sectors like electrical equipment, computers, appliances and batteries and has originated from Asia and Europe.

The bulk of foreign investment comes from Europe, followed by Japan and Canada, but as Exhibit 2B highlights, there is a new dynamic playing out when it comes to America's ability to attract capital. There is a new source in town: a handful of developing nations (namely Taiwan, South Korea, Mexico and Brazil). Mexican manufacturers, Taiwan technology leaders, South Korea chip leaders, Brazil industrial firms, India pharmaceutical firms—these companies and more are realizing that in today's trade environment, the best way to serve the American market is not necessarily through exports but through investment—investing locally. FDI flows from developing nations reached $63B in the 12 months through June, more than double the level a year prior ($24.5B), according to the BEA. Fueled by insatiable AI demand, flows from South Korea alone totaled $23.4B in the first half of 2026. The upshot is that an increasingly important source of capital for the U.S. is coming from an unlikely source: the developing nations.

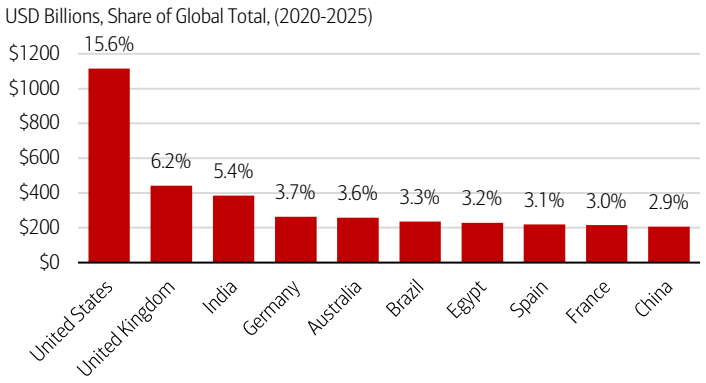
More fire for the capex boom. The coming boom in FDI inflows is supportive of our thesis that the U.S. stands on the cusp of a major industrial upgrade. We are in the early innings of a structural—not cyclical—capex cycle that should lead to the rebuilding of domestic supply chains, higher value-added manufacturing, and more AI-driven productivity growth. Foreign firms, in our opinion, will be part of this process.

That is important to recognize because remember the following: when a foreign company builds a factory or an R&D facility or expands its existing manufacturing capacity right here in the U.S., good things happen. Demand for U.S. goods and services goes up (as does demand for construction, materials, logistics and professional services). New jobs are created, boosting incomes of U.S. workers, while supporting more local spending and consumption. And because many foreign firms often bring advanced manufacturing technologies when investing in the U.S., the end results include a boost in productivity and innovation in various sectors of the economy.

All the above, of course, are the secret ingredients to stronger U.S. economic growth, rising corporate earnings and higher equity prices. With a little help from our friends, America's industrial renewal is gaining strength and momentum.

Exhibit 2: Foreign Companies Say Yes to the U.S.

A) Top 10 Greenfield FDI Destinations Globally.



B) FDI Inflows into the U.S. from Developing Countries.*

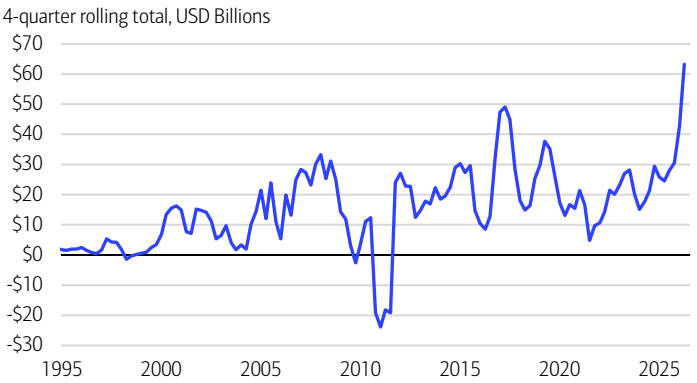


Exhibit 2A) Bar labels refer to share of global total. Source: United Nations Conference on Trade and Development. Data refers to 2020-2025 cumulative. Data as of October 16, 2026.
Exhibit 2B) *Developing countries includes developing Europe, Latin America excluding other Western Hemisphere countries, Middle East, Africa, and developing Asia. Source: BEA. Data through Q2 2026, as of October 16, 2026.

Europe's Electoral Cycle and Market Risks

Ehiwario Efeyini, *Director and Senior Investment Strategist*

As midterm elections approach for the U.S. next month, voters across Europe will also enter their own election season starting this November and continuing throughout 2027. Over the next year, 52% of the total EU population, representing 46% of EU GDP across eight countries, will go to the polls, including voters in three of its four largest economies (Exhibit 3). Having announced snap general elections earlier this month, Spain will vote for members of its lower and upper house on November 29. A series of parliamentary elections are then due for 2027 in Estonia (by March 7), Finland (on April 18), Greece (by July 25), Slovakia (by September 28), Poland (by November 11) and Italy (by December 22). And perhaps most consequentially France will stage Presidential elections on April 18, with a potential second round of voting set for May 2.

For the EU as a whole, the significance of these coming elections will be the potential for a shift toward more populist, domestically oriented policy priorities from leading opposition candidates (particularly in France, Spain and Poland) which could obstruct the process of closer EU integration. In the nearer term, adoption of the new seven-year (2028-2034) EU budget due by the end of 2027 could be impeded. And over the longer term, renewed efforts toward an EU-wide capital market union to deepen and attract more inward investment into European markets could also be further delayed.

At the country level, investors have seen bond yields rise globally in 2026 on the back of higher inflation and concerns over fiscal sustainability. The debt question has arguably been most pressing in parts of Europe, especially given the likelihood that upcoming elections make for domestic increases in government largesse. And of the eight countries going to the polls over the next year, France remains the biggest source of concern. Interest rate spreads on French 10-year sovereign bonds have overtaken those in both Greece and Italy this year (Exhibit 4), driven by investor concerns over public debt. The 2027 government budget unveiled earlier this month projected a deficit of 5.0% of GDP (well in excess of the 3% specified in the EU Stability and Growth Pact), but remained insufficiently expansive to nullify the risk that the current government could be unseated later this year if it is forced through the fragmented parliament. This comes on top of an existing debt load of close to 120% of GDP and a halving of official 2026 growth forecasts from 1.0% at the start of the year to 0.5% in September. In short, all four variables in France's debt sustainability equation currently stand as major headwinds, and the two leading candidates in the 2027 election have shown limited appetite for fiscal consolidation over the coming years.

Investment Implications

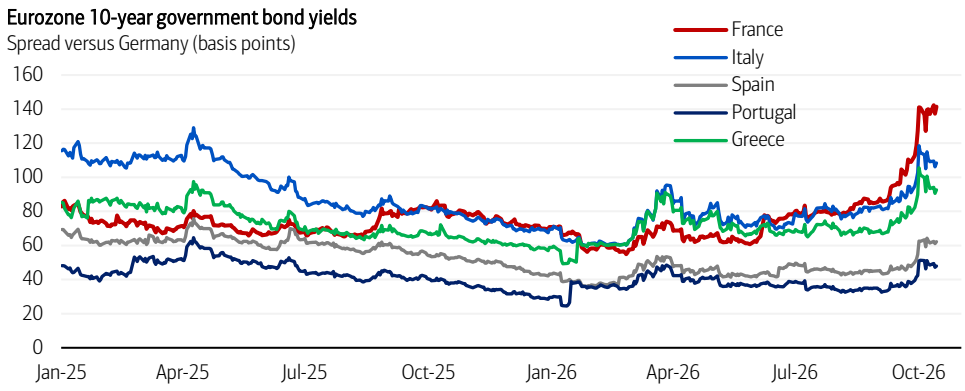
We remain cautious on European markets overall, despite seeing pockets of strength in selected areas such as defense, data center infrastructure and renewable energy. On top of growing uncertainty from the upcoming electoral cycle and interest rate outlook, rising competition and slowing demand from China continue to challenge key segments of the Consumer Discretionary sector. And limited direct AI concentration also leaves Europe under-exposed to the key growth theme that continues to buoy equity markets in the U.S., Japan and emerging Asia.

Exhibit 3: Europe's Upcoming Elections Represent Around Half of EU GDP and Population.

European 2026/2027 Cycle				
Country	Election Date	Election Type	GDP in USD bn (EU share)	Population in millions (EU share)
Spain	29-Nov-26	General	1,800 (9.0%)	49.7 (11.0%)
Estonia	By March 7, 2027	Parliamentary	45 (0.2%)	1.4 (0.3%)
France	18-Apr-27	Presidential	3,211 (16.1%)	68.6 (15.2%)
Finland	18-Apr-27	Parliamentary	304 (1.5%)	5.6 (1.2%)
Greece	By July 25, 2027	Parliamentary	267 (1.3%)	10.4 (2.3%)
Slovakia	By September 28, 2027	Parliamentary	147 (0.7%)	5.4 (1.2%)
Poland	By November 11, 2027	Parliamentary	980 (4.9%)	36.6 (8.1%)
Italy	By December 22, 2027	Parliamentary	2,423 (12.1%)	59.0 (13.0%)

Source: International Monetary Fund (IMF), European Union. Data as of 2025.

Exhibit 4: French Sovereign Debt Spreads Have Widened Significantly Over Recent Months.



Source: Bloomberg. Data as of October 14, 2026.

Intervention from the ECB under its 2022 bond purchase program is also unlikely at this stage given that the spread widening in France has not appeared either disorderly or unwarranted. Meanwhile, conditions could potentially be aggravated by expected ECB rate hikes in response to still above-target inflation across the eurozone. Indeed recent moves to tighten monetary policy from a number of major central banks have been read most hawkishly in Europe. Most of the increase in European bond yields has come from higher inflation breakevens as opposed to real yields in the U.S. and Japan. And despite some paring back of tightening expectations in the wake of recent bond volatility, the market is still pricing three more policy rate increases over the next 12 months.

Euro depreciation and an emerging shift toward more protectionist trade policy with China could further complicate the ECB policy outlook. China posted a record $35B trade surplus, according to Eurostat, with the EU in September (alongside its $938B total surplus for the first three quarters of 2026), and the two markets have agreed to reduce the EU bilateral deficit by capping imports of hybrid cars for four years. Hybrids account for less than 2% of total EU imports from China, but this could potentially mark the start of a broader shift toward more trade protection in Europe with its largest foreign supplier which risks adding further upward pressure to cost-push inflation. And though the leading candidates in the French election may favor resuming oil and gas imports from Russia, Europe also remains among the most at risk from the global energy shock. Indeed some 56% of the region's crude oil consumption is in the form of diesel product according to the International Energy Agency, more than twice the U.S. share.

The 2- to 10-year eurozone yield curve has already flattened significantly since the start of the year. And at just over 30 basis points as of mid-October, it remains flatter than its equivalents in the U.S., UK and Japan. Outside Energy and Technology, Financials have been among the strongest-performing sectors in Europe this year. But additional ECB rate hikes could lead to further curve flattening, compressing bank net interest margins and contributing to slower growth—particularly given that rate increases are coming in response to supply-driven inflation rather than reflecting stronger economic activity.

We nonetheless continue to see pockets of strength in European markets. Growing defense budgets should remain a tailwind for Industrials as national governments look to meet their North Atlantic Treaty Organization targets over the next several years. And the sector should be further supported by indirect exposure to AI investment through electric cabling, power infrastructure and building materials for data centers. Leaders in renewable energy equipment and services are also likely to be beneficiaries of grid upgrades and broadening electrification globally, particularly given elevated fossil fuel prices. But our view on the region remains cautious overall. On top of growing uncertainty from the upcoming electoral cycle and interest rate outlook, rising competition and slowing demand from China continue to challenge key segments of Europe's Consumer Discretionary sector. Limited direct AI concentration in technology hardware, cloud services and application software also leaves Europe underexposed to the key growth theme that continues to buoy equity markets in the U.S., Japan and emerging Asia.

Cautious Optimism Entering Fiscal Year 2027

Ariana Chiu, *Assistant Vice President and Investment Strategist*

"A renewed focus on rebuilding fiscal space is urgent, given elevated debt, higher borrowing costs, multiplying demands on public budgets and heightened uncertainty." So warned the IMF about the global fiscal outlook last week in its updated World Economic Outlook report. Much is at stake for developed nations in Europe and Asia facing high existing debt, unfavorable demographics and more modest growth.

For the U.S., between structurally higher mandatory outlays, the administration's $1.5T proposed defense package, and the 10-year U.S. Treasury yield sitting above 5%, spending is likely headed higher. We continue to fade concerns of an impending U.S. debt crisis, however, largely because economic growth continues to surprise to the upside. Expanding output is good news for the debt-to-GDP ratio, which remains a touch below 100%. Indeed, rather than being led higher on account of un-anchored inflation expectations, the 10-year U.S. Treasury yield has repriced to reflect better-than-expected nominal growth (Exhibit 5A). Higher yields in the face of slowing growth, meanwhile, would be a different story, not only for the fiscal outlook (worse) but also for U.S. equity valuations (lower).

Of course, after the U.S. accumulated another $2T deficit in FY 2026,[2] "rebuilding fiscal space" in the IMF's words will be politically unpopular and mathematically challenging. In our view, the biggest near-term tail risk would be a surprise move lower in growth as budget deficits at 6% of GDP in good times leave little room for bad times. This isn't our base case given robust consumer spending per our internal credit and debit card data and ongoing investment in the AI buildout and beyond. We expect these two pillars to sustain growth in 2027.

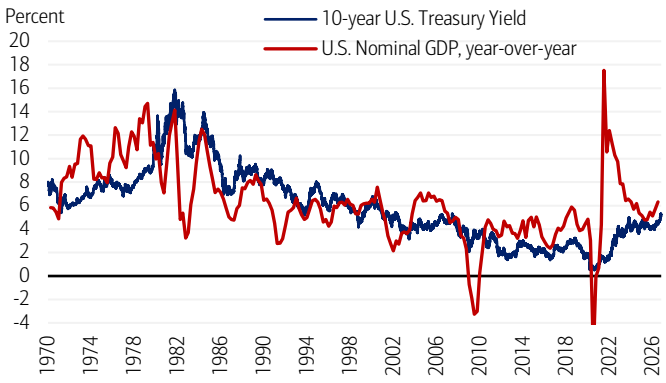
The other good news is that, contrary to concerns, demand for Treasurys remains robust. Yields are attractive—that was the message from October's successful $39B 10-year Treasury note auction. At the same time, U.S. debt boasts an array of buyers: domestic households, the Federal Reserve, mutual funds and exchange-traded funds, money market funds, pension funds, foreign central banks, private investors overseas, and more. Per Exhibit 5B, whereas foreign official investors once dominated some 40% of the U.S. Treasury market during the 2008/2009 Great Financial Crisis, their share has fallen to 12% while domestic private investors now account for a majority of holdings. Translated: demand is more diverse than most appreciate.

Investment Implications

In our view, higher nominal and real yields present a compelling entry point for investors seeking income and can provide cushion in the face of higher rate volatility. We expect demand for U.S. assets to remain healthy and favor the U.S. over developed economies in Europe facing more modest growth and fiscal instability.

Exhibit 5: Higher Yields Meet Shifting Composition of U.S. Treasury Demand.

A) Higher 10-year Yield Consistent with Strong Nominal Growth Environment.



B) Domestic Private Investors Now Dominate U.S. Treasury Market.

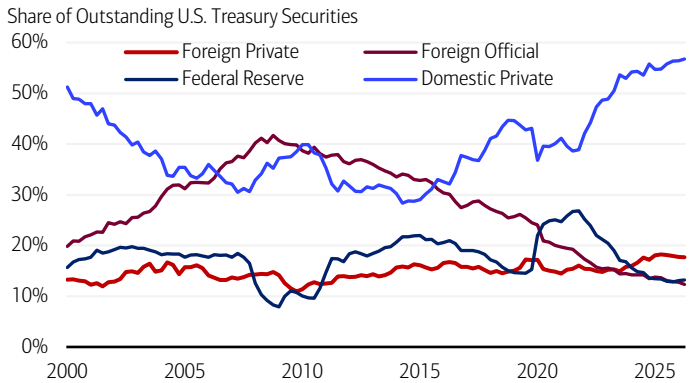


Exhibit 5A) Source: Bloomberg. Data as of October 15, 2026. Exhibit 5B) Source: Federal Reserve. Data through Q2 2026, as of October 15, 2026.

[2] U.S. Treasury as of October 16, 2026.

Equities

Equities	Total Return in USD (%) Current	WTD	MTD	YTD
DJIA	52,002.41	0.7	2.2	9.5
NASDAQ	26,140.03	-4.5	-2.7	13.0
S&P 500	7,659.44	-1.9	0.1	12.9
S&P 400 Mid Cap	3,615.78	-1.4	0.6	10.5
Russell 2000	2,721.37	-3.0	-2.7	10.7
MSCI World	4,907.78	-1.1	0.1	11.9
MSCI EAFE	3,122.04	1.4	-0.1	10.2
MSCI Emerging Markets	1,620.63	-5.1	-4.9	17.3

Fixed Income†

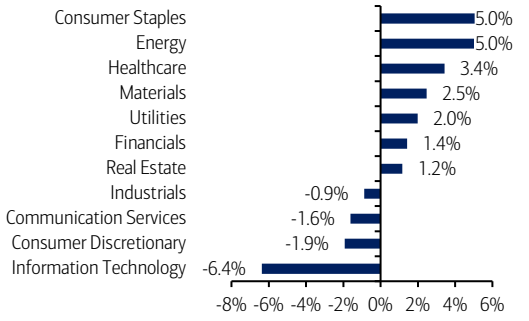
Fixed Income	Total Return in USD (%) Current	WTD	MTD	YTD
Corporate & Government	5.28	0.89	1.27	-1.61
Agencies	5.08	0.54	0.83	-0.37
Municipals	4.48	1.31	2.02	-2.24
U.S. Investment-Grade Credit	5.39	0.88	1.32	-1.63
International	5.89	0.86	1.33	-1.82
High Yield	8.38	-0.33	-0.09	0.01
90 Day Yield	4.16	4.14	4.11	3.63
2 Year Yield	4.71	4.79	4.89	3.47
10 Year Yield	5.07	5.24	5.28	4.17
30 Year Yield	5.42	5.60	5.63	4.84

Commodities & Currencies

Commodities	Total Return in USD (%) Current	WTD	MTD	YTD
Bloomberg Commodity	374.52	0.4	2.0	35.6
WTI Crude $/Barrel††	101.41	10.4	12.2	76.6
Gold Spot $/Ounce††	4165.58	-0.7	0.2	-3.6

Currencies	Total Return in USD (%) Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.12	1.12	1.13	1.17
USD/JPY	158.02	158.31	157.41	156.71
USD/CNH	6.69	6.69	6.71	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 10/12/2026 to 10/16/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 10/16/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 10/16/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026A	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.4	3.4
Real U.S. GDP (% q/q annualized)	2.5	2.2	3.5*	2.3	2.4	2.3
CPI inflation (% y/y)	2.7	3.8	3.5*	3.9	3.5	2.7
Core CPI inflation (% y/y)	2.5	2.7	2.5*	2.7	2.6	2.7
Unemployment rate (%)	4.3	4.3	4.1	4.2	4.2	4.1
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of October 16, 2026.
Sources: BofA Global Research; GWIM ISC as of October 16, 2026.

Asset Class Weightings (as of 10/6/2026)

Asset Class	CIO View Underweight		Neutral		Overweight
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies Private Equity Private Credit Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	CIO View Underweight		Neutral		Overweight
Industrials					●
Financials					●
Healthcare				●	
Consumer Discretionary			●		
Information Technology			●		
Energy			●		
Materials			●		
Utilities		●			
Communication Services		●			
Real Estate		●			
Consumer Staples	●				

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of October 6, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

Important Disclosures

Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.

Bank of America, Merrill, their affiliates and advisors do not provide legal, tax or accounting advice. Clients should consult their legal and/or tax advisors before making any financial decisions.

This material does not take into account a client's particular investment objectives, financial situations, or needs and is not intended as a recommendation, offer, or solicitation for the purchase or sale of any security or investment strategy. Merrill offers a broad range of brokerage, investment advisory and other services. There are important differences between brokerage and investment advisory services, including the type of advice and assistance provided, the fees charged, and the rights and obligations of the parties. It is important to understand the differences, particularly when determining which service or services to select. For more information about these services and their differences, speak with your Merrill financial advisor.

This information should not be construed as investment advice and is subject to change. It is provided for informational purposes only and is not intended to be either a specific offer by Bank of America, Merrill or any affiliate to sell or provide, or a specific invitation for a consumer to apply for, any particular retail financial product or service that may be available.

The Chief Investment Office ("CIO") provides thought leadership on wealth management, investment strategy and global markets; portfolio management solutions; due diligence; and solutions oversight and data analytics. CIO viewpoints are developed for Bank of America Private Bank, a division of Bank of America, N.A., ("Bank of America") and Merrill Lynch, Pierce, Fenner & Smith Incorporated ("MLPF&S" or "Merrill"), a registered broker-dealer, registered investment adviser and a wholly owned subsidiary of Bank of America Corporation ("BofA Corp.").

The Global Wealth & Investment Management Investment Strategy Committee ("GWIM ISC") is responsible for developing and coordinating recommendations for short-term and long-term investment strategy and market views encompassing markets, economic indicators, asset classes and other market-related projections affecting GWIM.

BofA Global Research is research produced by BofA Securities, Inc. ("BofAS") and/or one or more of its affiliates. BofAS is a registered broker-dealer, Member SIPC and wholly owned subsidiary of Bank of America Corporation.

All recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Asset allocation, diversification and rebalancing do not ensure a profit or protect against loss in declining markets.

Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

Alternative investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

© 2026 Bank of America Corporation. All rights reserved.

MERRILL
A BANK OF AMERICA COMPANY

CHIEF INVESTMENT OFFICE

Capital Market Outlook

October 13, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Consumers Feel One Way, but Spend Another:* Americans have spent much of the past several years telling surveys they are cautious about the economy. Yet they continue to spend as though they are not. The final estimate of Q2 real consumer spending, as measured by Personal Consumption Expenditures (PCE), was revised up to an annualized rate of 3.8%, well above the 2.3% 20-year average.

The persistence of consumer spending is particularly notable given that temporary cyclical boosts like larger tax refunds are starting to fade. That raises an important question: What is actually funding strong consumption today? Recent data suggest the drivers are becoming increasingly more diversified, with broadening labor market trends, healthy consumer finances and elevated wealth effects all reinforcing one another and underpinning consumers.

Market View—*The Bull Market Turns Four:* Four years on, the bull market that emerged from the gloom of 2022 is still standing and kicking, with the S&P 500 up roughly 130% since the October 2022 lows. Yet the more than doubling of the S&P 500 has hardly been linear. Along the bull's rocky path: the failure of Silicon Valley Bank in March 2023, an inverted yield curve and recession concerns, anxieties of an Artificial Intelligence (AI) bubble, and "Liberation Day" and the April 2025 trade-policy shock.

This year, the bull has taken in stride the energy shock from the war in the Middle East, shifting Federal Reserve (Fed) interest rate expectations, and rising uncertainty about the midterm elections. Looking forward, bull markets don't die of natural causes. It takes a convergence of signals turning south—think deteriorating earnings revisions, higher interest rates, widening credit spreads, tighter lending standards, growth disappointments, stretched valuations and sentiment, deteriorating market breadth, and an external shock. We believe the bull will continue to rumble in its fifth year, with AI revenues and productivity gains justifying AI infrastructure costs. The path won't be linear, but we expect the bull to keep rumbling, roaming and kicking in 2027.

The Ticker Tape—*Top Questions Answered Directly by Our Chief Investment Officer (CIO).*

- What is our view of the macro and market landscape heading into 2027 and beyond?

AUTHORS

Kirsten Cabacungan
Vice President and Senior Investment Strategist

Joseph Quinlan
Managing Director and Head of Market Strategy

Ariana Chiu
Assistant Vice President and Investment Strategist

Christopher Hyzy
Chief Investment Officer

MACRO STRATEGY ▶

MARKET VIEW ▶

THE TICKER TAPE ▶

MARKETS IN REVIEW ▶

Portfolio Considerations

A series of macro shocks, including higher energy prices, rising Treasury yields, and shifting Federal Reserve expectations, have tested markets, but resilient economic growth, strong corporate earnings, and ongoing Artificial Intelligence-related investment continue to support a constructive outlook for Equities and risk assets.

We remain overweight Equities, favors U.S. stocks, sees potential opportunities in broader market participation and select cyclical sectors, and views higher bond yields as attractive to add income and extend duration.

Merrill Lynch, Pierce, Fenner & Smith Incorporated (also referred to as "MLPF&S" or "Merrill") makes available certain investment products sponsored, managed, distributed or provided by companies that are affiliates of Bank of America Corporation ("BofA Corp."). MLPF&S is a registered broker-dealer, registered investment adviser, Member SIPC and a wholly owned subsidiary of BofA Corp.
Investment products:

Are Not FDIC Insured	Are Not Bank Guaranteed	May Lose Value

Please see last page for important disclosure information.

9171115 10/2026

Consumers Feel One Way, but Spend Another

Kirsten Cabacungan, ***Vice President and Senior Investment Strategist***

Americans have spent much of the past several years telling surveys they are cautious about the economy. Yet they continue to spend as though they are not. The University of Michigan's Consumer Sentiment Index remains near multidecade lows, while the Conference Board's Index of Consumer Confidence has also been in a yearslong downtrend. These surveys reflect a list of persistent concerns from elevated food and gas prices to geopolitical uncertainty and labor market anxiety.

Even so, consumer spending has remained remarkably resilient. The final estimate of Q2 real consumer spending, as measured by PCE, was revised up to an annualized rate of 3.8%, well above the 2.3% 20-year average. More recent data suggest that momentum has continued. According to Bank of America Institute, the latest monthly total credit and debit card spending data per household rose 6.2% year-over-year (YoY) in September, and spending excluding gasoline was up 5.1% YoY, both the third strongest growth rates in the past four years.[1]

The persistence of consumer spending is particularly notable given that temporary cyclical boosts like larger tax refunds are starting to fade. That raises an important question: What is actually funding strong consumption today? Recent data suggest the drivers are becoming increasingly more diversified, with broadening labor market trends, healthy consumer finances and elevated wealth effects all reinforcing one another and underpinning consumers.

First, the labor market continues to provide an important foundation for consumer spending, and recent trends suggest wage growth is supporting a broader set of households than in recent years. Jobs growth has slowed from the exceptionally strong pace seen following the pandemic, but broader indicators suggest labor market conditions remain relatively stable. Although the September jobs report came in softer than expected, the three- and six-month rolling averages indicate that the trend in jobs growth likely bottomed out last year and has gradually improved since (Exhibit 1A). Meanwhile, the unemployment rate remains low by historical standards and layoffs remain contained. And while wage growth has moderated and recently trailed headline inflation (Exhibit 1B), cumulative income gains over the past several years have likely helped many households absorb higher prices better.

An important development though has been improving wage growth trends among lower-income households, where spending tends to be most sensitive to changes in wages. Bank of America Institute consumer deposit account data show after-tax wage growth for lower-income households outpaced higher-income households for a second consecutive month in August, rising 4.7% YoY compared with 3.5% for higher-income households. Importantly, this improvement appears to be supporting discretionary spending, not just spending on necessities. Lower-income discretionary spending rose 5.7% YoY in August, nearly matching the 5.9% pace for higher-income households. In other words, the narrowing gap in wage and spending growth across income cohorts suggests consumer resilience looks to be becoming less dependent on affluent households alone, creating a broader and more durable foundation for consumption.

Second, household finances remain in relatively good shape, providing consumers with the flexibility to continue spending. The ratio of household debt to disposable personal income remains near its lowest level since the late 1990s, excluding the temporary distortions caused by pandemic-related income support in 2020 and 2021 (Exhibit 1C). Recent revisions to the Bureau of Economic Analysis national income accounts also suggest consumers have a larger financial buffer than previous data suggested. Personal saving estimates over the past year have been revised higher by $320 billion, or 39%, and the revised savings rate remains above 4% after previous estimates showed it fell to 3% during the summer.[2] Concerns that consumers may be rapidly exhausting their savings buffers may therefore be overstated. Supporting this view, Bank of America Institute consumer

Investment Implications

Consumer spending strength remains a key pillar of economic and earnings growth, which keeps us constructive on our Equity overweight. The growing connection between household wealth and spending reinforces the importance of maintaining a diversified portfolio.

[1] Bank of America Institute, "Consumer Checkpoint: Strength in numbers." As of October 9, 2026.
[2] Bank of America, "Massive Savings Markup = Another Reason to Be Bullish." As of October 2, 2026.

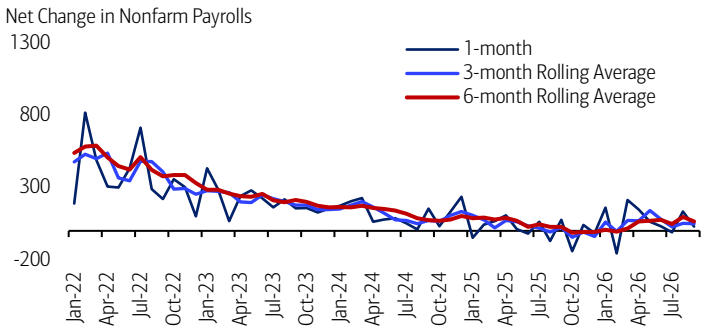
deposit account data show that middle- and lower-income households continue to maintain deposit balances above prepandemic levels across age groups.

Third, elevated household wealth continues to provide a powerful tailwind for consumer spending, particularly among households that account for an outsized share of overall consumption. U.S. household net worth rose $12.8 trillion (T) to a record $195.9T in Q2, driven largely by gains in Equities, which contributed $10.7T of the increase (Exhibit 1D). As a result, household net worth relative to disposable income climbed to a record 8.3, meaning households now hold more than eight dollars of wealth for every dollar of annual disposable income. Households are also sitting on $35.8T in home equity, an all-time high level that provides a significant balance sheet cushion. Rising asset values have helped to support spending through what economists refer to as wealth effects. In other words, when households feel wealthier, they tend to be more willing to spend.

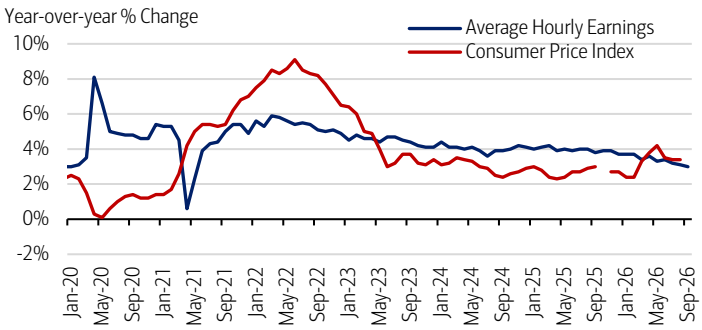
For investors, the key takeaway is that consumer spending is being supported by multiple engines despite the weaker sentiment data. Labor income trends are supporting wider participation, healthy balance sheets are helping households absorb economic pressures, and elevated household wealth continues to sustain higher-income spending. Together, these forces are supportive of economic growth and corporate profits, which is particularly important since the consumer accounts for roughly 70% of U.S. gross domestic product. That said, it does not eliminate risk. A meaningful risk to the consumer would be a scenario in which both the labor and wealth engines weaken simultaneously. For now, labor market conditions remain stable, and wealth effects remain supportive. Equity market pullbacks in recent years have done little to derail consumer spending, suggesting it would likely take a deeper and more prolonged drawdown to alter consumer behavior.

Exhibit 1: Consumer Spending is Being Supported by Multiple Engines.

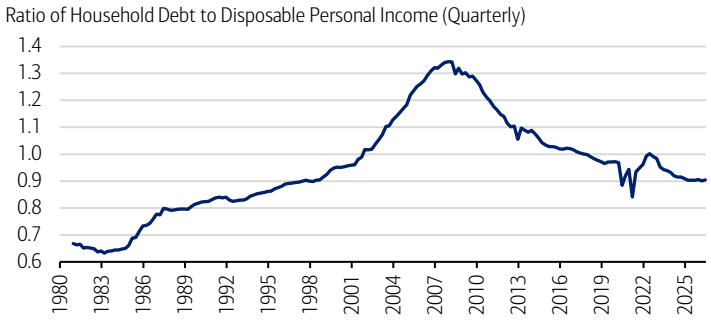
A) Jobs growth has stablized.



B) Wage growth have helped offset higher prices.



C) Household leveage near cycle lows.



D) Wealth effects remain a tailwind.

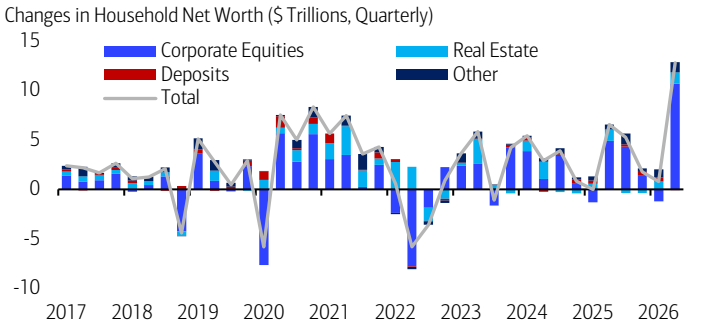


Exhibit 1A) Source: Bureau of Labor Statistics, Bloomberg. Data as of October 8, 2026. Exhibit 1B) Note: The Bureau of Labor Statistics did not collect survey data for October 2025 due to a lapse in appropriations amid the U.S. government shutdown. Source: Bureau of Labor Statistics, Bloomberg. Data as of October 8, 2026. Exhibit 1C) Source: Federal Reserve; Financial Accounts of the United States. Quarterly data through Q2 2026 as of September 11, 2026. Exhibit 1D) Note: Corporate Equities include both directly held securities and securities held indirectly in mutual funds, defined contribution pension plans, and variable life insurance and annuity products. Deposits include money market fund shares. Real estate is owner-occupied real estate. Other includes consumer durable goods, fixed assets of nonprofit organizations, equity in noncorporate business, hedge fund shares, and all other assets apart from those shown, net of liabilities. Sources: Federal Reserve; Financial Accounts of the United States. Quarterly data through Q2 2026 as of September 11, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

The Bull Market Turns Four: Older, Unloved—But Still Kicking

Joseph Quinlan, ***Managing Director and Head of Market Strategy***

Ariana Chiu, ***Assistant Vice President and Investment Strategist***

Four years ago this month, virtually no one was in the mood to buy U.S. Equities, and for good reasons.

Rewind to October 2022: Inflation the month before clocked in at an annual rate of 8.2%. The yield curve was inverted, a signal that has preceded most past recessions. Consumer sentiment was abysmal, having dropped to a record low in June 2022. Recession concerns were mounting, with an October Wall Street Journal poll survey putting the odds of a recession within 12 months at about 63%. And realizing (belatedly) that inflation was not "transitory," the Fed was in the midst of administering one of the most aggressive monetary tightening cycles in decades, raising the fed funds rate five times between March and September 2022 by a stunning 300 basis points.

Reflecting the mood at the moment, the S&P 500 closed at 3,577 on October 12, 2022, down 25% below its January peak, leaving investors battered and bruised but blind to the fact that the market had bottomed. Four years on, the bull market that emerged from the gloom of 2022 is still standing and kicking, with the S&P 500 up roughly 130% since the October 2022 lows.

The more than doubling of the S&P over the past four years has hardly been linear—and has been accompanied with plenty of pain and doubt. Exhibit 2 maps the rocky path trodden by the bull over the past four years. Less than six months into the rally, the markets were rocked by the failure of Silicon Valley Bank (SVB) on March 10, 2023. The S&P Regional Banks Select Industry Index lost 18% that week and stoked concerns of massive deposit runs and credit stress across the capital markets. However, owing to emergency intervention by the government, lower yields and strength elsewhere in the markets, the crisis passed. Some banks failed that month, but the bull market didn't.

Investment Implications

The adoption phase of the AI buildout should translate to broader earnings growth and performance across sectors, reinforcing our conviction in U.S. Equities. Given a strong fundamental backdrop, we would continue to buy on weakness as the bull enters its fifth year

Exhibit 2: Revisiting the Rocky Path Trodden by the Bull.

Period	"Reason to Sell"	What happened instead
October 2022	Inflation >8%, aggressive Fed tightening, recession concerns	Bull market begins
March 2023	SVB/regional banking crisis	Stocks keep climbing
2023-24	Inverted yield curve, "recession inevitable"	Economy keeps expanding
2024	"Magnificent 7* bubble," narrow breadth, expensive valuations	Earnings propel market higher
2025	Tariffs, trade war, policy uncertainty	Market absorbs another shock
2026	Oil/diesel shock, 5%+ yields, Fed tightening, geopolitical risks	Bull reaches fourth birthday

*Apple, Amazon, Alphabet, Nvidia, Meta, Microsoft and Tesla. Source: Chief Investment Office. As of October 9, 2026.

But recessionary concerns hung like threatening clouds over the markets for most of 2023. Aggressive Fed tightening, an inverted yield curve, and soft economic data were all taken as harbingers of an economic slowdown and profits recession. Yet the S&P 500 continued to climb in 2023, up 26.3% for the year, driven in large part by the outsized price performance of the Magnificent Seven.

Investors spent much of 2024 fretting about a market too dependent on technology, and therefore a market too narrow and too expensive. The unwinding of the Japan carry trade in August 2024 engendered more angst, as did uncertainties around the 2024 U.S. presidential election. But despite a host of misgivings, the S&P 500 delivered total returns of 25% in 2024. The unloved bull marched on.

Total returns in 2025 were robust as well—roughly 18%—notwithstanding—yet again—a number of headwinds. In late January, DeepSeek, a cheaper China AI model, raised questions about America's technology leadership and the need to spend enormous sums on chips and data centers. The Nasdaq promptly dropped by 3.1% thereafter.

January's jolt was followed by "Liberation Day," or the warning of punishing U.S. tariffs on America's major trading partners. The trade-policy shock of April 2025 caused the S&P 500 to drop nearly 19% from its February high to its April 8 low on uncertainty that higher import costs would decrease corporate margins and consumer spending and upend global supply chains. Amid the trade tumult, Treasury prices fell and the U.S. dollar weakened on concerns that foreigners were abandoning U.S. assets. Remember all the angst over the dollar debasement trade? If that wasn't enough, expensive valuations and enormous capital commitments raised doubts about the AI trade and triggered talk of an AI bubble. Yet despite this wall of worry, the S&P 500, for the third year running, posted double-digit gains in 2025.

And double-digit gains could be in store this year, with the S&P 500 up 14% through October 9. The bull has rumbled on, taking in stride the energy shock from the war in the Middle East, the shift in interest rate expectations from the Fed (from rate cuts to rate hikes), and the rising uncertainty associated with the midterm elections. These headwinds have been countered by tailwinds such as better-than-expected corporate earnings and better-than-anticipated real growth.

Finally, as Exhibit 3 makes clear, what has given this bull so much muscle has been the U.S. Technology sector, specifically the Magnificent 7. Powering the bull has been the Magnificent 7, with a staggering 344% return since the 2022 lows, while U.S. technology has delivered a 277% return versus the S&P 500's return of 130%. Note the outperformance of the S&P 500 relative to the main international indices.

Looking forward: Is the bull's greatest strength also its Achilles' heel? Bull markets don't die of natural causes. And they typically don't expire because of one particular signal or indicator. Bull markets turn to bear markets when a cluster of signals/metrics turn south. Think deteriorating and downward earnings revisions, higher interest rates, widening credit spreads and tighter lending standards, growth disappointments, stretched valuations and sentiment, deteriorating market breadth, and an external shock. Any one of these signals could flash red and not trouble the bull. But when they converge or feed off each other, that's trouble.

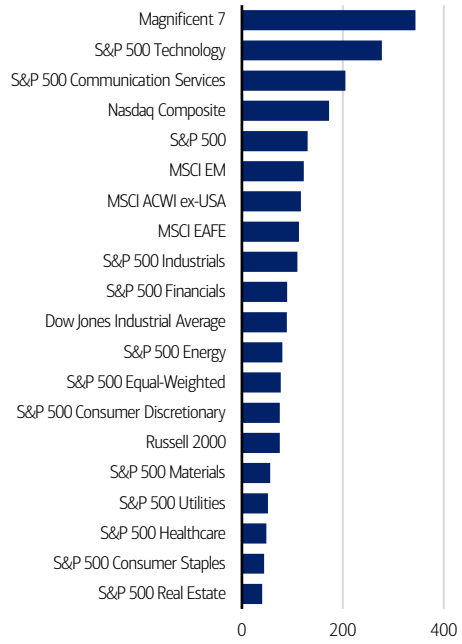
In addition, since a great deal of the earnings growth, market leadership and capital expenditures (capex) spending of this bull market have come from the technology sector, the bull's greatest strength could become its greatest vulnerability. AI has become an investment ecosystem unto itself, and hence the fifth year of the bull market will pivot in part around AI revenue, frontier model adoption rates, infrastructure spending, free cash flows, depreciation costs, debt issuance, data center utilization, cloud growth, and competition via cheaper models and computing alternatives. To put it mildly, there is a great deal at stake when it comes to the bull and AI.

However, this is where we stand today: We believe the bull will continue to rumble ahead next year, with AI revenues and productivity gains justifying the costs of the AI infrastructure. Critically, AI is moving from the buildout phase, dominated by chipmakers and hyperscaler capex, into the adoption phase, where software firms, healthcare, finance, energy and a myriad of other firms start to see productivity gains and margin expansion from rising AI adoption rates. We believe this will give better breadth to the S&P 500; so too will continued profit growth across various U.S. sectors, AI investment that starts to pay off, and an economy capable of absorbing setbacks or periodic bouts of uncertainty.

The path forward won't be linear—and there will be fits and starts, and market drawdowns. That's normal for any market. But that aside, the bull will keep rumbling, roaming and kicking in 2027.

Exhibit 3: Leaders and Laggards Heading Into 5th Year of Bull Market

Total Return Since October 12, 2022 in USD terms (%)



Source: Bloomberg. Data as of October 8, 2026. Past performance is no guarantee of future results. Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

What is our view of the macro and market landscape heading into 2027 and beyond?

Christopher Hyzy, *Chief Investment Office*

A supply side-led economic expansion continues, driven by capital investment in the AI buildout, solid consumer spending and fiscal tailwinds still blowing, albeit with less force. This creates a backdrop that keeps nominal growth well-above trend and, importantly, above the interest cost on national debt.

The interest rate backdrop largely remains the same as of today, but, instead of the sharp increases that we experienced in 2026, the curve should settle down, and yields should remain relatively range bound. The Fed is likely to tap on the breaks a couple of more times before reassessing new inflation, growth and employment trends later in 2027.

Concerns surrounding credit risk and "circular" financing are likely to rise the further we move into the AI buildout, but we do not expect a default cycle to develop. Rather, we expect the sharp backup in yields to place pressure namely on lower-quality credits in areas having a difficult time building the cash flow necessary to pay the higher interest costs.

We expect a broadening out within the market but technology to still maintain its heavyweight positioning. As we move from training and evolving the large language models to agentic, and physical AI new leaders are likely to develop. In addition, we anticipate AI adopters such as biotechnology, transport, logistics, advance manufacturing and financial companies to enter new growth and productivity phases.

Lastly, overall earnings growth in the U.S. should be low to mid double-digit percent stages in 2027, which is about half of the growth from 2026 thus far but still around double from normal levels.

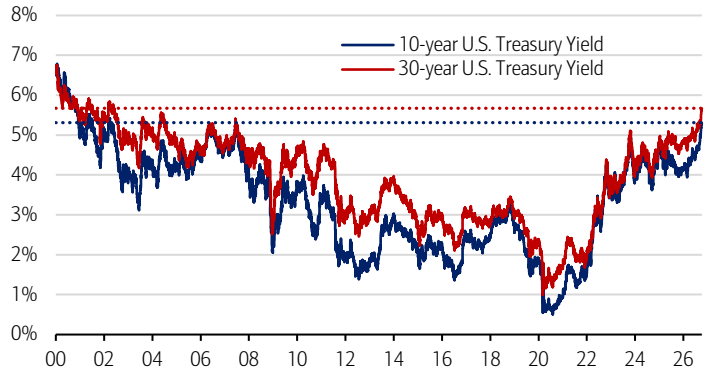
Credit risks developing and higher energy prices for longer are the main risks to our bull case for Equities extending further into 2027 and beyond.

Investment Implications

AI-driven investment, resilient growth, and solid earnings support a constructive 2027 outlook, though higher energy prices and emerging credit risks warrant monitoring.

Exhibit 4: The Corporate Profit Cycle is Here to Stay Despite Developing Risks.

A) U.S. Treausry Yields at Multi-decade Highs.



B) EPS Growth to Remain Above Trend in 2027..

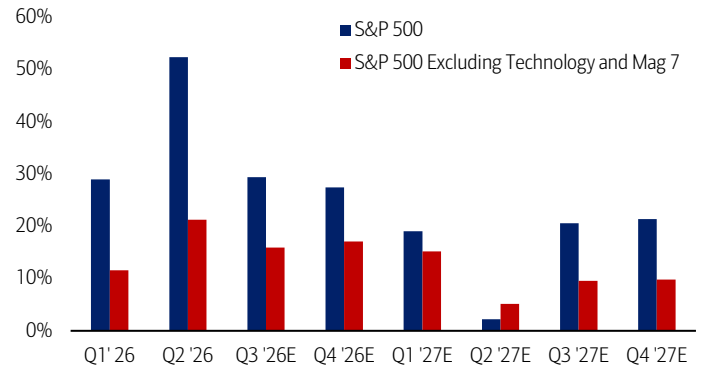


Exhibit 4A) Blue dotted line represents the 10-year U.S. Treasury Yield 2026 high. Red dotted line represents the 30-year U.S. Treasury Yield 2026 high. Source: Bloomberg. Data as of October 8, 2026. Exhibit 4B) E = Estimate. Source: FactSe. Data as of October 8, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

Equities

Equities	Total Return in USD (%) Current	WTD	MTD	YTD
DJIA	51,654.95	1.0	1.5	8.8
NASDAQ	27,366.17	0.6	1.9	18.3
S&P 500	7,811.54	1.2	2.1	15.1
S&P 400 Mid Cap	3,669.17	0.0	2.1	12.1
Russell 2000	2,806.98	-0.9	0.4	14.1
MSCI World	4,962.41	0.7	1.2	13.1
MSCI EAFE	3,078.66	-0.5	-1.5	8.7
MSCI Emerging Markets	1,708.77	0.0	0.3	23.7

Fixed Income†

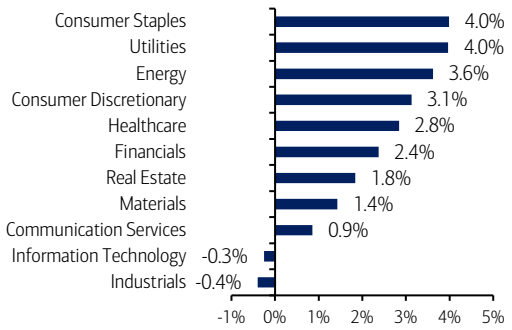
Fixed Income	Total Return in USD (%) Current	WTD	MTD	YTD
Corporate & Government	5.40	0.37	0.38	-2.48
Agencies	5.18	0.23	0.28	-0.91
Municipals	4.66	-0.32	0.70	-3.51
U.S. Investment-Grade Credit	5.51	0.39	0.44	-2.48
International	5.99	0.48	0.47	-2.66
High Yield	8.24	0.20	0.24	0.34
90 Day Yield	4.14	4.09	4.11	3.63
2 Year Yield	4.79	4.82	4.89	3.47
10 Year Yield	5.24	5.27	5.28	4.17
30 Year Yield	5.60	5.62	5.63	4.84

Commodities & Currencies

Commodities	Total Return in USD (%) Current	WTD	MTD	YTD
Bloomberg Commodity	372.96	1.8	1.6	35.0
WTI Crude $/Barrel††	91.85	0.8	1.6	60.0
Gold Spot $/Ounce††	4194.24	1.3	0.9	-2.9

Currencies	Total Return in USD (%) Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.12	1.13	1.13	1.17
USD/JPY	158.31	157.85	157.41	156.71
USD/CNH	6.69	6.71	6.71	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 10/5/2026 to 10/9/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 10/9/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 10/9/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026A	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.4	3.4
Real U.S. GDP (% q/q annualized)	2.5	2.2	3.5*	2.3	2.4	2.3
CPI inflation (% y/y)	2.7	3.8	3.4*	3.8	3.4	2.7
Core CPI inflation (% y/y)	2.5	2.7	2.5*	2.6	2.6	2.6
Unemployment rate (%)	4.3	4.3	4.1*	4.2	4.2	4.1
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of October 9, 2026.
Sources: BofA Global Research; GWIM ISC as of October 9, 2026.

Asset Class Weightings (as of 10/6/2026)

Asset Class	CIO View Underweight		Neutral		Overweight
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies			●		
Private Equity					
Private Credit					
Real Assets					
Cash					

CIO Equity Sector Views

Sector	CIO View Underweight		Neutral		Overweight
Industrials					●
Financials					●
Healthcare				●	
Consumer Discretionary			●		
Information Technology			●		
Energy			●		
Materials			●		
Utilities		●			
Communication Services		●			
Real Estate		●			
Consumer Staples	●				

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of October 6, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Index Definitions

ecurities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

University of Michigan's Consumer Sentiment Index is a monthly survey of consumer confidence levels in the United States conducted by the University of Michigan.

Conference Board's Index of Consumer Confidence measures what consumers are feeling about their expected financial situation, whether that's optimistic or pessimistic.

Consumer Price Index is a statistical measure that tracks the average change over time in the prices paid by urban consumers for a representative "market basket" of everyday goods and services.

Nasdaq Composite Index is a stock market measure that tracks the performance of more than 3,000 stocks listed on the Nasdaq exchange.

MSCI Emerging Markets c is a stock market index that tracks the performance of large-cap and mid-cap companies across 24 developing and fast-growing nations.

MSCI All-Country World Index ex USA is a market-capitalization-weighted stock market index that tracks large- and mid-cap equity performance across developed and emerging markets worldwide, excluding the United States.

MSCI Europe, Australasia, and the Far East (EAFE) Index is a stock market index that measures the performance of large- and mid-cap companies across 21 developed.

Dow Jones Industrial Average Index is a stock market index that tracks 30 major public companies listed on the New York Stock Exchange (NYSE) and Nasdaq.

S&P 500 Equal-Weighted Index is an alternative version of the standard S&P 500 that gives every constituent company an identical weight of 0.2% during each quarterly rebalance, rather than weighting companies by their market capitalization.

Russell 2000 Index is a stock market index that tracks the performance of approximately 2,000 small-cap (small-capitalization) public companies in the United States.

S&P 500 sub-sectors and industry groups Global Industry Classification Standard (GICS®)/S&P 500 Total Return Index, including Information Technology Total Return (TR) USD; Consumer Discretionary TR USD; Industrials TR USD; Real Estate TR USD; Communication Services TR USD; Materials TR USD; Financials TR USD; Consumer Staples TR USD; Utilities TR USD; Energy TR USD; Healthcare TR USD.

S&P Regional Banks Select Industry Index comprises stocks in the S&P Total Market Index that are classified in the GICS Regional Banks sub-industry.

Important Disclosures

Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.

Bank of America, Merrill, their affiliates and advisors do not provide legal, tax or accounting advice. Clients should consult their legal and/or tax advisors before making any financial decisions.

This material does not take into account a client's particular investment objectives, financial situations, or needs and is not intended as a recommendation, offer, or solicitation for the purchase or sale of any security or investment strategy. Merrill offers a broad range of brokerage, investment advisory and other services. There are important differences between brokerage and investment advisory services, including the type of advice and assistance provided, the fees charged, and the rights and obligations of the parties. It is important to understand the differences, particularly when determining which service or services to select. For more information about these services and their differences, speak with your Merrill financial advisor.

This information should not be construed as investment advice and is subject to change. It is provided for informational purposes only and is not intended to be either a specific offer by Bank of America, Merrill or any affiliate to sell or provide, or a specific invitation for a consumer to apply for, any particular retail financial product or service that may be available.

The Chief Investment Office ("CIO") provides thought leadership on wealth management, investment strategy and global markets; portfolio management solutions; due diligence; and solutions oversight and data analytics. CIO viewpoints are developed for Bank of America Private Bank, a division of Bank of America, N.A., ("Bank of America") and Merrill Lynch, Pierce, Fenner & Smith Incorporated ("MLPF&S" or "Merrill"), a registered broker-dealer, registered investment adviser and a wholly owned subsidiary of Bank of America Corporation ("BofA Corp.").

The Global Wealth & Investment Management Investment Strategy Committee ("GWIM ISC") is responsible for developing and coordinating recommendations for short-term and long-term investment strategy and market views encompassing markets, economic indicators, asset classes and other market-related projections affecting GWIM.

BofA Global Research is research produced by BofA Securities, Inc. ("BofAS") and/or one or more of its affiliates. BofAS is a registered broker-dealer, Member SIPC and wholly owned subsidiary of Bank of America Corporation.

All recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Asset allocation, diversification and rebalancing do not ensure a profit or protect against loss in declining markets.

Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

Alternative investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

© 2026 Bank of America Corporation. All rights reserved.

MERRILL
A BANK OF AMERICA COMPANY

CHIEF INVESTMENT OFFICE

Capital Market Outlook

October 5, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Stronger Growth, Costlier Money:* Revised government data show the U.S. economy has accelerated despite the tariffs and oil shocks. Real gross domestic product (GDP) growth was revised up, and, given modestly higher labor input, productivity is expected to show even stronger growth than has been reported. High operating leverage alongside strong productivity has benefited corporate profits. Following methodological changes, "core" personal consumption expenditures (PCE) inflation momentum declined over the past three months. Still, while inflation sensitive to labor market conditions eased further, unresolved upside pressures on "acyclical" inflation from diesel shortages and rising freight costs threaten to keep overall inflation elevated. The rise in bond yields appears caused by a mix of stronger growth and higher premium for inflation as well as government debt funding pressures—a less favorable combination for risk assets than if rising U.S. productivity alone were lifting the neutral interest rate.

Market View—*Yields, Yen and Iran: What Haunts the "House":* A weaker yen, rising Treasury yields and the drawn-out conflict with Iran are all moving counter to Treasury Secretary Scott Bessent's policy goals. While the summer intervention helped stabilize the yen, its appreciation has been modest and dependent on further intervention/action from the Bank of Japan (BoJ). At the same time, Treasury yields have climbed sharply across the curve, with the MOVE Index subject to the velocity of the bond market repricing.

Abroad, geopolitical risks remain elevated. Delays in reopening the Strait of Hormuz and disruptions to Russian refining capacity have kept energy markets tight, particularly in diesel. Despite these headwinds, our outlook remains constructive. Ultimately, the backstop for the markets is the corporate sector's ability to deliver on earnings into 2027.

Thought of the Week—*When It Comes to Attracting Foreign Capital, the U.S. Remains Exceptional:* And the money keeps coming: Both portfolio and foreign direct investment (FDI) inflows are running at record levels this year, a dynamic that speaks to 1) the attractiveness of U.S. assets and 2) the U.S. economy as a place to do business. Global investors invested some $942 billion (B) in net purchases of U.S. Equities in the 12 months to July, the highest rolling 12-month total on record. In Q2, net purchase of U.S. Equities soared to $426B, up 62% from the same period a year ago. Meanwhile, foreign multinationals invested some $240B into the U.S. in the first six months of this year. That is a staggering 103% jump from a year ago; FDI inflows are on track for a record year, estimated at $480B for 2026.

AUTHORS

Chief Investment Office
Macro Strategy Team

Lauren Sanfilippo
Director and Senior Investment Strategist

Joseph Quinlan
Managing Director and Head of Market Strategy

MACRO STRATEGY ▶

MARKET VIEW ▶

THOUGHT OF THE WEEK ▶

MARKETS IN REVIEW ▶

Portfolio Considerations

We view recent volatility as a rolling correction rather than the end of the cycle. We favor diversified Equity exposure, with potential opportunities extending beyond Growth to Value, Small- and Mid-caps, Non-U.S. Equities (especially Emerging Markets), dividend-focused and thematic strategies.

We favor adjusting portfolios toward strategic durations given attractive elevated nominal and real yields, and see value in high-quality bonds, particularly longer-dated municipal bonds.

Consider broader portfolio diversification with potential opportunities across industrial metals, energy, Real/Tangible Assets, Hedge Funds, private markets and global strategies to capture themes from AI, reindustrialization, infrastructure growth and market dispersion.

Merrill Lynch, Pierce, Fenner & Smith Incorporated (also referred to as "MLPF&S" or "Merrill") makes available certain investment products sponsored, managed, distributed or provided by companies that are affiliates of Bank of America Corporation ("BofA Corp."). MLPF&S is a registered broker-dealer, registered investment adviser, Member SIPC and a wholly owned subsidiary of BofA Corp.
Investment products:

Are Not FDIC Insured	Are Not Bank Guaranteed	May Lose Value

Please see last page for important disclosure information.

9155634 10/2026

Stronger Growth, Costlier Money

Chief Investment Office, *Macro Strategy Team*

The latest GDP report and annual revisions show a sturdier U.S. economy than previously reported. According to the Bureau of Economic Analysis (BEA), real GDP grew at a 2.2% annualized pace in Q2 compared to 1.5% previously estimated, and Q1 was revised from 2.1% to 2.5%. Both 2024 and 2025 were also revised slightly higher. Most of the first half of the year revision was in categories related to the Artificial Intelligence (AI) buildout, but real consumer spending has also been revised slightly higher, accelerating from 0.7% annualized growth in Q1 to 3.8% in Q2 despite surging energy prices and slow hiring.

Spending in July and August remained much stronger than labor market conditions alone would suggest, also averaging 3.7% annualized growth. Upside revisions to net interest income and personal saving suggest households have benefited from more income than was previously apparent, with personal saving revised higher back to 2023. The new data, according to the BEA, show the January to July 2026 savings rate averaged 4.8% versus 3.3% prerevision, strengthening consumer spending underpinnings despite moderate hiring, high energy prices and rising borrowing costs.

The BEA update also included inflation methodological changes related to categories inflated by the AI boom—such as portfolio management fees and computer software and accessories. These improved the inflation picture to some extent—August "core" PCE inflation was reduced by 0.3 ppts to 3% YoY, bringing it closer to "core" consumer price index inflation, which was 2.5% YoY and 2% on a three-month annualized basis. While still above the 2% Federal Reserve (Fed) target, "core" PCE now appears stable at 3% year over year since January rather than accelerating. These methodological changes are expected to dampen pass-through of AI-related price pressures into "core" inflation and effects of stock-market swings on inflation.

They also produced an encouraging improvement in recent PCE inflation momentum. Three-month annualized "core" PCE inflation slowed from 4.3% at the peak of tariff effects in February to 2.1% in August. For durable goods, this rate was down from 5.8% in February to 1.5% in August, and, for services ex-energy and healthcare, it slowed from 4.2% to 2.2%, for example. Inflation is volatile on a three-month change basis, so it remains to be seen whether this moderation continues without further Fed tightening.

For now, the trends in the San Francisco Fed's cyclical versus acyclical inflation measures diverged again in August. As expected, given softening wage growth, prices most sensitive to the labor market have eased further. At 3% YoY, this inflation category is down from 8% in early 2023 and 4.6% two years ago is back to prepandemic levels and is likely to ease more (Exhibit 1A). In contrast, supply bottlenecks, high energy prices and other industry-specific factors have kept acyclical inflation on an uptrend. As shown in Exhibit 1B, the relentless increase in freight costs could prolong upside pressure on this category.

The diesel market has tightened in recent months, boosting its price by 70% YoY, consistent with Brent oil at around $200 per barrel and large reverberations across a wide swath of goods and services prices. A government-policy-related decline in available truck drivers is also raising transportation costs more than expected. So are tight ocean shipping capacity and longer/more expensive voyages due to the U.S./Iran War. Supply-chain stress also increased as companies rushed to front-run potential new tariff increases.

On the positive side for the inflation outlook, unit labor costs (ULC) are up modestly as robust productivity growth has absorbed much of the wage growth, limiting a major source of domestic inflation. Upside productivity growth revisions are likely to further reduce ULC, which could help shift focus from energy and AI-related inflation to eventual disinflationary effects once oil and refined fuel prices start to ease. Sustained productivity gains would support growth and margins while limiting inflation and the need for much higher interest rates.

Investment Implications

We favor selective Equity exposure to companies with durable demand and pricing power, while remaining cautious about businesses most exposed to fuel, freight, and financing costs. We would also gradually increase long-duration exposure.

Surging nominal growth has boosted corporate revenues (up 13% YoY in Q2, according to the BEA) while contained unit labor costs helped raise margins and profits more than expected. With labor costs declining as a share of revenues, investment-related tax incentives and rock-bottom net interest expense, pre-tax nonfinancial corporate profits as measured in GDP accounts rose 21% YoY in Q2. Total corporate profits after-tax were up 18.2% YoY, according to the BEA.

Surging AI-related imports and investment are keeping the business and profits cycle on an uptrend both here and abroad. According to BofA Global Research, the global economic cycle backdrop improved further in September, as reflected in a broad-based increase in its Global Wave[1] indicator. Broadening U.S. manufacturing strength, fueled by ongoing AI-driven investment, a healthier orders backlog and low inventories suggest that the expansion has room to run—a constructive environment for earnings. Typically, a Global Wave upswing is consistent with rising earnings revisions ratios and equity price uptrends. According to the Global Wave, global earnings growth expectations remain exceptionally strong.

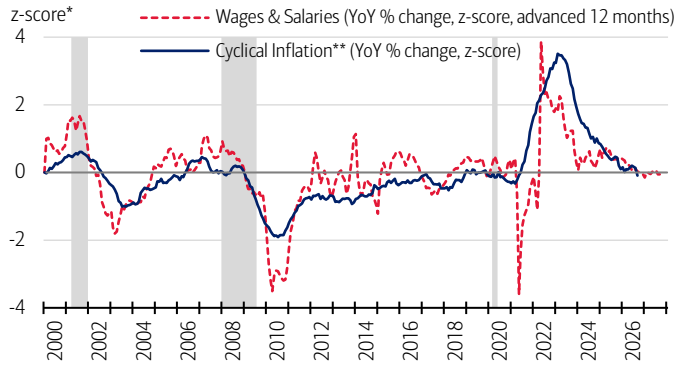
Still, absent a resolution of war-related energy and transportation disruptions, the same industrial strength intensifies inflation pressures. A prolonged supply shock raises the risk of restrictive interest rates and weakening economic growth. In this context, the surge in the 10-year Treasury yield above 5% is starting to reflect more than optimism about U.S. growth and strengthening productivity outlook. Oil's tightest recent correlation with 10-year Treasury yields in 35 years suggests a common energy-price thread behind rising yields in developed countries.

Bond market spillovers from normalizing Japan yields and capital repatriation are another common thread. Higher yields on foreign sovereign bonds such as in Japan—which has escaped stagnation and deflation by intensely pursuing investment-led growth—weaken the relative appeal of Treasurys. That distinction matters for portfolios. A yield increase driven mainly by durable productivity gains would come with a stronger outlook for future income and earnings. A yield increase driven by cost shocks and greater uncertainty raises financing costs without the same benefit.

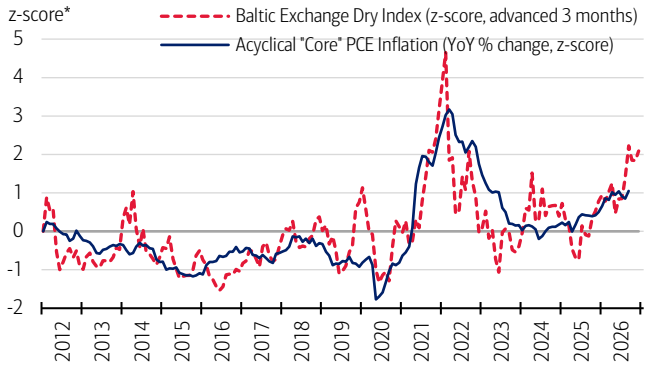
In sum, the economy remains more resilient than expected, but the bond market is also charging more for an uncertain inflation outlook given untethered government debt and cooling global demand for Treasurys spurred by geopolitical tensions and Japan capital repatriation. The case for much further tightening becomes stronger if wage growth strengthens, productivity lags, and unit labor costs reaccelerate, causing cyclical inflation to also pick up steam. The case becomes weaker if that measure stays contained while fuel and freight pressures recede or rising Treasury yields reduce asset prices and economic growth.

Exhibit 1: Softer Cyclical/Higher Acyclical Inflation Keeps "Core" PCE at 3% Year Through August.

A) Cooling wage pressures ease cyclical inflation (housing, food services and accommodation, etc.).



B) Surge in U.S. AI-related imports, tariff front-running, shipping disruptions and fuel- price spike feed acyclical inflation.



*Z-score = number of standard deviations from the mean of a data set. **Inflation driven by wage growth and unemployment gap. Exhibit 1A) Source: Bureau of Economic Analysis; San Francisco Federal Reserve/Haver Analytics. Data as of September 30, 2026. Exhibit 1B) Source: Baltic; San Francisco Federal Reserve/Haver Analytics. Data as of September 30, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

[1] BofA Global Research Global Wave is an indicator that quantifies global economic trends, and it is used to forecast stock market performance.

Yields, Yen and Iran: What Haunts the "House"

Lauren Sanfilippo, ***Director and Senior Investment Strategist***

Joseph Quinlan, ***Managing Director and Head of Market Strategy***

We recently highlighted the three-front challenge facing Treasury Secretary Scott Bessent: engineering a stronger yen, containing the 10-year Treasury yield and securing a diplomatic resolution to the conflict with Iran.

Bessent recently has delivered one of the year's more memorable lines while discussing Treasury policy and the yen: "I have asymmetric information. I am the house now."[2] Yet several challenges remain: the 10-year Treasury yield is near levels last seen in the early 2000s, the yen remains structurally weaker, and a phased agreement to reopen the Strait of Hormuz appears remote. The resulting strain on energy markets keeps inflation risks elevated.

Put differently, oil prices, Treasury yields and the dollar-yen exchange rate are all trending against Bessent's objectives. Below, we examine how each variable is haunting his "house."

Haunting the "House" is the Yen. Since the U.S. and Japan mounted a record $98.7B coordinated intervention in late July after the yen weakened to a 40-year low near 164 per dollar, the currency has appreciated roughly 4% against the dollar. The move was further supported on September 18 when the BoJ raised rates by 25 basis points (bps) to 1.25%, their highest level since the mid-1990s (Exhibit 2A). However, the split 7–2 vote and Governor Ueda's limited forward guidance leave the path of further tightening uncertain. The key question is whether additional BoJ hikes can produce sustained appreciation in the yen, or merely reinforce the temporary relief provided by the summer intervention.

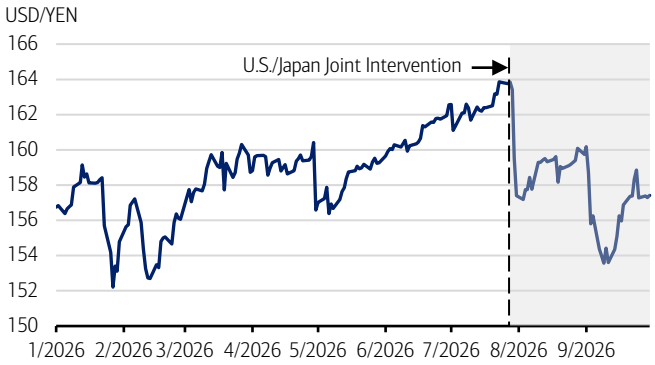
Bessent, meanwhile, has repeatedly signaled his preference for a stronger yen. Partly because yen stability is also a U.S. financing concern. Persistent currency weakness could prompt Japan to support its currency by selling foreign assets, including U.S. Treasurys—which would be an unwelcome prospect as Washington partially relies on foreign capital flows to fund its large fiscal deficits. That potential "haunts" the Treasury Secretary. At precisely the moment Washington needs foreign capital to finance its enormous fiscal deficits, it would be inopportune for one of America's largest creditors to become a significant seller of Treasury securities.

Investment Implications

While some key variables are complicating the macro backdrop (i.e., higher-for-longer yields/oil) the combination of strong earnings growth, robust consumer demand (real final sales to private domestic purchasers grew at 4.6% for Q2) and ongoing capital investment suggests that the fundamental backdrop for U.S. Equities remains constructive.

Exhibit 2: Charting the "Yentervention" and U.S. Treasury Yields Surge Across the Curve.

A) The Yen Regains Some Strength.



B) 5-Year Forward Yields Hold Above 5%.

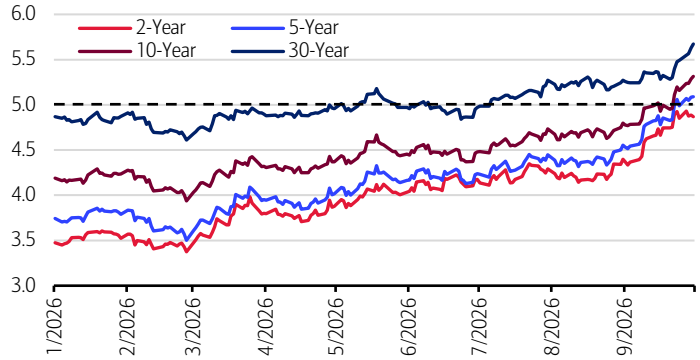


Exhibit 2A) Source: Bloomberg. Data as of September 30, 2026. Exhibit 2B) Source: Bloomberg. Data as of September 30, 2026.

Haunting the "House" are Yields. The surge in yields runs counter to a White House intent on lowering borrowing costs. The benchmark 10-year yield has broken above the 5% threshold and climbed to levels not seen since 2007. At around 5.30%, it stands more than a full percentage point above where it began the year (Exhibit 2B). The level is striking but so is the speed of the move: Stronger-than-expected economic data, including a survey showing U.S.

[2] September 8, 2026.

business activity expanded at the fastest pace in more than five years, helped trigger an 18 bps surge in the 10-year yield—among its largest daily moves in decades. The 5-year yield also topped 5% for the first time since 2007, while the 30-year yield reached 5.63%, its highest level since 2002.

Compounding the move is inflation, running above the Fed's 2% target for 67 months, large fiscal deficits and the prospect of continued growth in Treasury issuance. Against this backdrop, Treasury bought back $4.1 billion of long-dated debt, versus a maximum of $6 billion. That effort has done little to arrest the selloff. A subsequent auction priced nearly $4 billion of 7-year notes at 5.085%, the highest yield for that maturity in 33 years.

All in, the MOVE index, a key gauge of Treasury market volatility, jumped from 78 to 95 on Wednesday September 23 and then to 104 the following day, its highest level since the early days of the Iran war (Exhibit 3A).

Haunting the "House" is the Iran conflict. Early expectations that military pressure and economic sanctions would quickly bring Iran to the negotiating table have yet to materialize. Iranian officials have signaled that a full reopening of the Strait of Hormuz remains unlikely while sanctions stay in place. Although talks between Washington and Tehran are continuing, conflicting signals and lingering skepticism from both sides have kept tensions elevated. As a result, oil prices have remained elevated in a range even as some Middle East supply disruptions began to ease.

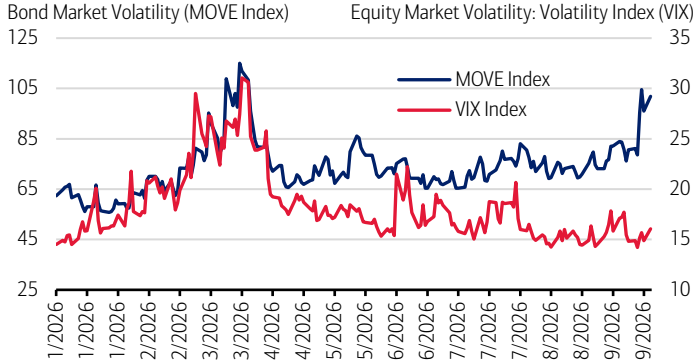
Startling is that Brent crude is up more than 60% this year, but refined product prices have risen even faster. Ongoing disruptions to energy flows through the Strait of Hormuz, combined with Ukrainian strikes on Russian refining infrastructure have tightened global supplies of crude oil and refined fuels. Saudi Arabia has restored some drone-disrupted flows, providing roughly 3.5 million barrels a day of relief (roughly 3% of global consumption).

The squeeze is mostly acute in diesel markets, where inventories remain constrained and prices continue to climb (Exhibit 3B). U.S. diesel prices recently surpassed $6.50 per gallon, the highest level on record, just as Russia has extended restrictions on diesel exports into October. Against this backdrop, proposals to ban U.S. fuel exports risks worsening the imbalance. According to S&P Global, an export ban could reduce refinery runs by nearly 2 million barrels per day and significantly cut gasoline production, potentially driving gasoline and jet fuel prices even higher. As long as tensions persist, the oil impulse remains a key impediment to structurally lower inflation.

Investment implications. Treasury Secretary Bessent increasingly sits at the intersection of monetary policy, fiscal policy, foreign policy and national security. We remain constructive on the U.S. economy and overweight U.S. Equities but are watching as these fronts challenge the narrative. There is a great deal riding on the "house" versus the key macro variables of today.

Exhibit 3: Pulse Check on: Equity/Bond Volatility and Diesel/Gasoline Prices.

A) Bond and Equity Market Volatility Diverge.



B) Pain at the Pump: Diesel Prices Surge Ahead of Gasoline.

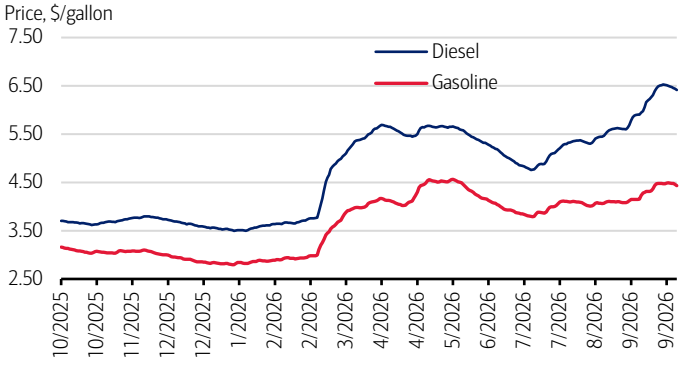


Exhibit 3A) Source: Bloomberg. Data as of September 22, 2026. Exhibit 2B) Source: Bloomberg. Data as of September 25, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

THOUGHT OF THE WEEK

When It Comes to Attracting Foreign Capital, the U.S. Remains Exceptional

Joseph Quinlan, ***Managing Director and Head of Market Strategy***

There may be no better vote of confidence in a country than the willingness of foreigners to put their money there. And by that measurement, the U.S. remains the exception—both portfolio and FDI inflows are currently running at record highs based on the latest data. This dynamic is one key reason why we remain constructive on U.S. assets over the longer term.

Notwithstanding all the handwringing about America's fiscal deficits, tariffs and rising government debt, global investors sunk some $942B in net purchases of U.S. Equities in the 12 months to July, the highest rolling 12-month total on record. In Q2, net purchase of U.S. Equities soared to $426B, up 62% from the same period a year ago (Exhibit 4A). By country, flows were down from China—not surprisingly—but strong from Taiwan and South Korea, who have taken to recycling their massive AI-generated trade surplus back into the U.S. In the end, strong portfolio inflows suggest that international investors remain willing to increase their exposure to the world's largest capital market—that's bullish for U.S. assets.

Meanwhile, Exhibit 4B highlights the growing push among foreign multinationals to be inside the U.S., with FDI inflows totaling nearly $240B in the first six months of this year. That is a staggering 103% jump from a year ago and means FDI inflows are on track for a record year, estimated at $480B for 2026.

There are multiple factors behind surging inflows: One, due to rising U.S. trade protectionism, foreign multinationals increasingly want to be "inside" the U.S. economy, not outside. Two, within the $32 trillion-plus economy with extraordinarily consumer purchasing power, foreign firms prefer to be closer to their customers via investment than just trade (exports). Three, America's massive investment cycle in AI, data centers, semiconductors, power generation, etc., has created numerous potential investment opportunities for many foreign firms that don't want to miss out on America's surging capex cycle. Four, and finally, abundant energy supplies, deep capital markets and a highly developed technological ecosystem have also induced more FDI inflows.

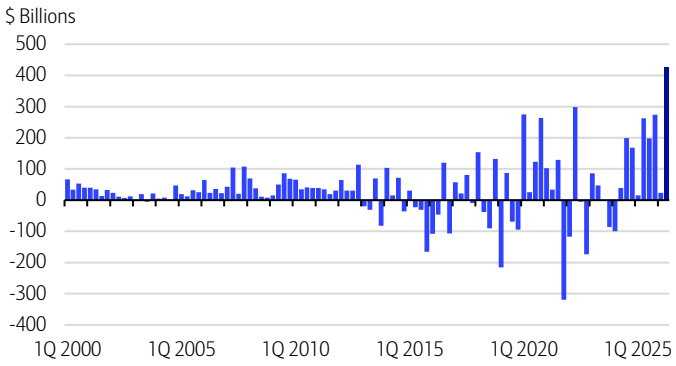
In the end, double-barreled capital inflows speak to the absolute and relative attractiveness of the U.S. economy and capital markets. Stay invested in America—the rest of the world is.

Investment Implications

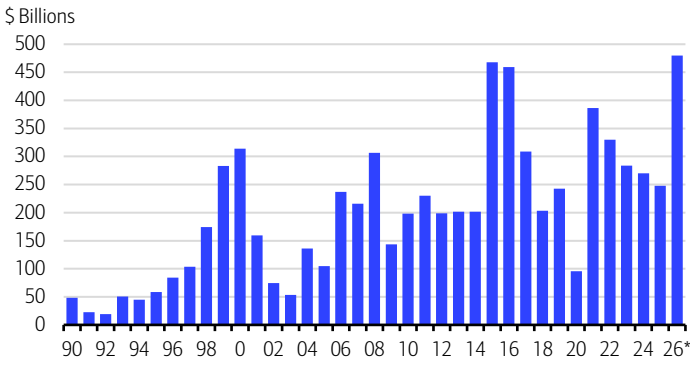
Foreign investors remain keen on owning and being "inside" the U.S. That is bullish for U.S. securities, both near-term and long-term.

Exhibit 4: U.S. Exceptionalism: Record Inflows of Portfolio and FDI Inflows.

A) Net Foreign Purchases of US Equities and Investment Funds.



B) FDI Inflows to the U.S.



*Annualized. Exhibit 4A) Source: U.S. Bureau of Economic Analysis. Data as of September 24, 2026. Exhibit 4B) Source: U.S. Bureau of Economic Analysis. Data as of September 24, 2026. **Past performance is no guarantee of future results.**

Equities

Equities	Total Return in USD (%) Current	WTD	MTD	YTD
DJIA	51,176.96	-1.3	0.5	7.8
NASDAQ	27,190.86	0.5	1.2	17.5
S&P 500	7,722.72	-0.2	0.9	13.8
S&P 400 Mid Cap	3,668.01	0.6	2.0	12.1
Russell 2000	2,832.90	-0.1	1.3	15.2
MSCI World	4,926.25	-0.6	0.5	12.3
MSCI EAFE	3,095.35	-1.5	-1.0	9.3
MSCI Emerging Markets	1,708.91	-1.2	0.2	23.7

Fixed Income†

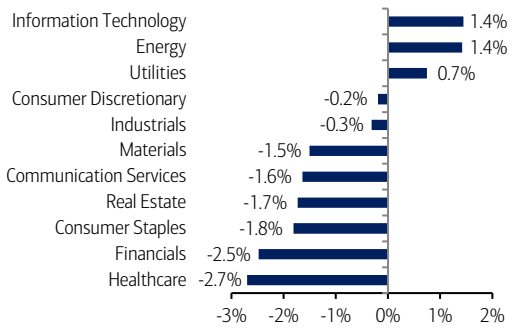
Fixed Income	Total Return in USD (%) Current	WTD	MTD	YTD
Corporate & Government	5.44	-0.54	0.01	-2.83
Agencies	5.22	-0.25	0.05	-1.14
Municipals	4.63	0.45	1.02	-3.20
U.S. Investment-Grade Credit	5.56	-0.60	0.05	-2.86
International	6.05	-0.70	-0.01	-3.13
High Yield	8.29	-0.65	0.04	0.14
90 Day Yield	4.09	4.17	4.11	3.63
2 Year Yield	4.82	4.85	4.89	3.47
10 Year Yield	5.27	5.16	5.28	4.17
30 Year Yield	5.62	5.49	5.63	4.84

Commodities & Currencies

Commodities	Total Return in USD (%) Current	WTD	MTD	YTD
Bloomberg Commodity	366.42	-1.9	-0.2	32.6
WTI Crude $/Barrel††	91.11	-1.4	0.8	58.7
Gold Spot $/Ounce††	4141.19	-3.4	-0.4	-4.1

Currencies	Total Return in USD (%) Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.13	1.14	1.13	1.17
USD/JPY	157.85	157.28	157.41	156.71
USD/CNH	6.71	6.72	6.71	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 09/28/2026 to10/2/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 10/2/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 10/2/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.3	3.4
Real U.S. GDP (% q/q annualized)	2.5	2.2	2.4*	2.3	2.2	2.2
CPI inflation (% y/y)	2.7	3.8	3.4*	3.7	3.4	2.6
Core CPI inflation (% y/y)	2.5	2.7	2.5*	2.6	2.6	2.6
Unemployment rate (%)	4.3	4.3	4.2*	4.2	4.2	4.1
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of October 2, 2026.
Sources: BofA Global Research; GWIM ISC as of October 2, 2026.

Asset Class Weightings (as of 9/1/2026)

Asset Class	CIO View Underweight	Neutral	Overweight
Global Equities			●
U.S. Large-cap Growth			●
U.S. Large-cap Value			●
U.S. Small-cap Growth			●
U.S. Small-cap Value			●
International Developed		●	
Emerging Markets			●
Global Fixed Income		●	
U.S. Governments		●	
U.S. Mortgages		●	
U.S. Corporates		●	
International Fixed Income		●	
High Yield		●	
U.S. Investment-grade Tax Exempt		●	
U.S. High Yield Tax Exempt		●	
Alternative Investments*			
Hedge Strategies			
Private Equity			
Private Credit			
Real Assets			
Cash			

CIO Equity Sector Views

Sector	CIO View Underweight	Neutral	Overweight
Industrials			▶
Financials			▶
Healthcare		▶	
Consumer Discretionary		◀	
Information Technology		●	
Energy		●	
Materials		●	
Utilities	◀		
Communication Services	●		
Real Estate	●		
Consumer Staples	◀		

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of September 1, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

RETURN TO FIRST PAGE

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

ICE BofA MOVE Index is a market-implied measure of U.S. bond market volatility.

Consumer Price Index measures the average change over time in the prices paid by urban consumers for a market basket of consumer goods and services.

Baltic Dry Index is a daily shipping and trade index published by the Baltic Exchange in London that measures the cost of moving raw materials like iron ore, coal, and grain by sea.

Volatility Index (VIX) is a real-time market indicator that measures the stock market's expected volatility over the next 30 days.

Important Disclosures

Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.

Bank of America, Merrill, their affiliates and advisors do not provide legal, tax or accounting advice. Clients should consult their legal and/or tax advisors before making any financial decisions.

This material does not take into account a client's particular investment objectives, financial situations, or needs and is not intended as a recommendation, offer, or solicitation for the purchase or sale of any security or investment strategy. Merrill offers a broad range of brokerage, investment advisory and other services. There are important differences between brokerage and investment advisory services, including the type of advice and assistance provided, the fees charged, and the rights and obligations of the parties. It is important to understand the differences, particularly when determining which service or services to select. For more information about these services and their differences, speak with your Merrill financial advisor.

This information should not be construed as investment advice and is subject to change. It is provided for informational purposes only and is not intended to be either a specific offer by Bank of America, Merrill or any affiliate to sell or provide, or a specific invitation for a consumer to apply for, any particular retail financial product or service that may be available.

The Chief Investment Office ("CIO") provides thought leadership on wealth management, investment strategy and global markets; portfolio management solutions; due diligence; and solutions oversight and data analytics. CIO viewpoints are developed for Bank of America Private Bank, a division of Bank of America, N.A., ("Bank of America") and Merrill Lynch, Pierce, Fenner & Smith Incorporated ("MLPF&S" or "Merrill"), a registered broker-dealer, registered investment adviser and a wholly owned subsidiary of Bank of America Corporation ("BofA Corp.").

The Global Wealth & Investment Management Investment Strategy Committee ("GWIM ISC") is responsible for developing and coordinating recommendations for short-term and long-term investment strategy and market views encompassing markets, economic indicators, asset classes and other market-related projections affecting GWIM.

BofA Global Research is research produced by BofA Securities, Inc. ("BofAS") and/or one or more of its affiliates. BofAS is a registered broker-dealer, Member SIPC and wholly owned subsidiary of Bank of America Corporation.

All recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Asset allocation, diversification and rebalancing do not ensure a profit or protect against loss in declining markets.

Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

Alternative investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

© 2026 Bank of America Corporation. All rights reserved.

MERRILL
A BANK OF AMERICA COMPANY

CHIEF INVESTMENT OFFICE

Capital Market Outlook

September 28, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*The Five Shocks of 2026—And the Extraordinary Resilience of the U.S. Economy:* Entering 2026, consensus was expecting moderating U.S. growth, interest rate cuts from the Federal Reserve (Fed), modest earnings growth, contained energy prices, and continued Republican control of Washington. Nine months later, nearly every part of the consensus view has unraveled. Instead, the year has been defined by a succession of five major shocks: a diesel energy shock, a dramatic shift from expected interest rate cuts to rate hikes, an earnings boom, unexpectedly hot economic growth, and a shifting political landscape ahead of the midterm elections.

And yet, the biggest shock of all may not be the shocks themselves but the continued ability of the U.S. economy and corporate sector to overcome them.

Market View—*2026 Has, So Far, Defied the Traditional Midterm Year Playbook:* The midterm elections are quickly approaching with several matters at hand. Geopolitical uncertainty, inflation pressures, fiscal concerns, affordability and artificial intelligence remain key considerations, yet markets have thus far defied the traditional midterm year playbook. U.S. Equities have remained resilient, with performance outpacing historical patterns and market pullbacks remaining relatively subdued. While volatility could rise as election day approaches, seasonal trends turn increasingly constructive into year-end and following the election. For investors, the implication is straightforward: Look through short-term political uncertainty, stay focused on fundamentals, and maintain a long-term perspective. The midterm elections are quickly approaching with several matters at hand. Geopolitical uncertainty, inflation pressures, fiscal concerns, affordability and Artificial Intelligence (AI) remain key considerations, yet markets have thus far defied the traditional midterm year playbook. U.S. Equities have remained resilient, with performance outpacing historical patterns and market pullbacks remaining relatively subdued.

While volatility could rise as election day approaches, seasonal trends turn increasingly constructive into year-end and following the election. For investors, the implication is straightforward: Look through short-term political uncertainty, stay focused on fundamentals, and maintain a long-term perspective.

The Ticker Tape—*Top Questions Answered Directly by Our Chief Investment Officer (CIO).*

- What is the bond market telling us?

AUTHORS

Joseph Quinlan
Managing Director and Head of Market Strategy

Lauren Sanfilippo
Director and Senior Investment Strategist

Jordy Fuentes
Assistant Vice President and Investment Strategist

Christopher Hyzy
Chief Investment Officer

MACRO STRATEGY ▶

MARKET VIEW ▶

THE TICKER TAPE ▶

MARKETS IN REVIEW ▶

Portfolio Considerations

We view recent volatility as a rolling correction rather than the end of the cycle. We favor diversified Equity exposure, with potential opportunities extending beyond Growth to Value, Small- and Mid-caps, Non-U.S. Equities (especially Emerging Markets), dividend-focused and thematic strategies.

We favor adjusting portfolios toward strategic durations given attractive elevated nominal and real yields, and see value in high-quality bonds, particularly longer-dated municipal bonds.

Consider broader portfolio diversification with potential opportunities across industrial metals, energy, Real/Tangible Assets, Hedge Funds, private markets and global strategies to capture themes from AI, reindustrialization, infrastructure growth and market dispersion.

Merrill Lynch, Pierce, Fenner & Smith Incorporated (also referred to as "MLPF&S" or "Merrill") makes available certain investment products sponsored, managed, distributed or provided by companies that are affiliates of Bank of America Corporation ("BofA Corp."). MLPF&S is a registered broker-dealer, registered investment adviser, Member SIPC and a wholly owned subsidiary of BofA Corp.
Investment products:

Are Not FDIC Insured	Are Not Bank Guaranteed	May Lose Value

Please see last page for important disclosure information.

9143850 9/2026

The Five Shocks of 2026—And the Extraordinary Resilience of the U.S. Economy

Joseph Quinlan, ***Managing Director and Head of Market Strategy***
Lauren Sanfilippo, ***Director and Senior Investment Strategist***

This is the year the consensus got mugged.

Rewind to the start of the year. The market consensus was that the U.S. economy was set to slow. The Fed was set to cut interest rates. Corporate earnings were set to grow—but not explode. Energy prices would remain tame. And the odds looked good that the Republicans would control the House, the Senate, or both, following the midterm election.

Nine months on, the landscape looks starkly different. Defined by five shocks—energy, interest rates, earnings, growth, and politics—2026 looks nothing like the year investors thought they were buying on January 1.

Shock 1: Diesel Matters. While global oil prices have moved higher since the start of the U.S./Iran war on February 28, oil prices have yet to surpass their previous record high because the world has released some 400 million barrels from strategic reserves this year, China has curbed its demand for oil imports, and the U.S. has goosed its energy exports to record highs.

But here is the problem: While gasoline powers the American consumer, diesel powers the American economy—and diesel prices are now sitting at record highs. Diesel supplies have been hammered by wars in the Middle East and Ukraine that have sharply reduced refining capacity. According to the International Energy Agency, by August, exports of diesel from refiners in the Middle East had fallen by a quarter from prewar levels. Meanwhile, Ukraine has hit 24 of Russia's 34 largest refineries, reducing supplies from one of the world's largest diesel exporters. The upshot: U.S. diesel prices have soared from $3.55 a gallon at the start of the year to roughly $6.52 a gallon. While crude oil trades for around $100 a barrel, the retail equivalent of a barrel of diesel now costs more than $260. The diesel shock of 2026 was the last thing investors saw coming—and remains a key impediment to structurally lower inflation.

Shock 2: From Interest Rate Cuts to Rate Hikes. Perhaps no other consensus view entering 2026 has been turned more dramatically on its head than expectations for the Fed. Heading into 2026, markets were pricing in rate cuts on expectations of a cooling labor market, moderating inflation, and slower economic growth. The Fed easing cycle was expected to continue in 2026. In January 2026, futures showed a roughly 50% chance of a cut by March.

Expectations, however, flipped in late February with the start of the U.S./Iran war. The Middle East energy shock reignited inflationary pressures, which, combined with stronger-than-expected U.S. economic growth and a tightening labor market, have demolished the odds of easier money in 2026. Short- and long-term Treasury yields rose sharply last week in the wake of the S&P Global Flash U.S. Composite Purchasing Managers' Index (PMI) which pointed to the strongest business expansion in more than five years and the fastest employment growth in over four years, while also reinforcing expectations that the Fed will maintain a restrictive policy stance for longer. Markets were expecting two to three quarter-point rate cuts in 2026; instead, the Fed has already raised rates once this year and is expected to keep raising rates over the near term.

Shock 3: The Earnings Boom No One Saw Coming. Not all the shocks of 2026 are negative. Indeed, stronger-than-expected corporate earnings have been among the most positive factors of this year. Corporate America entered the year facing questions about tariffs, AI-related capital expenditure spending, the health of the U.S. consumer, operating leverage and the U.S. dollar outlook. At the start of the year, Wall Street was expecting roughly $290 of S&P 500 earnings per share for 2026, per Bloomberg estimates. But by September 21, the estimate had risen by $50, to $340 per share.

Investment Implications

While some of these shocks may contribute to periods of market volatility, the combination of strong earnings growth, robust domestic demand, and ongoing capital investment suggests that the fundamental backdrop for Equities remains constructive.

Earnings have been upgraded and underpinned by several factors, including robust final domestic demand in the U.S., a pickup in global growth, AI-related capital spending, productivity gains, and enhanced operating leverage. All these variables have helped deliver an earnings "shock" to Wall Street. And as an aside, yes, headline profit growth has been inflated by strong technology earnings and one-off investment gains from Amazon and Alphabet. That said, the S&P 500's earnings story remains extraordinary. According to FactSet, the 493 companies excluding the Magnificent 7[1] posted 31.8% earnings growth in Q2, the strongest level since late 2021.

Shock 4: An Economy with more Horsepower than the Headlines Suggest. That corporate profits have exceeded expectations this year is due in no small part to an economy that continues to surprise to the upside. The Fed was supposed to cut rates this year to keep the economy humming and prevent it from losing steam. But rather than limp through 2026, the economy has leaped ahead. Yes, real gross domestic product (GDP) growth of 2.1% in Q1 and 1.5% in Q2 are hardly blockbuster annualized rates of growth. However, the figures belie the underlying strength of the U.S. economy, with real final domestic demand (which strips out trade) running at a 4.2% annual rate in Q2. According to the latest reading of the Atlanta Fed GDP tracker, Q3 real GDP growth is running at a red-hot rate of 5.1%. Slowdown? What slowdown?

Resilient consumer spending, robust capital investment, record levels of new business formation, and strong foreign direct investment inflows have combined to stoke growth in the $32 trillion behemoth called the U.S. economy—the most resilient and dynamic economy in the world.

Shock 5: The Unexpected Washington Reset. The last shock is still in the making, but given current trends, the odds are rising that the Democrats could control both the House and Senate following the midterm elections. To this point, in January, and per Kalshi, the Democrats had a 71% shot at the House and an 18% chance of taking the Senate. Fast-forward to today, and the odds are a 90% chance that the Democrats take the House and a 60% chance that they take the Senate.

How all of this plays out remains to be seen—there are some 36 days before the November vote, and anything can happen. The market base case remains that the Democrats take the House, and the Senate is a toss-up—or too close to call. But with the Democrats expected to control at least one chamber of Congress, investors can expect more volatility and uncertainty about negotiations over the budget, debt ceiling, defense spending and AI regulation. Another political wildcard to watch: the changing dynamics within the Democratic Party.

The Biggest Shock of All for 2026? Perhaps it's not $6 diesel, rising interest rates, solid growth, booming profits or shifting politics. Rather, it's the ability of the U.S. economy to absorb the unexpected, not buckle under stress, and continue generating wealth for investors. To wit, the S&P 500 is on pace for its fourth consecutive year of double-digit returns.

Exhibit 1: The Five Shocks of 2026: What Investors Expected vs. What They Got.

	January 2026 Consensus	September 2026 Reality	The Shock
ENERGY	Relatively contained energy costs	Diesel above $6/gallon	Energy shock—a new tax on the physical economy
INTEREST RATES	Fed easing expected	Fed raised rates 25 basis points in September to 3.75%-4.00%	Rate shock—easing cycle goes into reverse
EARNINGS	Solid but moderating profit growth	S&P 500 Q2 earnings growth headed toward around 29+	Positive earnings shock—corporate America vastly outperforms
POLITICS	Republican control of Washington	Democrats lead 44%-37% in recent generic congressional polling; chamber control remains contested	Political shock—policy outcomes become much less certain
GROWTH	Cooling economy	Fed now projects 2.3% 2026 GDP growth, above its 2.0% longer-run estimate	Growth shock—economy has more horsepower than anticipated

Sources: Chief Investment Office; Federal Reserve; Energy Information Administration; FactSet. Data as of September 2026.

[1] Apple, Amazon, Alphabet, Nvidia, Meta, Microsoft, and Tesla.

2026 Has, So Far, Defied the Traditional Midterm Year Playbook

Jordy Fuentes, ***Assistant Vice President and Investment Strategist***

Current Landscape. To no surprise, market volatility persisted in 2026. Performance initially tracked historical midterm election patterns before diverging meaningfully as the year progressed, though there are still three months to go. Several items remain at hand as U.S. voters head to the polls in November, including geopolitical and foreign policy uncertainty, energy driven inflation pressures, affordability concerns, U.S. fiscal trajectory, and rapid advancements in AI. Regardless of the eventual political outcome, history suggests that markets and the economy can perform well across different configurations of government. In our view, markets continue to be anchored by strong fundamentals and encouraging seasonal trends.

Investment Implications

In our view, any related market weakness could represent a potential buying opportunity for long-term investors.

To Be Addressed. U.S. domestic and foreign policy remain in focus as the global reorder, tit-for-tat tariffs, and geopolitical conflicts spanning the Middle East to Eastern Europe have added layers of uncertainty to the U.S. economic outlook.

At the same time, persistent geopolitical flare-ups have pushed oil prices materially higher, adding to inflation pressures and keeping them above the Fed's 2% target. Headline Consumer Price Index (CPI) held above 3% year-over-year (YoY) in August, while its core measure, which excludes food and energy, held at 2.4% YoY. The latest Personal Consumption Expenditure (PCE), the Fed's preferred measure of inflation, also remained above 3% YoY for both its headline and core figures.[2]

The U.S. fiscal trajectory is another area of focus. The U.S. budget deficit stands at 5.4% of GDP, just above this century's average of 4.6%. Meanwhile, U.S. public sector debt surpassed the $40 trillion mark for the first time in August, oscillating around 100% of GDP.[3] While these trends warrant close monitoring, we view them as a slow-moving structural headwind rather than an immediate concern, particularly within a highly innovative and diverse U.S. economy.

AI has emerged as a policy consideration, with debates increasingly centered on both regulatory safeguards and the economic implications of the expanding infrastructure buildout. For voters, those concerns extend to affordability, as the significant energy requirements of new data centers raise questions about potential pressure on electricity costs.

Strap In for The Ride. Leading up to the midterm election, markets tend to experience greater swings as investors navigate uncertainty surrounding the policy path for the remainder of the presidential cycle (Exhibit 2A). Since 1930, the S&P 500 has averaged an intrayear drawdown of 20% in midterm years, with the latest election in 2022 experiencing a 25% intrayear pullback. This year, however, the S&P 500 largest peak-to-trough drawdown has been 9%, considerably shallower than its long-term average (Exhibit 2B). Yet while volatility may rise as election day approaches, 2026 has increasingly defied the traditional midterm year playbook.

Why 2026 is Different. Despite entering a challenging stretch of the presidential cycle, U.S. Equities have materially outpaced the typical year two pattern (Exhibit 2C). The S&P 500 experienced its best Q2 in a midterm year since 1938, surging 14.9% compared to an average decline of 1.6%. From a monthly perspective, September stands out as the weakest month, though month-to-date performance points to an unusual 1.0% rise. That resilience follows a 2.6% gain in August, another month in which performance meaningfully exceeded the historical decline of 0.5% (Exhibit 2D).

Through September, U.S. Equity resilience has also extended beyond headline returns with both the frequency and magnitude of market pullbacks remaining relatively subdued. Market corrections of 10% or more have occurred in just 29% of midterm election years since 1930.[4] Against this backdrop, the market's last correction came in spring 2025, while this year has

[2] Bloomberg, Bureau of Labor Statistics. Data through August 31, 2026.
[3] U.S. Treasury, Bureau of Economic Analysis. Data as of September 21, 2026.
[4] Bloomberg, data through December 31, 2022.

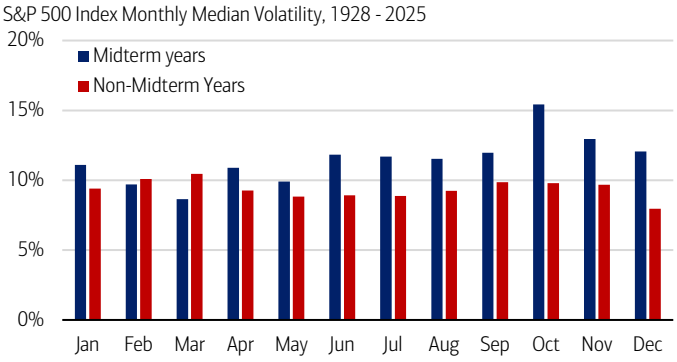
seen only one 5%+ pullback compared to the average three per year, underscoring relatively resilient market conditions.[5] Year-to-date, the S&P 500 has increased 13%, well above the average annual return of 3% according to Bloomberg through September 25, and on pace to mark the strongest midterm election year since 2006. Taken together, 2026 has thus far defied the traditionally weak midterm year seasonal pattern, reinforcing that every election cycle is unique and historical trends may be a useful guide to navigate market volatility.

What's Ahead? Forward performance is increasingly constructive for Equities. In the post-war period, the S&P 500 rose 100% of the time in the six and 12 months following elections, averaging 13% and 14%, respectively.[6] Even narrowing the time frame to three months, markets ended higher 90% of the time. As investors push through the finish line, the last three months of the year tend to be the strongest with October standing out, ending higher 67% of the time. On average, Q4 has gained 5.6% since 1930, far surpassing the preceding three quarters of election years.[7] Greater clarity about the U.S. fiscal policy path serves as a potential tailwind for investors following the election.

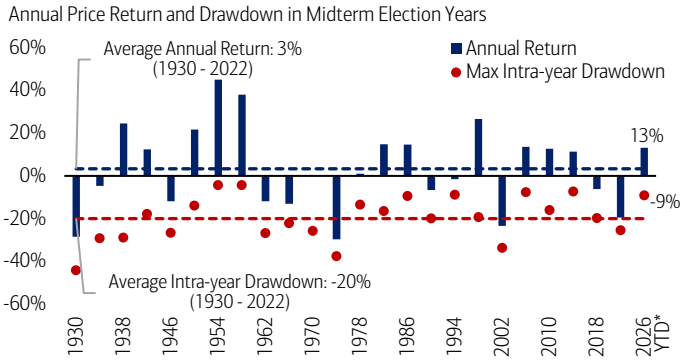
To Take Home. Volatility tends to rise during midterm years, but history suggests that reacting to short-term political uncertainty has rarely rewarded long-term investors. Over longer horizons, the data suggests Equity returns and economic strength are shaped less by election outcomes than by corporate profits, valuations, labor market conditions and capital investments.

Exhibit 2: A Look at Midterms Through Charts.

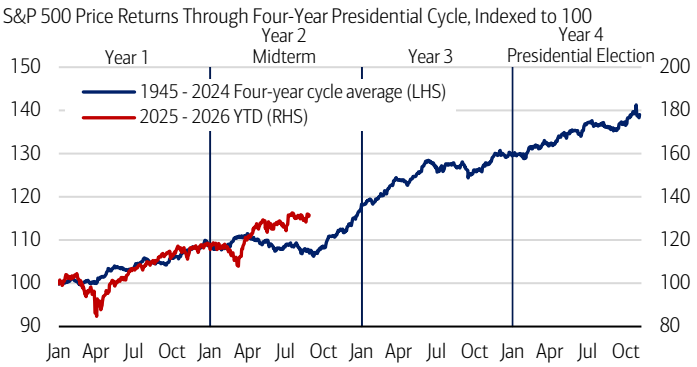
A) S&P 500 Volatility by Month.



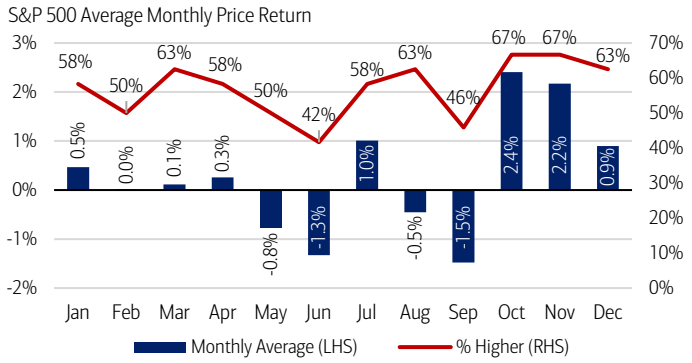
B) S&P 500 Annual Price Return by Midterm Election Year.



C) S&P 500 Price Returns Through Four-Year Presidential Cycle, Index to 100.



D) S&P 500 Monthly Performance During Midterm Election Years (1930 - 2022).



*Year-to-Date. Exhibit 2A) Source: Bloomberg. Data through December 31, 2025, as of September 22, 2026. Volatility is calculated using the standard deviation of daily S&P 500 price returns each month. Median volatility for each month is displayed on an annualized basis. Exhibit 2B) Source: Bloomberg. Data as of September 25, 2026. Price returns referenced. Exhibit 2C) Source: Bloomberg. Data as of September 25, 2026. 1945 - 2024 period through December 31, 2024. 2025 – 2026 YTD period through September 25, 2026. Exhibit 2D) Source: Bloomberg, as of September 22, 2026. Data through December 31, 2022. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

[5] BofA Global Research, Bloomberg. Data as of September 22, 2026.
[6] Chief Investment Office, Bloomberg. As of September 22, 2026. Post-war period: 1946 – 2022. Price returns referenced.
[7] Bloomberg. Data as of September 22, 2026. Price returns referenced.

What is the bond market telling us?

Christopher Hyzy, *Chief Investment Office*

We believe the bond market is telling us that the Fed is on track to meeting their dual mandate of price stability and full employment. More importantly, when examining the full yield curve the 2-year Treasury yield is currently around 4.88%, which typically is the most sensitive to the fed funds rate and tends to price in future potential policy adjustments. At the same time, the 10-year Treasury yield is currently about 5.11%. This leads us to believe that the market expects the Fed to engineer a couple of more hikes while the back end of the curve is indicating that economic growth is still healthy.

Taken together, it appears the full curve, which has clearly flattened, believes the Fed is doing its job, while supply shocks, for obvious reasons, are not leading to higher long-run inflation. The backup in long-dated yields is growth, not necessarily inflation as indicated by rising "real" yields. Therefore, we view the drift higher in yields as a more normal sign than what many have originally suggested. We continue to emphasize higher economic growth for longer, rising productivity in the medium term, supply shortages to remain in key areas within the AI space, and shocks in the energy equation. We expect the energy shocks to ultimately fade away over time, but we do not believe that growth fades anytime soon. In our view, a more normal bond market pricing in Fed moves at the short end, and growth at the long end helps financial conditions and economic growth operate in a more durable manner.

In summary, the front-end of the curve expects 3 to 4 more hikes in the next 18 months or so. This can be debated obviously based on future data especially short-term energy supply shocks. Long-end yields are drifting higher based on five main factors below, in our view.

1. Strong economic growth (both services and manufacturing)
2. Hawkish Fed
3. Debt and deficit concerns
4. Lower demand for long duration sovereign debt in general
5. Energy supply shocks

The largest weight being strong economic activity which kick starts portfolio repositioning particularly as the Fed hikes rates. The repositioning stops once demand rises again when yields reach attractive levels for the more patient longer term investment community. The supply shocks ultimately end and debt and deficit worries will likely remain, but they still take a backseat for now. Longer duration government debt is becoming more attractive each week even in the face of the concerns above. Be patient

Investment Implications

We continue to expect resilient economic growth, supported by productivity gains, AI-related investment, and a more balanced bond market that may help sustain favorable financial conditions.

Exhibit 3: The Treasury Yield Curve Prices Additional Tightening and Continued Growth.

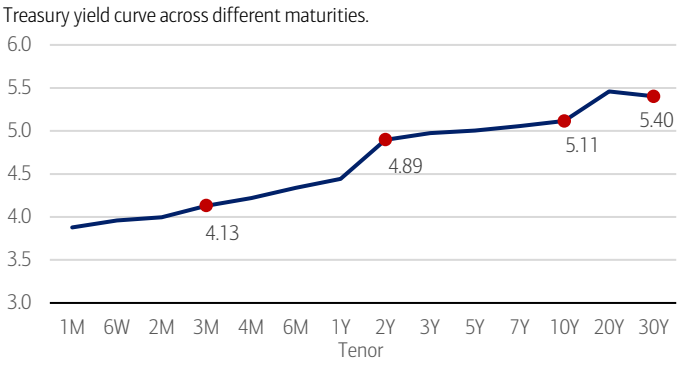
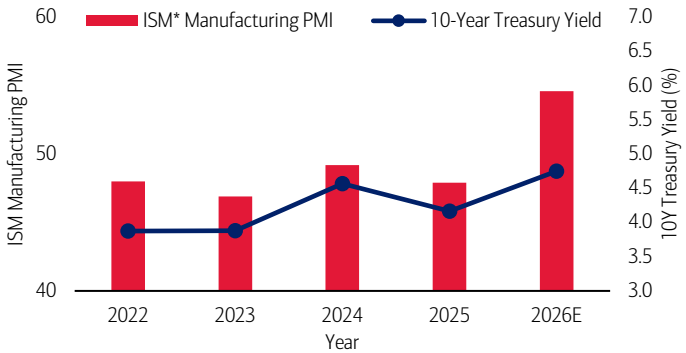


Exhibit 4: Economic Growth Has Remained Resilent Amid Higher Yields.



E=estimate. Exhibit 3) Source: Bloomberg. Data as of September 23, 2026. Exhibit 4) Source: Bloomberg. Data as of August 31, 2026. 2022-2025 are year-end *Institute for Supply Management (ISM) Manufacturing PMI data and 10-year yield data. 2026 uses latest available ISM Manufacturing PMI data from August 31, 2026 and 10-year yield data from August 31, 2026. It is not possible to invest directly in an index. Please refer to index definitions at the end of this report. **Past performance is no guarantee of future results.**

Equities

Equities	Total Return in USD (%) Current	WTD	MTD	YTD
DJIA	51,828.62	0.3	-2.4	9.1
NASDAQ	27,068.72	2.1	2.7	17.0
S&P 500	7,743.41	1.2	0.8	14.1
S&P 400 Mid Cap	3,648.57	0.0	-2.9	11.4
Russell 2000	2,837.55	-0.8	-3.9	15.3
MSCI World	4,957.96	0.9	-0.1	13.0
MSCI EAFE	3,148.63	0.2	-2.5	10.9
MSCI Emerging Markets	1,732.35	1.3	0.9	25.2

Fixed Income†

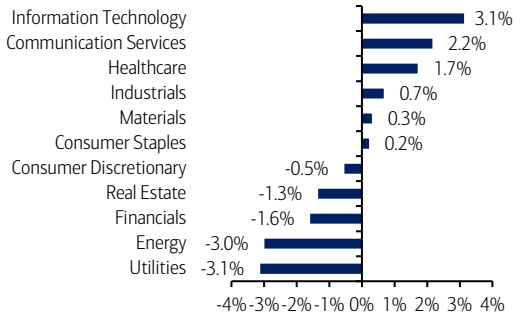
Fixed Income	Total Return in USD (%) Current	WTD	MTD	YTD
Corporate & Government	5.36	-0.80	-1.86	-2.30
Agencies	5.14	-0.39	-1.33	-0.89
Municipals	4.69	-1.81	-3.82	-3.63
U.S. Investment-Grade Credit	5.46	-0.82	-1.98	-2.28
International	5.93	-1.07	-2.05	-2.44
High Yield	8.10	-0.92	-1.84	0.80
90 Day Yield	4.17	4.07	3.83	3.63
2 Year Yield	4.85	4.74	4.34	3.47
10 Year Yield	5.16	5.00	4.75	4.17
30 Year Yield	5.49	5.33	5.24	4.84

Commodities & Currencies

Commodities	Total Return in USD (%) Current	WTD	MTD	YTD
Bloomberg Commodity	373.41	-0.7	2.4	35.2
WTI Crude $/Barrel††	92.41	-7.9	7.8	60.9
Gold Spot $/Ounce††	4284.81	-2.1	-3.4	-0.8

Currencies	Total Return in USD (%) Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.14	1.15	1.16	1.17
USD/JPY	157.28	156.88	159.74	156.71
USD/CNH	6.72	6.70	6.72	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 09/21/2026 to 09/25/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 09/25/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 9/25/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.3	3.4
Real U.S. GDP (% q/q annualized)	2.1	1.5	2.4	2.3	2.1	2.2
CPI inflation (% y/y)	2.7	3.8	3.4	3.7	3.4	2.6
Core CPI inflation (% y/y)	2.5	2.7	2.4	2.6	2.6	2.6
Unemployment rate (%)	4.3	4.3	4.2	4.2	4.2	4.1
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of September 25, 2026.
Sources: BofA Global Research; GWIM ISC as of September 25, 2026.

Asset Class Weightings (as of 9/1/2026)

Asset Class	CIO View Underweight		Neutral		Overweight
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies Private Equity Private Credit Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	CIO View Underweight		Neutral		Overweight
Industrials				▶	
Financials				▶	
Healthcare			▶		
Consumer Discretionary				◀	
Information Technology			●		
Energy			●		
Materials			●		
Utilities		●	◀		
Communication Services		●			
Real Estate		●			
Consumer Staples	●	◀			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of September 1, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

S&P 500 Index Price Return is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States. A price return index is a stock market index that tracks only the price changes and capital gains or losses of its component securities, without including dividends or cash distributions.

S&P Global Flash U.S. Composite Purchasing Managers' Index is an early monthly economic indicator that estimates overall private-sector business activity by combining manufacturing and service data.

Consumer Price Index is a key economic indicator that measures the average change over time in the prices paid by urban consumers for a market basket of everyday goods and services.

Institute for Supply Management Manufacturing Purchasing Managers' Index is a monthly economic indicator reflecting U.S. manufacturing sector health by surveying purchasing managers about business conditions.

Important Disclosures

Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.

Bank of America, Merrill, their affiliates and advisors do not provide legal, tax or accounting advice. Clients should consult their legal and/or tax advisors before making any financial decisions.

This material does not take into account a client's particular investment objectives, financial situations, or needs and is not intended as a recommendation, offer, or solicitation for the purchase or sale of any security or investment strategy. Merrill offers a broad range of brokerage, investment advisory and other services. There are important differences between brokerage and investment advisory services, including the type of advice and assistance provided, the fees charged, and the rights and obligations of the parties. It is important to understand the differences, particularly when determining which service or services to select. For more information about these services and their differences, speak with your Merrill financial advisor.

This information should not be construed as investment advice and is subject to change. It is provided for informational purposes only and is not intended to be either a specific offer by Bank of America, Merrill or any affiliate to sell or provide, or a specific invitation for a consumer to apply for, any particular retail financial product or service that may be available.

The Chief Investment Office ("CIO") provides thought leadership on wealth management, investment strategy and global markets; portfolio management solutions; due diligence; and solutions oversight and data analytics. CIO viewpoints are developed for Bank of America Private Bank, a division of Bank of America, N.A., ("Bank of America") and Merrill Lynch, Pierce, Fenner & Smith Incorporated ("MLPF&S" or "Merrill"), a registered broker-dealer, registered investment adviser and a wholly owned subsidiary of Bank of America Corporation ("BofA Corp.").

The Global Wealth & Investment Management Investment Strategy Committee ("GWIM ISC") is responsible for developing and coordinating recommendations for short-term and long-term investment strategy and market views encompassing markets, economic indicators, asset classes and other market-related projections affecting GWIM.

BofA Global Research is research produced by BofA Securities, Inc. ("BofAS") and/or one or more of its affiliates. BofAS is a registered broker-dealer, Member SIPC and wholly owned subsidiary of Bank of America Corporation.

All recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Asset allocation, diversification and rebalancing do not ensure a profit or protect against loss in declining markets.

Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

Alternative investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

© 2026 Bank of America Corporation. All rights reserved.